



Office of the Washington State Auditor
Pat McCarthy

Financial Statements and Federal Single Audit Report

City of Redmond

For the period January 1, 2020 through December 31, 2020

Published September 30, 2021

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**Office of the Washington State Auditor
Pat McCarthy**

September 30, 2021

Mayor and City Council
City of Redmond
Redmond, Washington

Report on Financial Statements and Federal Single Audit

Please find attached our report on the City of Redmond's financial statements and compliance with federal laws and regulations.

We are issuing this report in order to provide information on the City's financial condition.

Sincerely,

Pat McCarthy, State Auditor
Olympia, WA

Americans with Disabilities

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SCHEDULE OF FINDINGS AND QUESTIONED COSTS

City of Redmond January 1, 2020 through December 31, 2020

SECTION I – SUMMARY OF AUDITOR’S RESULTS

The results of our audit of the City of Redmond are summarized below in accordance with Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Financial Statements

We issued an unmodified opinion on the fair presentation of the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP).

Internal Control over Financial Reporting:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over financial reporting that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We noted no instances of noncompliance that were material to the financial statements of the City.

Federal Awards

Internal Control over Major Programs:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over major federal programs that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We issued an unmodified opinion on the City’s compliance with requirements applicable to its major federal program.

We reported no findings that are required to be disclosed in accordance with 2 CFR 200.516(a).

Identification of Major Federal Programs

The following program was selected as a major program in our audit of compliance in accordance with the Uniform Guidance.

<u>CFDA No.</u>	<u>Program or Cluster Title</u>
21.019	COVID-19 – Coronavirus Relief Fund

The dollar threshold used to distinguish between Type A and Type B programs, as prescribed by the Uniform Guidance, was \$750,000.

The City did not qualify as a low-risk auditee under the Uniform Guidance.

SECTION II – FINANCIAL STATEMENT FINDINGS

None reported.

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None reported.



SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS

City of Redmond January 1, 2020 through December 31, 2020

This schedule presents the status of findings reported in prior audit periods.

Audit Period: 01/01/2019 - 12/31/2019	Report Ref. No.: 1027556	Finding Ref. No.: 2019-001
Finding Caption: Historically, the City has had strong internal controls over the financial statement preparation process. However, during the preparation of the 2019 financial statements, the control processes did not ensure the financial statements were accurate. We noted the following: • The City's review process relied on past practice to assess whether a sale of land was appropriately reported when preparing the government-wide financial statements which was not effective. • The City's controls over evaluating revenue recognition did not ensure that revenue earned in 2020 was reported in the correct fiscal year. The City's control deficiencies led to the following: • General Government expense was overstated by \$10,013,812 in the Governmental Activities and Contributions/Disposals from Capital Assets was overstated by the same amount. The amount represents the value of land that was sold in 2019, which does not affect expenses. Instead, the City should have reported a Loss on the Sale of Capital Asset of \$1,732,716. The City subsequently corrected the errors. License and permit revenues was overstated by \$1,236,918 in the Aggregate Remaining Fund. The amount represents first quarter 2020 revenue that was reported in fiscal year 2019.		
Background: The City Council, the Mayor, state and federal agencies, and the public rely on the information included in the financial statements and reports to make decisions. City management is responsible for designing, implementing, and maintaining internal controls to ensure financial statements are prepared and fairly presented in accordance with generally accepted accounting principles (GAAP).		

Status of Corrective Action: (check one)☒ Fully
Corrected☐ Partially
Corrected☐ Not Corrected☐ Finding is considered no
longer valid**Corrective Action Taken:**

The City does not agree with the above statement and/or any previous statements regarding the lack of internal controls. The sale of land was recorded correctly in the Fund Statements and the General Ledger; the overstatement in the Entity Wide Statement was 5% of the City's total expenses and only 4% of the City's total revenues; therefore, it does not meet the threshold; which is 10%, to be considered material for an audit finding (10%) and is not material to the financial statements. The \$1.7 million loss was recorded accurately; however, Revenues and expenditures were both overstated; resulting in no change to the Net Position, when the statements were revised. According to the Financial Accounting Standards Advisory Council and Generally Accepted Accounting Principles both quantitative and qualitative factors are considered when assessing the materiality of a misstatement:

- The threshold for Internal control weaknesses and material weaknesses is defined as 5%. Meaning a deviation of less than 5% from generally accepted accounting principles ("GAAP") is immaterial and that the accounting is permissible.*
- Furthermore, the essence of the concept of materiality is based on if the magnitude of the item is such that the judgement of a reasonable person relying upon the financial report would have been changed or influenced by the inclusion or correction of the item.*

Neither of the above conditions were met.

Our review process is as follows:

- Accounting staff prepares the financial statements*
- The Financial Planning Division reviews the statements for accuracy*
- The Accounting Manager reviews the statements*
- The Deputy Finance Director and the Director review the statements*
- In the past, our target date for submitting our financial statements to the audit team has been April 1st; this year, and subsequent years, the City has/will extended our timeline to include additional stafftime to review, with a target date of completion of May 1st.*

The \$1.2 million recognized in the wrong year is part of a \$17 million dollar contract and reflects only 6% of the total governmental funds license and permit revenue and less than 1% of the City's total governmental fund revenue. Several factors contributed to the misstatement; including the following:

- Microsoft submitted an unusual request for us to bill them early; causing the invoice to be posted in Dec instead of Jan when the payment was due; resulting in a timing issue error*
- New staff were not fully trained and did not fully understand accounting practices*

Measures have been put in place to proactively monitor and address concerns

- Additional training has been provided to new staff*
- Year-end meetings and emails include reminders to staff that expenditures and revenues MUST be accounted for in the year that it occurred.*

The City has added an additional level of review for year-end receivables drafted during year end; specifically, to ensure invoices are posted in the correct period

INDEPENDENT AUDITOR'S REPORT

Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

City of Redmond January 1, 2020 through December 31, 2020

Mayor and City Council
City of Redmond
Redmond, Washington

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2020, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated June 30, 2021.

As discussed in Note 18 to the financial statements, in 2020, the City adopted new accounting guidance, Governmental Accounting Standards Board Statement No. 83, *Certain Asset Retirement Obligations*, and Governmental Accounting Standards Board Statement No. 88, *Certain Disclosures Related to Debt, Including Direct Borrowings and Direct Placements*.

As discussed in Note 19 to the financial statements, the prior year financial statements have been restated to correct misstatements.

As discussed in Note 21 to the 2020 financial statements, the full extent of the COVID-19 pandemic's direct or indirect financial impact on the City is unknown. Management's plans in response to this matter are also described in Note 21.

INTERNAL CONTROL OVER FINANCIAL REPORTING

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the City's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

COMPLIANCE AND OTHER MATTERS

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of the City's compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

PURPOSE OF THIS REPORT

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, this

report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink that reads "Pat McCarthy". The signature is written in a cursive, flowing style.

Pat McCarthy, State Auditor

Olympia, WA

June 30, 2021

INDEPENDENT AUDITOR'S REPORT

Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance in Accordance with the Uniform Guidance

City of Redmond January 1, 2020 through December 31, 2020

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM

We have audited the compliance of the City of Redmond, with the types of compliance requirements described in the U.S. *Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended December 31, 2020. The City's major federal programs are identified in the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the City's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 *U.S. Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination on the City's compliance.

Opinion on Each Major Federal Program

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2020.

REPORT ON INTERNAL CONTROL OVER COMPLIANCE

Management of the City is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the City's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program in order to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Purpose of this Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink that reads "Pat McCarthy". The signature is written in a cursive, flowing style.

Pat McCarthy, State Auditor

Olympia, WA

September 27, 2021

INDEPENDENT AUDITOR'S REPORT

Report on the Financial Statements

City of Redmond January 1, 2020 through December 31, 2020

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2020, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed on page 18.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the City's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we express no such

opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of December 31, 2020, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Matters of Emphasis

As discussed in Note 18 to the financial statements, in 2020, the City adopted new accounting guidance, Governmental Accounting Standards Board Statement No. 83, *Certain Asset Retirement Obligations*, and Governmental Accounting Standards Board Statement No. 88, *Certain Disclosures Related to Debt, Including Direct Borrowings and Direct Placements*.

As discussed in Note 19 to the financial statements, the prior year financial statements have been restated to correct misstatements.

As discussed in Note 21 to the 2020 financial statements, the full extent of the COVID-19 pandemic's direct or indirect impact on the City is unknown. Management's plans in response to this matter are also described in Note 21. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information listed on page 18 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and

other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary and Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements as a whole. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). This schedule is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.

OTHER REPORTING REQUIRED BY GOVERNMENT AUDITING STANDARDS

In accordance with *Government Auditing Standards*, we have also issued our report dated June 30, 2021 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.



Pat McCarthy, State Auditor

Olympia, WA

June 30, 2021

FINANCIAL SECTION

City of Redmond January 1, 2020 through December 31, 2020

REQUIRED SUPPLEMENTARY INFORMATION

Management's Discussion and Analysis – 2020

BASIC FINANCIAL STATEMENTS

Statement of Net Position – 2020

Statement of Activities – 2020

Balance Sheet – Governmental Funds – 2020

Statement of Revenues, Expenditures and Changes in Fund Balances – Governmental
Funds – 2020

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund
Balances of Governmental Funds to the Statement of Activities – 2020

Statement of Net Position – Proprietary Funds – 2020

Statement of Revenues, Expenses and Changes in Fund Net Position – Proprietary Funds
– 2020

Statement of Cash Flows – Proprietary Funds – 2020

Notes to Financial Statements – 2020

REQUIRED SUPPLEMENTARY INFORMATION

Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual
– General Fund – 2020

Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual
– Development Review Fund – 2020

Schedule of Proportionate Share of the Net Pension Liability – PERS 1, PERS 2/3,
PSERS, LEOFF 1, LEOFF 2 – 2020

Schedule of Employer Contributions – PERS 1, PERS 2/3, PSERS, LEOFF 2 – 2020

Schedule of Changes in Total Pension Liability and Related Ratios – Firefighter's
Pension Plan – 2020

Schedule of Changes in Total OPEB Liability and Related Ratios – OPEB Plan –
LEOFF 1– 2020

Notes to the Required Supplementary Information – 2020

SUPPLEMENTARY AND OTHER INFORMATION

Schedule of Expenditures of Federal Awards – 2020

Notes to the Schedule of Expenditures of Federal Awards – 2020

Management's Discussion and Analysis

The management discussion and analysis section of the City of Redmond's Annual Comprehensive Financial Report provides an overview of the City's financial activities for the year ending December 31, 2020. The purpose is to highlight significant financial issues, major financial activities and resulting changes in the financial position and economic factors affecting the City. Readers are encouraged to consider the information presented here in conjunction with the information furnished in the letter of transmittal, the City's financial statements and the accompanying notes following the financial information.

Financial Highlights

In 2020 the COVID-19 pandemic had a significant impact on City revenues and program. Sales tax, recreational fees, utility charges and taxes declined, while development revenue and one-time resources best represented by construction activity remained strong. This is evident by the work in the downtown corridor, development activities in the Overlake area, construction of the new light rail system in partnership with Sound Transit, and the redevelopment of the Microsoft campus. The City also received new revenue; specifically earmarked for COVID response efforts and to provide assistance to the community. As shown below, the City continues its legacy of prudent financial management.

- As the impact to the City of the recession brought on by the pandemic became clear, reductions were identified that would keep the budget aligned with declining revenues while remaining focused on community priorities. In order to close much of this gap, the City reduced expenditures by \$5.6 million following a careful analysis of service level impacts while ensuring community health and safety remained protected. Reductions involving personnel included the elimination of several vacant ongoing full-time equivalent (FTE) positions as well as one-time savings which resulted from a hiring freeze. Efficiencies in non-personnel line items were also identified and included in this reduction package.
- The assets and deferred outflows of resources of the City of Redmond exceeded its liabilities and deferred inflows at fiscal year-end by \$1.0 billion (net position), an increase of \$16.3 million or 1.6% over 2019. Of this amount, a majority (\$782.9 million) is a net investment in capital assets. The unrestricted net position totals \$193.6 million and may be used to meet the city's ongoing obligations to residents and creditors. In addition, the restricted net position totals \$90.5 million and is earmarked for debt service, capital projects and special revenue funds.
- Ending net position includes a prior period adjustment of \$849,897; of which \$1.2 million is related to 2020 revenue reported in 2019, offset by \$1.1 million in expenses related to contributions held with an outside entity and expense of \$770,000 in assets that will not be owned by the City. In addition, (\$1.3) million is related to changes in accounting principles implemented in 2020. (See Notes 18 and 19 for additional information).
- At December 31, 2020, the City's governmental activities reported combined ending net position of \$591.2 million, an decrease of \$0.14 million over 2019. Approximately 13.3% of this amount (\$78.5 million) is available for spending at the City's discretion (*unrestricted* net position).
- The City of Redmond's investment in capital assets increased by \$19.1 million during the fiscal year. The increase is primarily due to transportation improvements needed to support light rail, specifically the State Route 520, 40th Street and 51st Street Ramp and Pedestrian Improvements (\$5.1 million), and a grade separation at 40th street (\$8.2 million) and Overlake Village Pedestrian Bridge (\$2.5 million), improving the environment (\$1.8 million); includes, the rehabilitation of Bear Creek and Evans Creek;. In addition to the more significant projects, the City continues encouraging a greener Redmond through replacement of the heat pumps at the Public Safety Building and improvements at Grass Lawn Park. Net investment in capital assets increase by only \$284,000 due to a change in reporting from 2019 to 2020.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the City of Redmond's basic financial statements, which are comprised of three components: 1) government wide financial statements, 2) fund financial statements and 3) notes to the financial statements. Other supplementary information, intended to furnish additional detail to support the basic financial statements, is also contained in the report.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City of Redmond's finances, in a manner similar to a private-sector business.

The **Statement of Net Position** presents financial information on all of the City of Redmond's assets, liabilities, and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City of Redmond is improving or deteriorating.

The **Statement of Activities** presents information designed to show how the City's net position changed during the year. The statement distinguishes revenue generated by specific functions from revenue provided by taxes and other sources not related to a specific function. The revenue generated by the specific functions (charges for services, grants, and contributions) is compared to the expenses for those functions to show the degree to which each function supports itself or relies on taxes and other general funding sources for support. All activity on this statement is reported on the accrual basis of accounting, requiring that revenues are reported when they are earned and expenses are reported when they are incurred, regardless of when cash is received or disbursed. Items such as (but not limited to) uncollected taxes, unpaid vendor invoices for goods or services received during the year and earned but unused vacation leave are included in the statement of activities as revenue and expenses even though no cash has changed hands.

The government-wide financial statements distinguish functions of the City of Redmond that are principally supported by taxes and intergovernmental revenues (*governmental activities*) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (*business-type activities*). The governmental activities of the City of Redmond include general government (finance, executive and human resources), security (police and fire), economic environment, transportation, and culture and recreation. The City's business-type activities are limited to water/wastewater and stormwater utilities. Governmental activities are primarily supported by taxes, charges for services, and grants. Business-type activities are primarily self-supporting through user fees and charges.

Fund Financial Statements

The annual comprehensive financial report includes fund financial statements in addition to the government-wide financial statements. While the government-wide statements present the City's finances based on the type of activity, general government versus business-type, the fund financial statements are presented by fund type such as the general fund, special revenue funds, and proprietary funds. A fund is a fiscal and accounting entity with a self-balancing set of accounts used to account for specific activities or meet certain objectives. Funds are often set up in accordance with special regulations, restrictions or limitations. The City of Redmond, like other state and local governments, uses fund accounting to ensure and show compliance with finance-related legal requirements. The City's funds are divided into two categories: governmental funds and proprietary funds.

Governmental funds are used to account for essentially the same functions as are reported as governmental activities in the government-wide financial statements. These reports use a different "basis of accounting" than that used in government-wide financial statements. The governmental fund statements focus on near-term revenues/financial resources and expenditures while the government-wide financial statements include both near-term and long-term revenues/financial resources and expenses. The information in the governmental fund statements can be used to evaluate the City's near-term financing requirements and immediate fiscal health. Comparing the governmental fund statements with the government-wide statements can help the reader better understand the long-term impact of the City's current year financing decisions. To assist in this comparison, reconciliations between the governmental fund statements and the government-wide financial statements are included with the governmental fund Balance Sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances.

The City of Redmond maintains thirteen individual governmental funds. The City has three major governmental funds – the general fund, the capital improvement program fund and the Development Review Fund – presented separately in the governmental fund Balance Sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances. The remaining governmental funds

are combined in this statement into a single column labeled other governmental funds. Individual fund data for each of the other governmental funds can be found in combining statements later in this report.

The City maintains budgetary control over its operating funds through the adoption of a biennial budget. Budgets are adopted at the fund level for all funds in accordance with state law. All budgetary comparison schedules are included following the other governmental funds' combining statements in this report.

Following is a brief analysis of each of the City's major governmental funds:

The General Fund is the primary operating fund of the City through which all receipts and payments of ordinary City operations are processed, unless they are required to be accounted for in another fund. At the end of 2020, the fund balance of the General Fund was \$85.9 million, which represents an increase from the prior year of \$18.7 million.

General Fund revenues increased by \$18.7 million (15.9%) in 2020. The key elements of this increase are as follows:

- Taxes increased by \$2.8 million primarily due to increased sales tax revenue of \$2.4 million. Sales tax sectors that contributed the most to this increase in revenue were construction, electronics and appliances and service sectors. Property tax growth in 2020 was 5.5% or \$1.5 this includes the 1% levy increase allowed by law and a rise in new construction.
- Electric, garbage and gas utility taxes decreased by \$266,000. Cable and telephone utility taxes decreased by \$36,000.
- Intergovernmental revenues increased by \$10.6 million due to an increase in grant revenue.
- License and permits revenue increased by \$1.0 million due to large development projects proceeding.

General Fund expenditures increased \$6.0 million (5.4%) over 2019, primarily due to costs associated with projects in support of Sound Transit light rail. Other expenditure increases include the typical rise in salary and benefits which average roughly 5% to 6% per year due to negotiated contracts with unions, state retirement costs and medical benefit increases.

The Capital Improvement Program Fund (CIP Fund) accounts for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds. At the end of 2020, the fund balance of the Capital Improvement Program Fund was \$32.9 million, which represents an increase from the prior year of \$2.1 million.

- Capital Improvement Program Fund revenues increased by \$1.0 million (9.7%) in 2020. Contributing factors include an increase in charges for services (impact fee revenue) of \$745,000 and \$1.3 million in intergovernmental grant revenues. Increases were offset by a decrease of \$682,000 in miscellaneous revenue related to special assessment revenues and a decrease in investment income of \$333,000.
- Capital Improvement Program Fund expenditures increased by \$1.6 million (12.7%) in 2020, due to the completion of major capital projects in 2020; including the renovation of the Redmond poll and the State Route 520 grade separation at 40th street.
- Capital Improvement Program Fund net transfers between other funds increased by \$1.7 million primarily due to transfers from the CIP Fund to the utility funds for projects funded by Community Facilities District 2016-1 and between the capital construction funds and the major maintenance funds in the general fund.

The Development Review Fund was established in 2013 to provide support services for large, private development(s) in the city. In accordance with GASB 34, the City performed the major fund calculation and determined that the Development Review Fund meets the requirement to qualify as a major fund. AS reported on the Statement of Revenues, Expenditures and Changes in Fund Balances – Governmental Funds, total revenues equals \$7.9 million and with total expenditures equalling \$5.4 million. At the end of 2020 the fund balance of the Development Review Fund was \$8.3 million, which represents an increase from the prior year of \$1.2 million or 18%. Funding is provided through negotiated agreements with the customer(s). The most significant projects currently supported by the fund include Microsoft's campus redevelopment and Sound Transit's extension of East Link light rail from Bellevue to Redmond.

Proprietary funds are used by governments to account for their business-type activities. Business-type activities provide specific goods or services to a group of customers that are paid for by fees charged to those customers. There is a direct relationship between the fees paid and the services received.

The City of Redmond has two types of proprietary funds, enterprise funds and internal service funds. Enterprise funds are used to account for goods and services provided to the community. Internal service funds are used to account for goods and services provided internally to various City departments. The same basis of accounting is used for proprietary funds in both the government-wide statements and the individual fund statements.

Enterprise funds of the City are used to report the same functions presented as business-type activities in the government-wide statements with the fund statements providing more detail than is reported in the government-wide statements. The enterprise fund statements provide separate information for the City's water/wastewater utility, an Urban Planned Development (UPD) water/wastewater utility outside the City limits, and the City's stormwater utility.

Internal service funds are an accounting device used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for its fleet of vehicles, insurance premiums and claims, medical self-insurance, worker's compensation self-insurance program, and information technology. Internal service fund activities are predominantly governmental and have been included in the governmental activities' columns of the government-wide Statement of Net Position and Statement of Activities.

Notes to the financial statements

The notes to the financial statements provide additional information that is important for a full understanding of the data in the government-wide and fund financial statements. The notes are located immediately following the basic financial statements.

Other information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's progress in funding its obligation to provide pension benefits, and lifetime medical benefits to uniformed personnel hired before October 1, 1977. Required supplementary information may be found immediately following the notes to the financial statements.

The combining statements for other governmental funds and internal service funds are presented immediately following the required supplementary information.

Government-wide Financial Analysis

Statement of Net Position

The Statement of Net Position can serve as a useful indicator of the City's financial position. The City of Redmond's net position at December 31, 2019 and 2020 total \$1.05 billion and \$1.07 billion respectively. The City's overall net position increased \$16.4 million (1.6%) from the prior fiscal year. The reasons for this overall increase are discussed in the following sections for governmental activities and business-type activities.

By far, the largest portion of the City's net position (\$782.9 million; 73.4%) reflects net investment in capital assets (e.g., land, buildings, machinery, equipment, vehicles, and infrastructure), less any related outstanding debt that was used to acquire those assets. The City uses these capital assets to provide a variety of services to the community. Accordingly, these assets are not available for future spending. Although investment in capital assets is reported net of related debt, it should be noted that the resources used to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities. An additional portion of the City's net position (\$90.5 million or 8.5%) represents resources that are subject to external restrictions on how they may be used. The largest portion of these funds is restricted for capital projects (\$55.1 million), net pension asset (\$18.8 million), and public safety (\$4.8 million). The remaining balance of \$193.6 million (18.1%) is unrestricted and may be used to meet the City's ongoing obligations to the community and creditors.

Following is a condensed version of the government-wide Statement of Net Position for 2020 compared to 2019.

City of Redmond's Net Position (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2020	2019	2020	2019	2020	2019
Current and other assets	\$ 193,264	\$ 198,871	\$ 127,575	\$ 119,144	\$ 320,839	\$ 318,015
Net pension asset	17,527	20,959	-	-	17,527	20,959
Capital assets, net of accumulated depreciation	483,008	478,588	378,430	369,781	861,438	848,369
Total assets	\$ 693,799	\$ 698,418	\$ 506,005	\$ 488,925	\$ 1,199,804	\$ 1,187,343
Deferred outflow s:						
Debt refunding	2,652	2,865	-	-	2,652	2,865
Pensions	8,150	6,075	804	697	8,954	6,772
OPEB	287	212	-	-	287	212
Asset retirement Obligation	155		1,270		1,425	
Total assets and deferred outflow s	\$ 705,043	\$ 707,570	\$ 508,079	\$ 489,622	\$ 1,213,122	\$ 1,197,192
Long-term liabilities	\$ 67,964	\$ 57,798	\$ 26,998	\$ 25,386	\$ 94,962	\$ 83,184
Net pension liability	11,261	11,893	2,622	2,620	13,883	14,513
OPEB liability	17,763	15,274	-	-	17,763	15,274
Other liabilities	10,328	17,757	1,782	769	12,110	18,526
Total liabilities	\$ 107,316	\$ 102,722	\$ 31,402	\$ 28,775	\$ 138,718	\$ 131,497
Deferred inflow s - Pensions	6,480	13,463	815	1,536	7,295	14,999
Total liabilities and deferred inflow s	\$ 113,796	\$ 116,185	\$ 32,217	\$ 30,311	\$ 146,013	\$ 146,496
Net Position						
Net investment in capital assets	\$ 429,592	\$ 429,308	\$ 353,335	\$ 345,048	\$ 782,927	\$ 774,356
Restricted	83,108	115,240	7,441	7,742	90,549	122,982
Unrestricted	78,547	46,837	115,086	106,521	193,633	153,358
Total net position	\$ 591,247	\$ 591,385	\$ 475,862	\$ 459,311	\$ 1,067,109	\$ 1,050,696

Changes in net position

The change in net position table illustrates the increases or decreases in net position of the City resulting from its operating activities. Following is a condensed version of the City's changes in net position. The table shows the revenues, expenses, and related changes in net position in tabular form for the governmental activities separate from the business-type activities for 2020 and 2019.

City of Redmond's Changes in Net Position (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2020	2019	2020	2019	2020	2019
Revenues:						
Program revenues:						
Charges for services	\$ 49,941	\$ 52,805	\$ 58,691	\$ 58,618	\$ 108,632	\$ 111,423
Operating grants and contributions	20,344	5,738	4,912	1,878	25,256	7,616
Capital grants and contributions	2,266	980	4,938	5,339	7,204	6,319
General revenues:						
Property taxes	28,225	26,747	-	-	28,225	26,747
Sales taxes	42,750	40,698	-	-	42,750	40,698
Other taxes	22,173	26,900	-	-	22,173	26,900
Investment interest	3,283	4,090	2,230	2,908	5,513	6,998
Miscellaneous	6,755	7,961	404	490	7,159	8,451
Total revenues	\$ 175,737	\$ 165,919	\$ 71,175	\$ 69,233	\$ 246,912	\$ 235,152
Expenses:						
General government	\$ 27,793	\$ 25,889	\$ -	\$ -	\$ 27,793	\$ 25,889
Public Safety	65,454	58,614	-	-	65,454	58,614
Economic environment	15,050	12,179	-	-	15,050	12,179
Transportation	27,587	20,619	-	-	27,587	20,619
Culture and recreation	10,797	15,641	-	-	10,797	15,641
Interest on long term debt	2,101	2,263	-	-	2,101	2,263
Water/Wastewater	-	-	35,947	33,285	35,947	33,285
UPD Water/Wastewater	-	-	6,698	6,970	6,698	6,970
Stormwater	-	-	11,506	11,463	11,506	11,463
Total expenses	\$ 148,782	\$ 135,205	\$ 54,151	\$ 51,718	\$ 202,933	\$ 186,923
Increase/(Decrease) in net position						
Before special item and transfers	26,955	30,714	17,024	17,515	43,979	48,229
Special Item - loss on sale of land	-	(1,733)	-	-	-	(1,733)
Special Item - CFD 2014-1	(25,411)				(25,411)	-
Transfers, internal activities	(91)	(327)	91	327	-	-
Increase (decrease in net position)	1,453	28,654	17,115	17,842	18,568	46,496
Net position - beginning	591,386	567,381	459,311	441,469	1,050,697	1,008,850
Prior period adjustments	(879)	(4,649)	29	-	(850)	(4,649)
Changes in accounting principles - GASB 75	(713)	-	(593)	-	(1,306)	-
Net position - ending	\$ 591,247	\$ 591,386	\$ 475,862	\$ 459,311	\$ 1,067,109	\$ 1,050,697

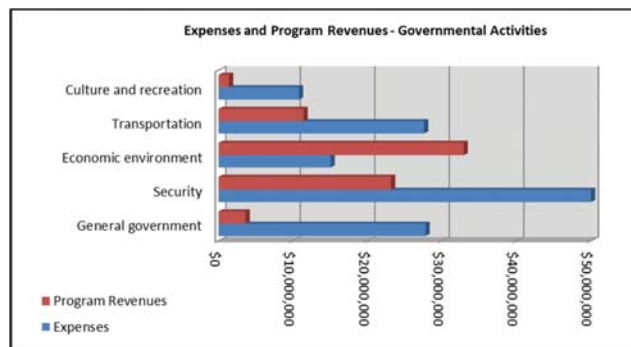
Governmental activities

During the 2020 fiscal year, net position for governmental activities decreased \$138,400 (.02%), compared to \$24.0 million (4.2%) in 2019. Key elements of the increase are as follows:

- Total assets and deferred outflows from Governmental activities decreased by \$2.5 million (.4%).
 - Cash and investments decreased \$7.2 million (4.4%) from 2019 to 2020.
 - Due from other governments increased \$9.2 million (209.4%) in 2020 due to grants received for capital projects such as the State Route 520 Trail Grade project.
 - Investment in capital assets decreased by \$945,000 (.3%), which is consistent with the City's plans for investments in infrastructure and technology and includes assets contributed by developers as a result of the City's development surge.
 - Net pension asset decreased \$3.4 million, and deferred outflows for pensions increased \$2.1 million. See Note 7 – Pensions for additional information.
- Total liabilities and deferred inflows from Governmental activities decreased by \$2.3 million (2.0%).
 - Debt decreased by \$3.6 million due to principal payments on debt previously held by the City. See Note 11 – Long-Term Obligations for more information.
 - Net pension liability (including total pension liability for the fire fighter pension plan) decreased \$114,000 or 0.1% from 2019 and deferred inflows for pensions decreased \$7.0 million. See Note 7 – Pensions for additional information.
 - Claims increased \$3.2 million and payments due to other governments decreased by \$1.2 million.

- Total revenue decreased between 2019 and 2020 by \$13.6 million or 8.3%.
 - Total tax revenues decreased by \$1.2 million (1.3%) compared to 2019, due to an decrease in business and occupation taxes and Excise taxes of \$1.0 million and \$3.7 million respectively; offset by an increase in property and sales tax revenues of \$1.4 million and \$2.1 million respectively.
 - Program revenues increased by \$15.8 million 12.6% primarily due to an increase in grant revenues of \$15.9 million of which \$9.3 million is related to transportation and non-motorized projects and pool improvements; \$3.1 million is for assistance related to COVID-19. Increases were offset by a decrease in revenue of \$4.8 million related to culture and recreation and general government – charges for services.
 - Miscellaneous revenue decreased \$2.1 million several factors contributed. Updated budgeting, account and reporting system (BARS) guidance resulted in an increase of \$3.4 million, this was offset by a decreases in special assessment revenue in 2019 compared to 2020 for Redmond Community Facilities Districts (CFD) and an increase of \$5.5 million in expenses related to CFD 2014-1.
 - Total expenses increased by \$13.6 million (10.0%), primarily attributable to increase in economic environment expenditures of \$2.9 million, public safety \$6.8 million and \$7.0 in transportation. Increases were related to an increase in the execution of Microsoft Refresh project, continuation of investing in capital outlay to further goals of the City's Investment Strategy and related to public safety personnel deployed to wildfire stricken areas & COVID-19 related emergencies. The total increase were offset by a decrease of \$4.8 million in recreation program expenses as a result of facility closures and cancellation of programs due to COVID-19 pandemic

The graph that follows compares program revenues to program expenses from the Statement of Activities and illustrates the impact of various city functions on net position from operations before taxes, for the governmental activities for 2020.



General Fund Budgetary Highlights

The City of Redmond budgets on a biennial basis and in comparing the original budget to the final budget for 2020, several changes took place including:

- Recognizing the difference between budgeted and actual beginning fund balances.
- Recognizing revenue and expenses related to departmental reorganizations.
- Recognizing awarded grant revenue.
- Increasing a transfer and related expenditure for a real property purchase.
- Reducing expenditures in response to the COVID-19 pandemic; including freezing hiring for vacant positions.

Total actual revenues came in over budget by \$10.5 million (7%). When comparing budget to actuals, some notable differences occurred, including:

- Sales and use tax came in \$9.75 million or 31% over budgeted levels. The increase is primarily as a result of sales tax from the construction of significant projects such as light rail and new buildings in the City of Redmond.
- Permit revenue declined slightly from \$13.2 million in collections compared to budgeted levels of \$13.5 million primarily due to City lockdown due to COVID-19 pandemic.

- Utility taxes declined slightly from \$9.9 million in collections compared to budgeted levels of \$12.6 million primarily due to the purchase of wholesale electricity by a large customer and the vacancy of commercial buildings because of pandemic.
- Miscellaneous revenue slightly increased by \$2.7 million primarily due to proceeds from sale of capital assets.

Total actual expenditures are below the annual budget by \$2.5 million in the General Fund due to:

- Approximately, \$2.19 million of professional services was spent in 2020 on projects such as the North/South Corridor Study, update urban street design standards, betterments on SR202 & NE 76th street, 520 trail grade separation, GIS network updates, Erratic Art Relocation and Transportation Master Plan design. Approximately, \$2.9 million is spent on Covid related expenditures, for internal City expenditures and \$2.5 million was awarded to outside agencies in the City.
- Outside repairs and maintenance were \$9.1 million below the as some projects had a slow start including but not limited to SR520 Grade separation project, Bel-red road resurfacing project and some of these costs may occur in year 2021.
- Overtime salaries were approximately \$1.3 million over budget due to vacancies, personnel in quarantine for potential COVID exposure, personnel deployed to wildfire-stricken areas in public safety departments
- Approximately, \$4.2 million of Other services and charges were spent in 2020 are payments to A Regional Coalition for Housing to fund an affordable housing project.

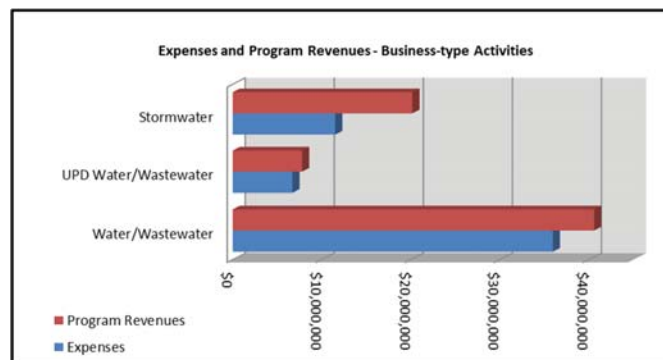
Business-type Activities

Business-type activities account for 44.6% of the City's net position. Business-type activities of the City's utilities increased the City of Redmond's net position by \$16.5 million (3.7%).

Key elements of this increase are as follows:

- Investment in capital assets increased \$9.8 million or 2.9% between 2019 and 2020. Net investment in capital assets increased by \$8.2 million or 2.4% due to a change in reporting from 2019 to 2020.
- The Water/Wastewater utility showed operating income of \$0.44 million in 2020 compared to \$3.7 million in 2019, this is primarily related to a decreased in revenue of \$.64 million and an increase in expenditures related to the purchase of water of \$1.72 million. Novelty Hill Water/Wastewater utilities showed operating income of \$0.97 million compared to \$0.40 million in 2019 due to an increase in operating income of \$.54 million and a reduction in operating costs of \$272,000. When non-operating income and capital contributions are included, the change in net position is \$5.7 million for the Water/Wastewater utility and \$1.7 million for the UPD Water/Wastewater utility.
- The decrease in revenue compared to 2019 was primarily caused by a significant reduction in water consumption from the in-City commercial class customers due to COVID related closures.
- The Storm water utility showed operating income of \$3.9 million in 2020 compared to \$3.6 million in 2019, due to slight increases in operating revenues. When non-operating income and capital contributions are included, the change in net position is \$9.6 million, compared to \$7.6 million in 2019. This is primarily a result of an increase in capital contributions.

The graph that follows compares program revenues to program expenses from the Statement of Activities and illustrates the revenues by source separately for the business-type activities for 2020:



City of Redmond's Capital Assets (net of depreciation)

The City of Redmond's investment in capital assets for its governmental and business-type activities (not including investment in joint ventures) as of December 31, 2020, amounts to \$861.4 million (net of accumulated depreciation) an increase of \$13.1 million from 2019. Investment in capital assets includes land, art and construction in progress, which are not subject to depreciation. The other capital assets, buildings and building improvements, improvements other than buildings, machinery and equipment, and infrastructure are subject to depreciation.

Governmental type capital assets (net of depreciation) totaled \$483.0 million in 2020, a decrease of \$4.4 million from 2019. Business-type capital assets (net of depreciation) totaled \$378.4 million, an increase of \$8.6 million from 2019. In addition to the effects of depreciation, these increases are the result of land acquisitions, improvements to buildings, contributed capital, and construction in progress. More information on the City's Capital Assets can be found in Note 6 – Capital Assets, in the notes to the financial statements.

City of Redmond's Capital Assets (net of depreciation) (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2020	2019	2020	2019	2020	2019
Land & Land Rights	\$ 157,554	\$ 156,461	\$ 25,755	\$ 25,528	\$ 183,309	\$ 181,989
Intangibles	-	-	1,125	838	1,125	838
Buildings/ Bldg. Improvements	60,270	62,852	26,530	27,290	86,801	90,142
Improvements other than Buildings	31,327	32,826	297,127	295,868	328,455	328,694
Machinery and Equipment	14,341	15,233	734	866	15,076	16,099
Construction in Progress	20,392	16,119	27,158	19,391	47,550	35,510
Infrastructure	198,550	194,524	-	-	198,550	194,524
Art	573	573	-	-	573	573
Total	\$ 483,009	\$ 478,588	\$ 378,430	\$ 369,781	\$ 861,440	\$ 848,369

City of Redmond's Outstanding Debt

At the end of 2019, the City of Redmond had total bonded debt outstanding of \$48.5 million. Of this amount, \$47.4 million is general obligation bonds (City Hall, Bear Creek Parkway, transportation and parks) and \$1.1 million is a Public Works Trust Fund Loan for the 161st NE Extension project.

City of Redmond's Long-term Debt (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2020	2019	2020	2019	2020	2019
General obligation bonds	\$ 42,810	\$ 47,420	\$ -	\$ -	\$ 42,810	\$ 47,420
G.O. bond premiums	3,285	3,591	-	-	3,285	3,591
Revenue bonds	-	-	17,785	18,665	17,785	18,665
Revenue bond issuance premiums	-	-	2,195	2,357	2,195	2,357
Public Works Trust Fund loans	1,039	1,133	3,514	3,711	4,553	4,844
Total	\$ 47,134	\$ 52,144	\$ 23,494	\$ 24,733	\$ 70,628	\$ 76,877

From a historical perspective, in 2013 the City issued \$33.1 million in limited tax general obligation refunding bonds to advance refund \$32.8 million of outstanding 2004 Limited Tax General Obligation Lease Revenue Bonds for City Hall and the parking garage. The refunding resulted in deferred outflows of \$1.5 million. In December 2015, the City issued \$9.3 million in limited tax general obligation refunding bonds with an interest rate of 3.00% to advance refund \$8.9 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$1.0 million. In January 2016, the City issued \$11.6

million in limited tax general obligation refunding bonds with an interest rate of 2.0%-5.0% to advance refund \$11.7 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$1.4 million.

In 2016, the City also issued \$6,000,000 in new limited tax general obligation bonds with an interest rate of 2.0%-5.0% to provide funds to finance the costs of transportation improvements.

For further details related to the outstanding debt please refer to note 11 – Long-term Obligations, in the notes to the financial statements.

Economic Factors and Next Year's Budget and Rates

In February 2020, the U.S economy fell into a deep recession by Coronavirus disease (COVID-19) impacts.. The City of Redmond experienced significant declines in employment, gross domestic product (GDP) and consumer spending in the first half of 2020. The City lockdown had a significant impact on City revenues with forecasts for sales tax, development revenue, recreational fees, utility charges and other taxes and fees declining by approximately \$6.3 million in 2020.

Additional revenue shortfalls include utility and business taxes as the pandemic continues to impact Redmond businesses. Development-related revenues remain strong in year 2020 and Property Tax continues to be a stable source of revenue for the General Fund. The sectors from which revenue losses have become apparent include publishing, telecommunications and information services industries and hotels and restaurants.

Although conditions have improved since the downturn began, indicators of economic recovery remain uneven and precarious. Consumer spending still exhibits a 10.2% year-over-year decline. Employment in the construction sector has returned to pre-pandemic levels, but job numbers in the restaurant and lodging industries are just half of what they were in 2019. Consumer confidence has shown it is sensitive to surges in COVID-19 cases, suggesting that recovery remains linked to the progression of the pandemic. Furthermore, the recovery in consumer spending appears to coincide with the start of efforts to stimulate the economy but the nature of future large-scale stimulus measures remains to be seen.

Developed during these unprecedented times, the City of Redmond 2021-2022 Budget offers a roadmap from the challenges presented by the COVID-19 pandemic and its related economic disruption to an outlook for the City's eventual recovery.

The Long-Range Financial Strategy (LRFS) is the framework which the City of Redmond uses to make budget decisions over future budget cycles. It encourages a deeper understanding of Redmond's service commitments to the community and a plan to meet those commitments in a sustainable and responsible manner. Such a strategy makes it possible to focus on Redmond's vision to realize the future as a connected community that enhances livability and sustains the environment, and that places Redmond as a leader locally, regionally, and nationally. Through innovation and efficiencies, Redmond continues to provide quality services that meet or exceed the expectations of our community members. Strong financial stewardship and quality customer service is a hallmark of Redmond city government and is evidenced by the City's AAA bond rating.

The City's infrastructure investments reinforce the urban centers, Downtown, Overlake and Marymoor Village, as the primary growth areas and preserve the character of Redmond's residential neighborhoods. Light rail will be arriving at stations in the Overlake and Downtown Urban Centers in 2023 and 2024, respectively, generating additional growth. Also anchored by a new light rail station, the new Marymoor Village is further anticipated to add over 1,400 dwelling units and one million square feet of new commercial space by 2030.

Redmond's two urban centers, Downtown and Overlake are thriving centers of residential and commercial activity. Development of Downtown urban center is progressing, with thousands of new housing units having come online and many hundreds more programmed over the next several years, complemented by strategic investments in the new Downtown Park and transportation infrastructure that promotes mobility choices. Planning efforts continue to refine design standards, zoning district regulations, parking management, and wellhead protection in the Downtown.

Overlake is thoughtfully evolving into the envisioned urban center. The redevelopment of the Microsoft campus will generate new opportunities and new challenges for the City's infrastructure and services as more than 8,000 new jobs are located in the area. Other large projects like Esterra Park, for example, have seen this largely suburban area start to take on a more urban feel, replete with needs for large-scale infrastructure investments much like the completed regional stormwater vaults and the proposed pedestrian bridge over State Route 520. These improvements are in addition to major infrastructure investments by other entities, like Microsoft and Sound Transit.

In 2020, General Fund revenue ended the year over expectations primarily due to higher than anticipated sales tax on construction and growth in development review as a result of a development surge in the region and some significant infrastructure projects in the City. Some General Fund revenues, including sales tax from restaurants and rental and leasing services, decreased as a result of COVID-19 lockdowns and eviction moratoriums. However, departments successfully managed their expenditures to these decreases in revenue, and as a result, General Fund expenditures were approximately 8% below the authorized budget (excluding ending fund balances). Redmond will continue to make progress on its infrastructure goals by continuing work in Downtown, Overlake and SE Redmond related to the light rail stations and pedestrian friendly amenities. In conjunction with mobility choices, the City will improve on housing choices by partnering with regional and private organizations to create transit-oriented housing developments that support affordable and workforce housing. Lastly, the City will continue to maintain existing infrastructure through replacing aging pump stations and force mains, renovating facilities and preserving transportation facilities.

As a part of a technologically progressive community, Redmond continues to invest in replacing outdated technology systems through the implementation of a new Workforce Management system (WFM) to allow for the efficient data capture of employee information from hire to retirement, improving its existing records management system (ECM) to effectively manage responses to the large volume of records requests organization-wide, implementing an environmental sustainability data collection platform, and implementation of an updated finance Enterprise Resource Planning (ERP) system. In addition to technology improvements, the City will continue efforts to improve processes, customer service, and organizational development.

Requests for Information

This financial report is designed to provide a general overview of the City of Redmond's finances for readers with an interest in the government's finances. Questions concerning any of the information provided in this report, or requests for additional information, may be addressed to the Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

CITY OF REDMOND
STATEMENT OF NET POSITION
DECEMBER 31, 2020

	Governmental Activities	Business-Type Activities	Total
ASSETS			
Cash and cash equivalents	\$ 45,135,175	\$ 34,369,703	\$ 79,504,878
Cash with outside agency	1,352,985	-	1,352,985
Investments (Note 3)	111,093,800	79,231,841	190,325,641
Receivables:			
Taxes	11,448,448	-	11,448,448
Accounts	808,820	5,162,438	5,971,258
Interest	322,569	214,162	536,731
Due from other governments	13,540,560	963,071	14,503,631
Inventory	85,690	124,637	210,327
Prepayments	833,090	-	833,090
Net pension asset	17,526,616	-	17,526,616
Restricted assets:			
Deposit cash	1,507,042	58,473	1,565,515
Deposit investments	7,135,731	-	7,135,731
Revenue bond reserve	-	1,634,409	1,634,409
Rate stabilization fund	-	5,807,077	5,807,077
Advance on service contract	-	9,828	9,828
Capital assets (Note 6):			
Land, artwork, construction in progress	178,519,446	54,037,875	232,557,321
Depreciable capital assets, net	304,489,420	324,392,072	628,881,492
Total assets	<u>693,799,392</u>	<u>506,005,586</u>	<u>1,199,804,978</u>
DEFERRED OUTFLOWS OF RESOURCES			
Debt refunding	2,652,355	-	2,652,355
Pensions	8,149,960	804,476	8,954,436
OPEB	286,617	-	286,617
Asset retirement obligations	155,021	1,269,707	1,424,728
Total deferred outflows of resources	<u>11,243,953</u>	<u>2,074,183</u>	<u>13,318,136</u>
Total assets and deferred outflows of resources	<u>705,043,345</u>	<u>508,079,769</u>	<u>1,213,123,114</u>
LIABILITIES			
Payables:			
Accounts/claims	10,486,832	1,856,425	12,343,257
Retainage payable	237,793	55,144	292,937
Employee wages	3,079,753	392,029	3,471,782
Interest	145,252	71,347	216,599
Due to other governments	1,043,679	62,849	1,106,528
Unearned revenues	5,107	28,709	33,816
Customer deposits	7,135,731	58,473	7,194,204
Noncurrent liabilities (Note 11):			
Due within one year	10,260,608	1,849,466	12,110,074
Due in more than one year	44,511,173	22,543,112	67,054,285
Asset retirement obligation	867,900	1,862,331	2,730,231
Net pension liability	11,260,702	2,622,021	13,882,723
Total pension liability-firefighters' pension plan	518,247	-	518,247
Total OPEB liability	17,763,350	-	17,763,350
Total liabilities	<u>107,316,127</u>	<u>31,401,906</u>	<u>138,718,033</u>
DEFERRED INFLOWS OF RESOURCES			
Pensions	6,480,015	815,266	7,295,281
Total deferred inflows of resources	<u>6,480,015</u>	<u>815,266</u>	<u>7,295,281</u>
Total liabilities and deferred inflows of resources	<u>113,796,142</u>	<u>32,217,172</u>	<u>146,013,315</u>
NET POSITION			
Net investment in capital assets (Note 6)	429,591,587	353,334,861	782,926,448
Restricted for:			
Net pension asset	18,781,849	-	18,781,849
Public Safety	4,849,625	-	4,849,625
Cable access	64,232	-	64,232
Parks	407,014	-	407,014
Debt service	24,646	1,634,409	1,659,055
Capital projects	37,218,475	-	37,218,475
Impact fees	17,941,526	-	17,941,526
Tourism	889,661	-	889,661
Planning-Transportation	1,791,710	-	1,791,710
Recycling	1,140,235	-	1,140,235
Rate stabilization fund	-	5,807,077	5,807,077
Unrestricted	78,546,643	115,086,250	193,632,893
Total Net Position	<u>\$ 591,247,203</u>	<u>\$ 475,862,597</u>	<u>\$ 1,067,109,800</u>

The notes to the financial statements are an integral part of this statement

CITY OF REDMOND
STATEMENT OF ACTIVITIES
For the Year Ended December 31, 2020

Function/Program	Program Revenues				Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Governmental activities:							
General government	\$ 27,792,828	\$ 468,132	\$ 3,178,032	\$ -	\$ (24,146,664)	\$ -	\$ (24,146,664)
Public Safety	65,453,963	19,885,344	3,280,545	-	(42,288,074)	-	(42,288,074)
Transportation	27,586,731	618,061	9,514,598	1,286,186	(16,167,886)	-	(16,167,886)
Economic environment	15,050,352	28,603,916	4,309,753	-	17,863,317	-	17,863,317
Culture and recreation	10,796,732	365,584	61,240	980,000	(9,389,908)	-	(9,389,908)
Interest on long-term debt	2,101,262	-	-	-	(2,101,262)	-	(2,101,262)
Total governmental activities	<u>148,781,868</u>	<u>49,941,037</u>	<u>20,344,168</u>	<u>2,266,186</u>	<u>(76,230,477)</u>	<u>-</u>	<u>(76,230,477)</u>
Business-type activities							
Water/Wastewater	35,947,356	36,390,234	2,166,014	2,030,373	-	4,639,265	4,639,265
UPD Water/Wastewater	6,697,620	7,670,610	116,260	-	-	1,089,250	1,089,250
Stormwater	11,506,402	14,630,543	2,629,325	2,907,961	-	8,661,427	8,661,427
Total business-type activities	<u>54,151,378</u>	<u>58,691,387</u>	<u>4,911,599</u>	<u>4,938,334</u>	<u>-</u>	<u>14,389,942</u>	<u>14,389,942</u>
Total government	<u>\$ 202,933,246</u>	<u>\$ 108,632,424</u>	<u>\$ 25,255,767</u>	<u>\$ 7,204,520</u>	<u>(76,230,477)</u>	<u>14,389,942</u>	<u>(61,840,535)</u>
General revenues:							
Taxes							
Property					28,224,794	-	28,224,794
Sales					42,750,524	-	42,750,524
Business and occupation					15,059,846	-	15,059,846
Excise					7,112,886	-	7,112,886
Investment interest					1,991,943	1,306,201	3,298,144
Gain (loss) in change of fair value					1,290,663	924,417	2,215,080
Miscellaneous					1,313,537	404,293	1,717,830
Contributions/Disposal of capital assets					5,441,649	-	5,441,649
Special item - CFD 2014-1 revised funding agreement					(25,411,409)	-	(25,411,409)
Transfers, internal activities					(90,958)	90,958	-
Total general revenues					<u>77,683,475</u>	<u>2,725,869</u>	<u>80,409,344</u>
Change in net position					1,452,998	17,115,811	18,568,809
Net position-beginning					591,385,651	459,310,740	1,050,696,391
Prior period adjustments (Note 19)					(878,567)	28,670	(849,897)
Change in accounting principle (Note 19)					(712,879)	(592,624)	(1,305,503)
Net position-ending					<u>\$ 591,247,203</u>	<u>\$ 475,862,597</u>	<u>\$ 1,067,109,800</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
BALANCE SHEET
GOVERNMENTAL FUNDS
December 31, 2020

	General Fund	Development Review Fund	Capital Improvements Program Fund	Other Governmental Funds	Governmental Funds Total
ASSETS					
Cash and cash equivalents	\$ 19,121,921	\$ 2,848,456	\$ 15,269,632	\$ 5,256,038	\$ 42,496,047
Cash with outside agency	1,352,985	-	-	-	1,352,985
Investments	48,224,829	4,463,429	38,532,837	13,213,398	104,434,493
Receivables:					
Taxes	9,333,913	-	-	2,114,535	11,448,448
Accounts	223,948	541,785	1,632	41,455	808,820
Interest	129,376	11,303	130,859	28,546	300,084
Due from other funds	1,824,394	-	-	-	1,824,394
Due from other governments	9,192,311	685,921	541,393	3,120,935	13,540,560
Prepayments	117,032	-	-	39,399	156,431
Restricted assets:					
Deposit investments	4,430,112	2,692,431	3,188	10,000	7,135,731
Cash	1,502,866	-	4,176	-	1,507,042
Total assets	<u>\$ 95,453,687</u>	<u>\$ 11,243,325</u>	<u>\$ 54,483,717</u>	<u>\$ 23,824,306</u>	<u>\$ 185,005,035</u>
LIABILITIES, DEFERRED INFLOWS AND FUND BALANCES					
Liabilities:					
Accounts/claims payable	\$ 1,699,523	\$ 89,097	\$ 6,323,204	\$ 222,754	\$ 8,334,578
Retainage payable	102,633	-	135,160	-	237,793
Employee wages payable	2,378,898	155,207	20,015	297,368	2,851,488
Due to other funds	-	-	-	1,781,565	1,781,565
Due to other governments	890,359	-	2,327	73,798	966,484
Payable from restricted assets:					
Deposits payable	4,430,112	2,692,431	3,188	10,000	7,135,731
Unearned revenues	-	-	-	5,107	5,107
Total liabilities	<u>9,501,525</u>	<u>2,936,735</u>	<u>6,483,894</u>	<u>2,390,592</u>	<u>21,312,746</u>
Deferred Inflows of resources:					
Unavailable revenue-special assessments	-	-	15,061,108	-	15,061,108
Total deferred inflows	<u>-</u>	<u>-</u>	<u>15,061,108</u>	<u>-</u>	<u>15,061,108</u>
Fund balances: (Note 4)					
Non-spendable	117,032	-	-	39,399	156,431
Spendable:					
Restricted	3,448,033	-	24,570,949	21,247,035	49,266,017
Committed	10,290,147	8,306,590	-	147,280	18,744,017
Assigned	31,545,904	-	8,367,766	-	39,913,670
Unassigned	40,551,046	-	-	-	40,551,046
Total fund balances	<u>85,952,162</u>	<u>8,306,590</u>	<u>32,938,715</u>	<u>21,433,714</u>	<u>148,631,181</u>
Total liabilities, deferred inflows, and fund balances	<u>\$ 95,453,687</u>	<u>\$ 11,243,325</u>	<u>\$ 54,483,717</u>	<u>\$ 23,824,306</u>	
Amounts reported for governmental activities in the Statement of Net Position are different because:					
Capital assets used in governmental activities are not financial resources and therefore not reported in the funds.					474,403,972
Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance to individual funds. The assets and liabilities of these internal service funds are included in governmental activities in the Statement of Net Position.					14,771,109
Some liabilities, including bonds, loans, and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds. (Note 2)					(51,183,163)
The net pension asset, net pension liability, total pension liability for firefighters' pension plan, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet. (Note 2)					(10,437,004)
Special assessments are susceptible to full accrual in the government-wide statements, but are reported as deferred inflows in the governmental funds.					15,061,108
Net position of governmental activities					<u>\$ 591,247,203</u>
The notes to the financial statements are an integral part of this statement.					

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2020

	General Fund	Development Review Fund	Capital Improvements Program Fund	Other Governmental Funds	Total Governmental Funds
REVENUES					
Taxes	\$ 84,839,973	\$ -	\$ -	\$ 8,308,076	\$ 93,148,049
Licenses and permits	13,200,994	7,707,174	-	84,475	20,992,643
Contributions	4,200,585	-	-	38,070	4,238,655
Intergovernmental	15,838,895	-	2,266,186	266,616	18,371,697
Charges for services	13,569,025	-	6,603,076	8,361,445	28,533,546
Fines and forfeitures	407,246	-	-	7,600	414,846
Investment income	778,048	67,325	497,335	236,029	1,578,737
Net change in fair value of investment	647,438	84,989	348,762	146,645	1,227,834
Miscellaneous	2,880,574	-	1,814,342	1,477,018	6,171,934
Total revenues	<u>136,362,778</u>	<u>7,859,488</u>	<u>11,529,701</u>	<u>18,925,974</u>	<u>174,677,941</u>
EXPENDITURES					
Current:					
General government	22,760,364	340	3,897	-	22,764,601
Public safety	51,651,101	908,438	-	7,925,297	60,484,836
Transportation	18,535,207	202,574	-	666,743	19,404,524
Economic environment	9,894,628	4,242,368	-	1,531,584	15,668,580
Culture and recreation	9,905,570	-	-	809,051	10,714,621
Social services	2,584,217	-	-	67,282	2,651,499
Capital outlay	674,707	31,023	13,407,410	126,015	14,239,155
Debt service:					
Principal	94,451	-	825,000	3,785,000	4,704,451
Interest and debt issuance costs	102,834	-	70,988	1,729,931	1,903,753
Total expenditures	<u>116,203,079</u>	<u>5,384,743</u>	<u>14,307,295</u>	<u>16,640,903</u>	<u>152,536,020</u>
Excess (deficiency) of revenues					
Over (under) expenditures	<u>20,159,699</u>	<u>2,474,745</u>	<u>(2,777,594)</u>	<u>2,285,071</u>	<u>22,141,921</u>
OTHER FINANCING SOURCES (USES)					
Disposition of capital assets	1,973,271	-	-	-	1,973,271
Transfers in (Note 10)	7,044,400	-	10,400,037	4,135,109	21,579,546
Transfers out (Note 10)	(11,625,656)	-	(5,560,959)	(4,411,076)	(21,597,691)
Total other financing sources and uses	<u>(2,607,985)</u>	<u>-</u>	<u>4,839,078</u>	<u>(275,967)</u>	<u>1,955,126</u>
Net change in fund balances	<u>17,551,714</u>	<u>2,474,745</u>	<u>2,061,484</u>	<u>2,009,104</u>	<u>24,097,047</u>
Fund balances-beginning	67,271,743	7,068,763	30,877,231	19,424,610	124,642,347
Prior period adjustments (Note 19)	1,128,705	(1,236,918)	-	-	(108,213)
Fund balances-ending	<u>\$ 85,952,162</u>	<u>\$ 8,306,590</u>	<u>\$ 32,938,715</u>	<u>\$ 21,433,714</u>	<u>\$ 148,631,181</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES
IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED DECEMBER 31, 2020

Amounts reported for governmental funds in the statement of activities are different because:

Net change in fund balances-total governmental funds.	\$ 24,097,047
Governmental funds report capital outlays as expenditures. However in the Statement of Activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays of \$14,239,155 and contributions of \$2,692,194 exceeds depreciation expense of \$11,197,911 and disposals of \$4,337,093 in the current period.	1,396,345
Revenues in the Statement of Activities that do not provide current financial resources are not reported as revenues in the funds. (Note 2)	(3,013,061)
Repayment of long-term debt is an expenditure in the governmental funds, yet the repayment reduces long-term liabilities in the statement of net position. Governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the government-wide statement of activities.	4,798,138
Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance, to individual funds. The net revenue (expense) of certain internal service funds is reported with governmental activities.	(1,474,026)
Some expenses reported in the Statement of Activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds. (Note 2)	(4,171,973)
Pension expenses reported in the governmental fund statements are not reported as expenditures in the statement of activities. (Note 2)	5,231,937
Change in funding agreement for Redmond Community Facilities District 2014-1 reported in the entity-wide statements but not in the governmental funds.	<u>(25,411,409)</u>
Change in net position of governmental activities.	<u>\$ 1,452,998</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2020

Page 1 of 2

	Business-type Activities				Governmental Activities Internal Service Funds
	Water/ Wastewater	UPD Water/ Wastewater	Stormwater Management	Totals	
ASSETS					
Current assets:					
Cash and cash equivalents	\$ 12,319,820	\$ 8,601,397	\$ 13,448,486	\$ 34,369,703	\$ 2,639,128
Investments	27,201,693	19,802,827	32,227,321	79,231,841	6,659,307
Accounts and contracts receivable	3,462,994	662,179	1,037,265	5,162,438	-
Interest receivable	84,472	51,591	78,099	214,162	22,485
Due from other Governments	104,715	7,428	850,928	963,071	-
Inventory	124,637	-	-	124,637	85,690
Prepaid insurance	-	-	-	-	676,659
Restricted assets:					
Customer deposits:					
Cash and cash equivalents	16,373	32,000	10,100	58,473	-
Revenue Bond Reserve:					
Investments	-	-	1,634,409	1,634,409	-
Rate stabilization fund:					
Investments	3,877,811	1,929,266	-	5,807,077	-
Total current assets	47,192,515	31,086,688	49,286,608	127,565,811	10,083,269
Noncurrent assets:					
Advance on service contract	7,795	2,033	-	9,828	-
Capital assets:					
Land and land rights	3,223,162	3,274,106	19,257,629	25,754,897	584,292
Buildings	25,377,864	11,031,564	1,549,496	37,958,924	715,786
Improvements other than buildings	200,105,597	66,261,918	143,871,177	410,238,692	356,198
Intangible Assets	1,124,883	-	-	1,124,883	-
Equipment	857,444	267,674	665,330	1,790,448	15,714,713
Construction in progress	10,055,585	220,392	16,882,118	27,158,095	849,733
Less accumulated depreciation	(73,451,349)	(22,338,642)	(29,806,001)	(125,595,992)	(9,615,828)
Total capital assets (net of depreciation)	167,293,186	58,717,012	152,419,749	378,429,947	8,604,894
Total noncurrent assets	167,300,981	58,719,045	152,419,749	378,439,775	8,604,894
Total assets	214,493,496	89,805,733	201,706,357	506,005,586	18,688,163
DEFERRED OUTFLOWS OF RESOURCES:					
Pensions	376,971	159	427,346	804,476	381,505
Asset retirement obligations	1,269,707	-	-	1,269,707	-
Total deferred outflows of resources	1,646,678	159	427,346	2,074,183	381,505
Total assets and deferred outflows of resources	\$ 216,140,174	\$ 89,805,892	\$ 202,133,703	\$ 508,079,769	\$ 19,069,668

The notes to the financial statements are an integral part of this statement

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2020

Page 2 of 2

	Business-type Activities				Governmental Activities Internal Service Funds
	Water/ Wastewater	UPD Water/ Wastewater	Stormwater Management	Totals	
LIABILITIES					
Current liabilities:					
Accounts payable	\$ 727,605	\$ 231,373	\$ 897,447	\$ 1,856,425	\$ 2,152,255
Retainage payable	52,028	3,116	-	55,144	-
Employee wages payable	216,337	406	175,286	392,029	228,265
Compensated absences	425,218	-	239,288	664,506	382,683
Due to other governments	36,577	-	26,272	62,849	77,194
Due to other funds	-	-	-	-	42,830
Unearned revenues	28,709	-	-	28,709	-
Current portion of loans payable	-	-	202,158	202,158	-
Current portion of revenue bonds payable	-	-	915,000	915,000	-
Accrued interest payable	-	-	71,347	71,347	-
Current liabilities payable from restricted assets:					
Customer deposits payable	16,373	32,000	10,100	58,473	-
Total current liabilities	1,502,847	266,895	2,536,898	4,306,640	2,883,227
Noncurrent liabilities:					
Revenue bonds payable, net	-	-	19,065,595	19,065,595	-
Loans payable	-	-	3,311,390	3,311,390	-
Compensated absences	106,305	-	59,822	166,127	95,670
Asset retirement obligations	1,930,133	-	-	1,930,133	-
Net pension liability	1,128,106	1,297	1,492,618	2,622,021	1,004,374
Total noncurrent liabilities	3,164,544	1,297	23,929,425	27,095,266	1,100,044
Total liabilities	4,667,391	268,192	26,466,323	31,401,906	3,983,271
DEFERRED INFLOWS OF RESOURCES:					
Pensions	497,303	198	317,765	815,266	315,288
Total deferred inflows of resources	497,303	198	317,765	815,266	315,288
Total liabilities and deferred inflows of resources	5,164,694	268,390	26,784,088	32,217,172	4,298,559
NET POSITION					
Net investment in capital assets	166,429,937	58,712,521	128,192,403	353,334,861	8,286,014
Restricted for debt service	-	-	1,634,409	1,634,409	-
Restricted for rate stabilization	3,877,811	1,929,266	-	5,807,077	-
Unrestricted	40,667,732	28,895,715	45,522,803	115,806,250	6,485,095
Total net position	\$ 210,975,480	\$ 89,537,502	\$ 175,349,615	\$ 475,862,597	\$ 14,771,109

The notes to the financial statements are an integral part of this statement

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
For the Year Ended December 31, 2020

	Water/ Wastewater	Business-type Activities- Enterprise Funds UPD Water/ Wastewater	Stormwater Management	Totals	Governmental Activities- Internal Service Funds
Operating revenues:					
Charges for services	\$ 21,614,956	\$ 5,458,529	\$ 14,630,543	\$ 41,704,028	\$ 21,521,901
Metro service	14,775,278	2,212,081	-	16,987,359	-
Charges for replacement	-	-	-	-	2,775,616
Charges for insurance	-	-	-	-	1,584,922
Total operating revenues	<u>36,390,234</u>	<u>7,670,610</u>	<u>14,630,543</u>	<u>58,691,387</u>	<u>25,882,439</u>
Operating expenses:					
Administrative and general	3,582,656	579,847	2,652,640	6,815,143	-
Purchased water	6,779,417	1,453,329	-	8,232,746	-
Metro service	15,287,228	2,195,165	-	17,482,393	-
Supplies	-	-	-	-	410,269
Maintenance and operations	5,272,890	872,114	4,947,971	11,092,975	27,318,216
Taxes	785,859	193,678	272,396	1,251,933	-
Depreciation and amortization	4,239,306	1,403,487	2,810,589	8,453,382	1,180,560
Total operating expenses	<u>35,947,356</u>	<u>6,697,620</u>	<u>10,683,596</u>	<u>53,328,572</u>	<u>28,909,045</u>
Operating income (loss)	<u>442,878</u>	<u>972,990</u>	<u>3,946,947</u>	<u>5,362,815</u>	<u>(3,026,606)</u>
Nonoperating revenues (expenses):					
Interest and investment revenue	478,249	315,956	511,996	1,306,201	107,298
Net change in fair value of the investment	321,046	234,648	368,723	924,417	62,830
Grant income	124,278	-	878,234	1,002,512	-
Interest expense	-	-	(822,806)	(822,806)	-
Gain (Loss) on disposal of capital assets	-	-	-	-	(62,951)
Insurance recovery	-	-	-	-	965,795
Lease and other revenue	299,919	104,374	-	404,293	552,421
Total nonoperating revenues (expenses)	<u>1,223,492</u>	<u>654,978</u>	<u>936,147</u>	<u>2,814,617</u>	<u>1,625,394</u>
Income before contributions and transfers	<u>1,666,370</u>	<u>1,627,968</u>	<u>4,883,094</u>	<u>8,177,432</u>	<u>(1,401,213)</u>
Capital contributions	4,072,109	116,260	4,659,052	8,847,421	-
Transfers in	-	-	90,958	90,958	-
Transfers out	-	-	-	-	(72,814)
Change in net position	<u>5,738,479</u>	<u>1,744,228</u>	<u>9,633,104</u>	<u>17,115,811</u>	<u>(1,474,027)</u>
Total net position - beginning	206,123,687	87,470,542	165,716,511	459,310,740	16,245,136
Prior period adjustment	(294,062)	322,732	-	28,670	-
Change in accounting principle	<u>(592,624)</u>	<u>-</u>	<u>-</u>	<u>(592,624)</u>	<u>-</u>
Total net position - ending	<u>\$ 210,975,480</u>	<u>\$ 89,537,502</u>	<u>\$ 175,349,615</u>	<u>\$ 475,862,597</u>	<u>\$ 14,771,109</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Year Ended December 31, 2020

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	Water/ Wastewater	UPD Water/ Wastewater	Enterprise Funds Stormwater Management	Totals	Governmental Activities- Internal Service Funds
CASH FLOWS FROM OPERATING ACTIVITIES					
Cash received from customers	\$ 36,425,247	\$ 7,683,865	\$ 14,581,817	\$ 58,690,929	\$ 23,106,823
Cash received for replacement	-	-	-	-	2,775,616
Cash payments to suppliers	(24,157,761)	(3,630,416)	(1,617,845)	(29,406,022)	(6,461,470)
Cash payments to employees	(4,877,789)	286	(3,466,928)	(8,344,431)	(21,245,756)
Cash payments to other governments	(788,256)	(193,678)	(296,272)	(1,278,206)	51,093
Payments to other funds	(2,300,234)	(1,258,624)	(2,709,876)	(6,268,734)	(785,873)
Other operating receipts	127,196	86,271	-	213,467	1,454,314
Net cash provided (used) by operating activities	<u>4,428,403</u>	<u>2,687,704</u>	<u>6,490,896</u>	<u>13,607,003</u>	<u>(1,105,253)</u>
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES					
Transfers in/transfers out	-	-	90,958	90,958	(72,814)
Grant proceeds	258,064	22,283	205,281	485,628	-
Net cash provided by noncapital financing activities	<u>258,064</u>	<u>22,283</u>	<u>296,239</u>	<u>576,586</u>	<u>(72,814)</u>
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES					
Acquisition and construction of capital assets	(8,725,548)	(316,200)	(2,161,155)	(11,202,903)	(1,615,149)
Proceeds from sale of other assets	-	-	-	-	63,904
Capital contributions	2,142,838	-	2,403,955	4,546,793	-
Grant Proceeds	-	-	267,318	267,318	-
Interest paid on other debt	-	-	(95,719)	(95,719)	-
Principal paid on other debt	-	-	(196,975)	(196,975)	-
Interest paid on revenue bonds	-	-	(891,660)	(891,660)	-
Principal paid on revenue bonds	-	-	(880,000)	(880,000)	-
Net cash provided (used) for capital and related financing activities	<u>(6,582,710)</u>	<u>(316,200)</u>	<u>(1,554,236)</u>	<u>(8,453,146)</u>	<u>(1,551,245)</u>
CASH FLOWS FROM INVESTING ACTIVITIES					
Net investment purchases	(9,205,710)	(8,374,666)	(13,656,390)	(31,236,766)	(843,509)
Interest on investments	839,465	575,136	917,857	2,332,458	180,815
Net cash provided (used) in investing activities	<u>(8,366,245)</u>	<u>(7,799,530)</u>	<u>(12,738,533)</u>	<u>(28,904,308)</u>	<u>(662,694)</u>
Net increase (decrease) in cash and cash equivalents	(10,262,488)	(5,405,743)	(7,505,634)	(23,173,865)	(3,392,006)
Cash and cash equivalents-beginning of year	22,892,743	13,716,408	20,964,220	57,573,371	6,031,134
Prior period adjustment	(294,062)	322,732	-	28,670	-
Cash and cash equivalents-end of year	<u>\$ 12,336,193</u>	<u>\$ 8,633,397</u>	<u>\$ 13,458,586</u>	<u>\$ 34,428,176</u>	<u>\$ 2,639,128</u>

The notes to the financial statements are an integral part of this statement

CITY OF REDMOND

STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS

For the Year Ended December 31, 2020

Page 2 of 2

	Business-type Activities-			Governmental Activities-	
	Enterprise Funds			Internal Service Funds	
	Water/ Wastewater	UPD Water/ Wastewater	Stormwater Management	Totals	
Cash and cash equivalents					
Operating fund cash	\$ 12,319,820	\$ 8,601,397	\$ 13,448,486	\$ 34,369,703	\$ 2,639,128
Customer deposits	16,373	32,000	10,100	58,473	-
Cash and cash equivalents-end of year	<u>\$ 12,336,193</u>	<u>\$ 8,633,397</u>	<u>\$ 13,458,586</u>	<u>\$ 34,428,176</u>	<u>\$ 2,639,128</u>

Reconciliation of operating income to net cash provided by operating activities:

Operating income (loss)	\$ 442,878	\$ 972,990	\$ 3,946,947	\$ 5,362,815	\$ (3,026,606)
Adjustments to reconcile operating income to net cash provided by operating activities:					
Depreciation and amortization	4,239,306	1,403,487	2,810,589	8,453,382	1,180,560
Other operating receipts	127,196	86,271	-	213,467	1,454,314
Decrease (increase) in accounts receivable	35,011	13,255	(48,726)	(460)	-
Decrease (increase) in inventory	(2,313)	-	-	(2,313)	(25,138)
Decrease (increase) in prepaid expenses	-	-	-	-	(95,878)
Decrease (increase) in deferred outflows	(63,473)	-	(44,237)	(107,710)	(255,810)
Increase (decrease) in accounts payable	-	211,415	87,786	299,201	-
Increase (decrease) in retainage payable	(269)	-	-	(269)	-
Increase (decrease) due to other governments	(2,397)	-	(23,876)	(26,273)	51,093
Increase (decrease) in unearned revenues	618	-	-	618	-
Increase (decrease) in employee wages payable	(34,556)	286	(9,774)	(44,044)	(540,844)
Increase (decrease) in compensated absences payable	110,116	-	67,491	177,607	153,056
Increase (decrease) in pension liability	1,044	-	728	1,772	-
Increase (decrease) in deferred inflows	(424,759)	-	(296,032)	(720,791)	-
Net cash provided (used) by operating activities	<u>\$ 4,428,402</u>	<u>\$ 2,687,704</u>	<u>\$ 6,490,896</u>	<u>\$ 13,607,002</u>	<u>\$ (1,105,253)</u>

Noncash investing, capital and financing activities:

Developers contributed infrastructure valued at	\$ 1,929,271	\$ 116,260	\$ 2,255,097	\$ 4,300,628	\$ -
Fair value of investments increased by	346,826	242,515	377,873	967,214	74,313

The notes to the financial statements are an integral part of this statement

NOTE 1: Summary of Significant Accounting Policies

The City of Redmond was incorporated on December 31, 1912 and operates under the laws of the State of Washington applicable to a Non-Charter Mayor/Council form of government (elected Mayor and City Council composed of seven members). Both Mayor and Council are elected to four-year terms. The City provides general government services including public safety, highways and streets, parks and recreation, planning and zoning, permits and inspection, sanitation, general administrative, and water and wastewater services.

The accounting and reporting policies of the City of Redmond conform to generally accepted accounting principles for governments and are regulated by the Washington State Auditor's Office.

The City's Annual Comprehensive Financial Report (ACFR) is prepared in accordance with Governmental Accounting Standards Board (GASB) Statements and the following notes detail the City's significant accounting policies.

Reporting Entity

The City's CAFR includes the financial statements for the City of Redmond and its component units; entities for which the City is considered to be financially accountable. The City has two blended component units, Redmond Community Facilities District 2014-1 (CFD 2014-1), which was created in 2014 for the purpose of financing the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station, and Redmond Community Facilities District 2016-1 (CFD 2016-1), which was created in 2016 for the purpose of financing northeast 40th Street Trunkline Project and multimodal improvements on 154th Avenue northeast and northeast 51st Street, and northeast 31st Street and 156th Avenue northeast. The CFDs are reported as blended component units in the Capital Improvement Program funds of the City of Redmond because the City appoints a majority of the Board members, has the ability to impose its will on the organizations through the ability to appoint, hire, reassign or dismiss those persons responsible for the day-to-day operation of the organizations, and the CFD's services are primarily provided to the City. (See Note 14 - Component Units for additional information.)

Basic Financial Statements

The City's basic financial statements consist of government-wide statements, including a Statement of Net Position and a Statement of Activities, and fund financial statements which provide a more detailed level of financial information.

The government-wide financial statements report information on all of the activities of the primary government and its component units. The effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely primarily on fees and charges for support.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds, and proprietary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund financial statements. Revenues are recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Under the modified accrual basis of accounting, property taxes, sales taxes, utility taxes, franchise taxes, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current period. Grant revenue is recognized for cost reimbursement grants when the expenditure occurs in accordance with GASB Statement 33. When the expenditure is incurred, grant revenue is considered to have been earned and therefore available and recognized as revenue. Entitlement grant revenue is not tied to expenditures and is recognized when the City is entitled to receive it according to the grant agreement.

Financial Statement Presentation

The City reports the following major governmental funds:

The General Fund is the general operating fund of the City. It accounts for all financial resources and transactions except those required to be accounted for in another fund. The **Firefighters Pension Plan** is now reported in the General Fund, as reported in Note 7 – Pensions.

The Development Review Fund was established to provide support services activities for large, private development in the City. Funding for these services is provided through negotiated agreements with developers.

The Capital Improvement Program Fund accounts for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds.

The City reports the following major proprietary funds:

The Water/Wastewater Fund accounts for the activities of providing water and sewer services to its residents. The utilities operations are self-supported through user charges.

The UPD Water/Wastewater Fund accounts for the activities of providing water and sewer services to an urban planned development outside the City limits. The utilities' operations are self-supported through user charges.

The Stormwater Management Fund accounts for the operation, construction, and maintenance of the City's stormwater management system. The utility's operations are self-supported through fees.

Additionally, the City reports the following fund types:

Internal Service Funds account for fleet maintenance, information technology, and insurance services provided to other departments of the City on a cost reimbursement basis.

Special Revenue Funds are used to account for specific revenues that are restricted to or reserved for expenditures for particular purposes.

Debt Service Funds account for the accumulation of resources for and the payment of general obligation and special assessment bonds.

The City does not have any permanent funds.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Direct expenses of the functional categories are included in the government-wide Statement of Activities while indirect expense allocations are eliminated. Indirect expenses are primarily charged to the various functions through the use of internal service funds for fleet maintenance and information technology. Elimination of payments to internal service funds are treated as expense reductions. No other indirect expenses are allocated to the various governmental functions. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility functions and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

The proprietary fund statements distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's utility funds and internal service funds are charges to customers for sales and services, vehicle replacement, and insurance. The City also recognizes as operating revenue the portion of utility connection fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for enterprise funds and internal service funds include the cost of sales and services, administrative expenses, taxes, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Budgets and Budgetary Accounting

The City of Redmond budgets its funds in accordance with the Revised Code of Washington (RCW) 35A.34. In compliance with the code, budgets for all funds are established with the exception of the LID Control and the LID Guaranty Debt Service Funds. Budgets established for proprietary funds are "management budgets" and as such are not required to be shown in this report.

The biennial budget is proposed by the Mayor and adopted by the City Council with legal budgetary control at the fund level for all funds. Expenditures and other financing uses may not exceed budgeted appropriations at these levels. The Mayor may authorize transfers within all funds. The City Council must approve by ordinance any additional appropriations which increase the total at the fund level. Any unexpended appropriation balances lapse at the end of the biennium.

In addition to authorizing the budget, the City Council biennially approves the Capital Improvement Program. This is a six-year plan for capital project expenditures and anticipated revenue sources. Expenditures and revenues for these projects are budgeted in the Capital Projects Funds and Enterprise Funds.

The City prepares all biennial budgets on the modified accrual basis which conforms to generally accepted accounting principles. The CAFR includes budgetary comparisons for the general and capital projects governmental funds with legally adopted budgets.

The budget process and the time limits under which a budget must be developed are established by State law. The City uses a "budgeting for outcomes" format and follows the procedures outlined below in the year preceding the first year of the two-year budget to establish its biennial budget:

- In winter, community meetings are held to affirm or revise the City's budget priorities. The Mayor appoints staff and residents to teams which interpret these priorities and develop the primary factors that the City should support to pursue the given priority. These factors are used by staff to develop budget offers.
- In spring, the Mayor develops and submits a budget calendar to the City Council for approval.
- In June, the City Clerk publishes notice for the first public hearing. Also around mid-year staff prepares a six-year forecast and reviews this forecast with the City Council at a public meeting.
- Throughout the summer, City staff create budget offers and review revenue and expenditure estimates.
- In October, preliminary budget estimates are made available to the public.

- Sixty days before the ensuing fiscal year, the Mayor files the preliminary budget with the City Clerk's office.
- During the first two weeks of November, the City Clerk publishes notice of the filing of the preliminary budget and publishes notice of public hearings.
- The City Council holds a series of study sessions to review the preliminary budget to determine if they wish to make any modifications to the Mayor's recommended programs.
- Public hearings are held prior to the adoption of the budget for the public to comment on recommended programs and to offer ideas for new programs.
- Prior to the beginning of the first calendar year of the biennial budget, the City Council, by a majority of the members present, adopts a final operating budget by ordinance.
- The Final Budget document is printed and distributed and posted on the City's website after adoption.

Assets, Liabilities, and Net Position

Cash and Investments

It is the City's policy to invest temporary cash surpluses. These investments are reported on the Statement of Net Position and the governmental funds Balance Sheet as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds and investments with original maturities of three months or less. Interest is allocated to each fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, Bankers' Acceptances, Bonds of Washington State and any local government in Washington State which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with GASB Statement 40 and GASB Statement 72 (see Note 3).

In accordance with GASB Statement 31 and GASB Statement 79, money market investments, and participating interest-earning investment contracts with remaining maturities of one year or less at the time of purchase are stated at amortized cost. All other investments are stated at fair value.

Receivables

The City of Redmond recognizes receivables in its financial statements based on the accounting requirements for that statement. These receivables are as follows:

Property Taxes

The City's property tax collections records show that approximately 99% of the property taxes due are collected during the year of levy and delinquent taxes are collected in the next few years. The City performs an analysis of all uncollected property taxes to test materiality of the uncollected balance as well as the collectability. Based on this analysis the City will determine the classification of the uncollected portion of property taxes; revenue versus uncollected property taxes. When property taxes become three years delinquent, the County is required by State statute to foreclose on the property. Historically, all taxes have been collected; therefore, no allowance for uncollectible taxes is recorded.

Sales Taxes

There is a running two-month lag in remittance of sales tax to the City. Sales taxes collected in November and December are not remitted by the State to the City until January and February of the following year and they are reported as receivables at year-end. There is no allowance for uncollectible sales taxes because all sales taxes are required by law to be collected by businesses at the time of sale and remitted to the State.

Investment Interest

Interest receivable consists of interest earned on investments at the end of the year, accrued interest on investments purchased between interest dates, and accrued interest and penalties on special assessments receivable. In proprietary funds and the government-wide Statement of Net Position, investment interest is recorded as receivable, regardless of its payment date. In the governmental fund statements and schedules, investment interest is recorded as receivable if it will be paid to the City within 60 days of year-end.

Accounts Receivable

Customer accounts receivable consist of amounts owed by private individuals or organizations for goods and services provided. Unbilled services provided to utility customers are estimated at year-end and included in accounts receivable. Uncollectible amounts are considered immaterial and the direct write-off method is used.

Interfund Transactions

Activity between funds that is representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e. the current portion of interfund loans) or "advances to/from other funds" (i.e. the non-current portion of interfund loans). All other outstanding balances between funds are reported as "due to/from other funds". Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Inventories

Inventories are defined as assets which may be held for internal consumption or for resale. The City uses the following policies in valuing and recording inventory items:

In proprietary funds a perpetual inventory is maintained, in which the cost is held in an asset account when inventory items are purchased, and expensed when the item is consumed. The first-in, first-out valuation method, which approximates market, is used to value the inventory. A physical inventory is taken at year-end. No inventory is maintained in governmental funds; however, the internal service fund inventories are included in the "Governmental Activities" on the Statement of Net Position.

Restricted Assets

Restricted assets include those monies reserved for customers' deposits, bond reserve monies and impact fees.

Advance on Service Contract

For fiscal years prior to December 31, 2012, the City amortized under guidance provided by FASB 71 the Tolt Pipeline project and the Tolt Meter project with the City of Seattle. In further review, this is not a deferred outflow of resources but rather an advance on a service contract.

Capital Assets

General capital assets are those assets not specifically related to activities reported in the proprietary funds. These assets generally result from expenditures in the governmental funds. These assets are reported in the governmental activities column of the government-wide Statement of Net Position but are not reported in the fund financial statements. Capital assets utilized by the proprietary funds are reported both in the business-type activities column of the government-wide Statement of Net Position and in the respective funds. Capital assets are defined by the City as land, buildings, machinery, equipment, software, vehicles, transportation and utility infrastructure and other improvements with an original cost of \$10,000 or more each and an estimated useful life of more than one year, and all artwork regardless of its initial cost. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Land, construction in progress, and works of art are not depreciated. Property, plant, and equipment of the City are depreciated using the straight-line method over the following estimated useful lives:

<u>Assets</u>	<u>Years</u>
Buildings/Building improvements	50
Other improvements	15-50
Vehicles	3-15
Machinery and equipment	6-20
Utility infrastructure	10-100
Streets, paths, trails	50
Street lights and traffic signals	30

Compensated Absences

It is the City's policy to permit employees to accumulate earned but unused vacation, compensatory time in lieu of overtime and sick leave benefits. Twenty-five percent of unused sick leave is payable at retirement or death. Any outstanding sick leave is lost at resignation; therefore, outstanding sick leave at year-end is not accrued because the payment cannot be deemed probable nor can the amount be reasonably estimated. All vacation and compensatory time is accrued when incurred in the government-wide and proprietary fund financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee resignations and retirements.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the net position of all state sponsored pension plans and additions to/deductions from those plans' net position have been determined on the same basis as they are reported by the Washington State Department of Retirement Systems. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Other Post-Employment Benefits (OPEB)

Lifetime full medical coverage is provided to uniformed Police and Fire personnel who became members of the Law Enforcement Officers and Fire Fighters (LEOFF 1) retirement system prior to October 1, 1977. The actual medical costs are reported as expenditures in the year they are incurred and are paid out of the General Fund. A liability for the accumulated unfunded actuarially required contribution and deferred outflow of resources is reported in the Statement of Net Position. For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB the City used the alternative measurement method.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period and so will *not* be recognized as an outflow of resources (expense/expenditure) until then. The City has three items that qualify for reporting in this category.

- Deferred charges on debt refunding result from the difference in the carrying value of refunded debt and the reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. Deferred outflows related to debt is discussed in detail in Note 11: Long-Term Obligations;
- Deferred outflows related to pension plans are discussed in detail in Note 7: Pension Plans;
- Deferred outflows related to other postemployment benefits are discussed in detail in Note 8: Defined Benefit Other Postemployment Benefits; and
- Deferred outflows related to Asset Retirement Obligations are discussed in detail in Note: 22 Asset Retirement Obligations.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net position that applies to a future period and so will *not* be recognized as an inflow of resources (revenue) until that time. The City has one item that qualifies for reporting in this category. Deferred inflows related to pension plans are discussed in detail in Note 7: Pension Plans.

Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type Statement of Net Position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method. Bonds payable are reported net of the applicable bond premium or discount.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Fund Balance

In the fund financial statements, governmental funds report reservations of fund balance for amounts that are not available for appropriation or are legally restricted by outside parties for use for a specific purpose. Fund balances are categorized as Nonspendable or Spendable amounts as follows:

Nonspendable Fund Balance: fund resources that are in a form that either *never* could be spent or in a form that is *temporarily* not spendable. This can include resources that are spendable in form but are under legal restrictions that temporarily or permanently bar spending.

Spendable amounts are further segregated into categories based on the degree to which the uses of resources are constrained.

- *Restricted Fund Balance:* fund resources that are subject to restrictions that are *legally enforceable* by *outside parties*. This includes resources raised through enabling legislation.
- *Committed Fund Balance:* fund resources that are legally limited by the resolution by the City Council. A resolution must be taken to impose limitations on the use of these resources, and another resolution is required to modify or eliminate those limitations.
- *Assigned Fund Balance:* fund resources that are limited by the mayor, or department directors based on delegation, for its intended use. This type of limitation can be imposed by the highest level of decision making within the entity or a designee, but little or no formal action is required to modify or eliminate those limitations.
- *Unassigned Fund Balance:* Unrestricted fund balance not committed or assigned in the General Fund is considered unassigned. Also negative fund balance in any other governmental fund is unassigned. The city only reports positive unassigned fund balance in the General Fund.

Flow assumption: When expenditure is incurred for purposes for which both restricted and unrestricted resources are available, it is the City's policy to use restricted resources first. When expenditure is incurred for purposes for which unrestricted (committed, assigned, and unassigned) resources are available, and amounts in any of these unrestricted classifications could be used, it is the City's policy to spend committed resources first, then assigned and unassigned, in that order. However, prior to the commencement of any project, the flow assumption is reviewed to ensure that the proper resources are being used.

NOTE 2:

Reconciliation of Government-Wide and Fund Financial Statements

Explanation of aggregated differences between the governmental fund balance sheet and the government-wide statement of net position

The governmental fund balance sheet includes reconciliation between total fund balance and total net position as reported in the government-wide statement of net position. The details of the aggregated differences are presented below.

Some liabilities, including bonds, loans and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds:

GO Bonds payable	\$	(42,810,000)
Unamortized bond premiums		(3,284,668)
Deferred outflows on refunding		2,652,355
Loans payable		(1,038,958)
Accrued interest payable		(145,252)
Compensated absences		(6,556,640)
Net adjustment to reduce fund balance-total governmental funds to arrive at net position – governmental activities	\$	<u>(51,183,163)</u>

The net pension asset, net pension liability, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet

Net pension asset	\$	17,526,616
Deferred outflows of resources		8,210,093
Other post-employment benefits		(18,336,583)
Asset retirement obligations		(897,828)
Net pension liability		(10,256,328)
Total pension liability-FPP		(518,247)
Deferred inflows of resources		(6,164,727)
Net adjustment to reduce fund balance-total governmental funds to arrive at net position – governmental activities	\$	<u>(10,437,004)</u>

Explanation of aggregated differences between the governmental fund statement of revenues, expenditures, and changes in fund balance and the government-wide statement of activities

The governmental fund statement of revenues, expenditures, and changes in fund balances includes reconciliation between net changes in fund balances – total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. The details of the aggregated differences are presented below.

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds:

Developer/Private asset contributions	\$	3,363,548
Unavailable revenue – special assessments		(6,376,609)
Net adjustment to increase net change in fund balances - governmental funds to arrive at change in net position- governmental activities	\$	<u>(3,013,061)</u>

Repayment of the principal of long-term debt consumes the current financial resources of governmental funds, and governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the government-wide statement of activities:

<u>Principal repayments (Changes/Net Diff):</u>		
General obligation bonds	\$	4,610,000
Public Works Trust Fund Loans repayment		94,451
Amortization/(addition) of debt premiums		305,908
Amortization of deferred outflows on refunding		(212,221)
Net adjustment to decrease net change in fund balances- governmental funds to arrive at change in net position- governmental activities	\$	<u>4,798,138</u>

Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds:

Change in accrued interest payable	\$	14,711
Change in compensated absences payable		(1,227,950)
Change in other post-employment benefits payable		(2,988,662)
Change in current amortization expense of ARO		29,928
Net adjustment to decrease net change in fund balances- governmental funds to arrive at change in net position- governmental activities	\$	<u>(4,171,973)</u>
Change in deferred inflows/outflows of pensions		5,231,937

NOTE 3: Deposits and Investments

Deposits

As of December 31, 2020, the carrying amount of the City's cash demand deposits with KeyBank was \$1,721,675 and the in-transit items were \$132,279. In addition, \$7,526,151 was held in a public fund money market account at Pacific Premier Bank, and \$7,086,824 was held in a certificate of deposit at Banner Bank. A total of \$4,176 retained from contractors pending acceptance of City construction projects was held in escrow or savings accounts at various banks. Another \$260,763 was held in a City of Redmond Client Trust Account at Wells Fargo and \$1,352,985 are held in ARCH Housing Trust Fund Account outside agency. Imprest funds totaled \$48,500 of which \$36,070 was allocated to various City offices.

Custodial Credit Risk

Custodial credit risk is the risk that in the event of a bank failure, the City will not be able to recover deposits or collateral securities that are in the possession of an outside party. The City of Redmond's deposits are covered by the Federal Deposit Insurance Corporation (FDIC) or by collateral held in a multiple financial institution collateral pool administered by the Washington State Public Deposit Protection Commission (WPDPC). The FDIC insures the first \$250,000 of the City's deposits. The deposit balances over \$250,000 are insured by the WPDPC. State statute permits additional amounts to be assessed on a pro rata basis to members of the WPDPC pool in the event the pool's collateral should be insufficient to cover a loss.

Investments

It is the policy of the City of Redmond to invest public funds in a manner which will provide maximum security, meet daily cash flow demands, and strive for a high investment return, while conforming to all laws and regulations governing the investment of public funds, as defined in RCWs 39.58, 39.59 and 43.250. Authorized investments include:

1. Investment deposits, including certificates of deposit, with qualified public depositories.
2. Certificates, notes, or bonds of the United States, or other obligations of the United States or its agencies, or of any corporation wholly owned by the government of the United States.
3. Obligations of government-sponsored corporations which are eligible as collateral for advances to member banks as determined by the Board of Governors of the Federal Reserve System. These include but are not limited to Federal Home Loan Bank notes and bonds, Federal Farm Credit Bank consolidated notes and bonds, and Federal National Mortgage Association notes, bonds and guaranteed certificates of participation.
4. Banker's acceptances purchased on the secondary market.
5. Bonds of the State of Washington and any local government in the State of Washington which have, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency.
6. Repurchase agreements for securities listed in 2, 3, and 4 above, provided that the transaction is structured so that the City of Redmond obtains control over the underlying securities and a Master Repurchase Agreement has been signed with the bank or dealer.
7. State Investment Pool.
8. Commercial paper purchased in the secondary market and having received the highest rating by at least two (2) Nationally Recognized Statistical Rating Organizations (NRSROs) at the time of purchase and adhering to the investment policies and procedures adopted by the State Investment Board.
9. Mutual funds, escrow accounts, public fund money market accounts, or cash type accounts used specifically for proceeds of municipal securities.
10. State of Washington Separately Managed Account.

All security transactions, including collateral for repurchase agreements are conducted on a delivery-versus-payment (DVP) basis. Securities are held by a third-party custodian designated by the Finance Director. Certificates of deposit in the City's name are delivered to and held in the Finance Department.

Investments are stated at fair value, based on quoted market prices in accordance with GASB Statement 72, *Fair Value Measurement and Application*. Accordingly, the change in the fair value of investments is recognized as an increase or decrease to the investment assets and investment income. Interest income on investments is recognized in non-operating revenue as earned. Changes in fair value of investments are recognized on the Statements of Revenues, Expenses, and Changes in Net Position.

Interest Rate Risk

Interest rate risk is the risk the City may face should interest rate variances affect the fair value of investments. As a means of limiting its exposure to interest rate risk, the City's policy requires that it diversify its investments by security type and institution, and limit holdings in any one type of investment with any one issuer. The City coordinates its investment maturities to closely match cash flow needs and restricts the maximum investment term to less than five years from the purchase date.

Credit Risk

State law and City policy limit investments to those authorized by State statute, including commercial paper and bonds of the State of Washington and any local government in the State of Washington which have, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency. The City further limits its holdings in commercial paper to 10% of the portfolio and 10% per issuer, and local government bonds to 25% of the portfolio and 10% per issuer. As of December 31, 2020, the City held no investments in commercial paper. Additionally, the City restricts its investment in mutual fund bonds to be used for arbitrage purposes only.

Concentration of Credit Risk

The City diversifies its investments by security type and institution. 100% of the City's portfolio may be invested in U.S. Treasury notes, bonds or certificates, U.S. government-sponsored corporations, or the State Investment Pool. 50% of the portfolio may be invested in certificates of deposit with no more than 10% held by any one issuer and not exceeding 20% of the issuer's net worth. 25% of the portfolio may be invested in banker's acceptances (10%

per issuer), State of Washington or local government bonds (10% per issuer), or repurchase agreements (25% per dealer). 10% of the portfolio may be invested in commercial paper (10% per issuer).

Investments in the Local Government Investment Pool (LGIP)

The City is a voluntary participant in the Local Government Investment Pool, authorized by Chapter 294, Laws of 1986, which is managed and operated by the Washington State Treasurer. Over 530 local governments have participated in the pool since it was started in 1986 to provide safe, liquid, and competitive investment options for local governments pursuant to RCW 43.250. The State Finance Committee is the administrator of the statute that created the pool and adopts its rules. The State Treasurer is responsible for establishing the investment policy for the pool and reviews the policy annually; proposed changes are reviewed by the LGIP Advisory Committee. The LGIP is an unrated external investment pool and does not have any legally binding guarantees of share values.

Investments in the LGIP are reported at amortized cost which approximates fair value. The LGIP manages a portfolio of securities that meet the maturity, quality, diversification, liquidity and fair value calculation requirements set forth by the Governmental Accounting Standards Board (GASB) Statement 72 for external investment pools that elect to measure, for financial reporting purposes, investments at amortized cost. The funds are limited to high quality obligations with regulated maximum and average maturities to minimize both market and credit risk. Investments are reported on trade date basis in accordance with generally accepted accounting principles (GAAP).

The LGIP transacts with its participants at a stable net asset value per share of \$1.00, the same method used for reporting. Participants may contribute or withdraw funds daily. Participants must inform the Office of the State Treasurer (OST) of any contribution or withdrawal over one million dollars no later than 9 a.m. on the same day the transaction is made. Contributions or withdrawals for one million dollars or less can be requested at any time prior to 10 a.m., at the sole discretion of the OST. All participants are required to file with the State Treasurer documentation containing the names and titles of the officials authorized to contribute or withdraw funds. The LGIP does not impose liquidity fees or redemption gates on participant withdrawals.

Investments in the Separately Managed Account

In 2020, the City of Redmond entered into an Interagency Agreement with the State of Washington's Office of the State Treasurer, authorizing the State Treasurer's Office to invest the City's core funds in a separately managed investment portfolio, as provided for in RCW 43.250. On January 2, 2020 a deposit in the amount of \$200 million was made to the State of Washington. The State Treasurer's Office invests these funds in accordance with the State's investment policies and procedures and provides monthly reporting to the City. The City's separately managed account is intended for the investment of long-term core funds that are not required to meet short-term cash needs, and deposits and withdrawals are carried out by transferring funds in and out of the City's LGIP account.

Monies invested in the separately managed account are held separately and are not co-mingled with other State funds. Investments are valued using observable inputs, including quoted prices for similar securities and interest rates. The City does not record the individual transactions but records the net investment changes monthly. The

Office of the State Treasurer does security-level accounting, allowing investors to account for the portfolio as a single investment. As these are longer-term funds, the balance of the portfolio is reported at market value as of the valuation date. The State Treasurer's Office invests these funds in a diversified portfolio with a risk profile that is similar to the risk profile of the State's core portfolio, and the underlying assets have the same credit quality as U.S. Treasury securities, Government Sponsored Enterprises (GSEs), and the Supranational Institutions.

Investments in the separately managed account are purchased by the State of Washington's Office of the State Treasurer and are held and registered in the State's name in the trust or safekeeping department of a financial institution as established by a written third-party safekeeping agreement between the State and financial institution.

Investments Measured at Amortized Cost

Investments reported as cash equivalents as of December 31, 2020:

	<u>Amortized Cost</u>	<u>Less Than 1 Year</u>
Certificate of Deposit	\$ 7,086,824	\$ 7,086,824
Money Market	7,526,151	7,526,151
Local Government Investment Pool	67,328,260	67,328,260
Total	\$ 81,941,235	\$ 81,941,235

Investments Measured at Fair Value

The City measures and reports investments at fair value using the valuation input hierarchy established by generally accepted accounting principles, as follows:

- Level 1: Level 1 inputs are quoted (unadjusted) prices in active markets for identical assets or liabilities that the government can access at the measurement date. Observable markets include exchange markets, dealer markets, brokered markets, and principal-to-principal markets.
- Level 2: Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly. These inputs are sourced from pricing vendors using models that are market-based and corroborated by observable market data, including quoted prices, nominal yield spreads, benchmark yield curves, and other corroborated inputs.
- Level 3: Level 3 inputs are unobservable inputs for the asset or liability and should only be used when relevant Level 1 or Level 2 inputs are unavailable.

As of December 31, 2020, the City had the following investments measured at fair value:

Investment Type	Fair Value Measurement Using				Total
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)		
Separately Managed Portfolio	\$ -	\$ 204,902,856	\$ -		\$ 204,902,856
Total	\$ -	\$ 204,902,856	\$ -		\$ 204,902,856

The table below identifies the types of investments, concentration of investments in any one issuer, and maturities of the City's investment portfolio as of December 31, 2020:

Investment Type	Fair Value	Maturities		% of Total Portfolio
		Less Than 1 Year	More Than 1 Year	
Separately Managed Portfolio	\$ 204,902,856	\$ -	\$ 204,902,856	71.43%
Investments Reported as Cash Equivalents:				
Certificate of Deposit	7,086,824	7,086,824	-	2.47%
Money Market	7,526,151	7,526,151	-	2.62%
Local Government Investment Pool	67,328,260	67,328,260	-	23.47%
Total	\$ 286,844,091	\$ 81,941,235	\$ 204,902,856	100.00%
Percentage of Total Portfolio		28.57%	71.43%	100.00%

The table below identifies the credit risk of the City's separately managed investment portfolio as of December 31, 2020:

		Issuer Rating	
Investment Type and Issuer	Fair Value	S&P	Moody's
U.S. Agency Securities			
Federal Farm Credit Bank	\$ 27,153,995	AA+	Aaa
Federal Home Loan Bank	8,631,641	AA+	Aaa
Federal Home Loan Mortgage Corporation	43,799,962	AA+	Aaa
Federal National Mortgage Association	34,343,561	AA+	Aaa
Subtotal	113,929,159		
U.S. Treasury Securities			
U.S. Treasury Notes	30,748,438	AA+	Aaa
Supranational Notes			
Asian Development Bank	15,025,680	AAA	Aaa
Inter-American Development Bank	24,445,249	AAA	Aaa
International Bank for Reconstruction & Dev.	20,337,370	AAA	Aaa
Subtotal	59,808,299		
LGIP Deposit Account	416,960		
Total	\$ 204,902,856		

Summary of Deposit and Investment Balances

Reconciliation of cash and investments by type to the financial statements as of December 31, 2020 is detailed in the following tables:

Cash & Investments by Type

Pacific Premier Bank-money market	\$ 7,526,151
State Investment Pool (LGIP)	67,328,260
Banner Bank-certificate of deposit	7,086,824
Separately Managed Portfolio	204,902,856
KeyBank Advance Travel	18,008
KeyBank public checking	1,721,675
Deposits/Debits in transit at 12/31/2020	132,279
Checks/Credits in transit at 12/31/2020	(3,023,811)
Petty Cash/Change Fund	16,070
Wells Fargo Wright Runstad Client Trust Account	260,763
ARCH Housing Trust Fund outside agency	1,352,985
Contractors' Retainage Money Market	4,176
Grand Total Cash & Investments by Type	\$287,326,236

Cash & Investments by Statements	Cash & Equivalents*	Restricted Cash	Rate Stabilization Fund	Investments	Restricted Investments
Governmental Funds					
General Fund	\$ 20,474,906	\$ 1,502,866	\$ -	\$ 48,224,829	\$ 4,430,112
Capital Improvements Program Fund	15,269,632	4,176	-	38,532,837	3,188
Other Governmental Funds	8,104,494	-	-	17,676,827	2,702,431
Proprietary Funds					
Water/Wastewater	12,319,820	16,373	3,877,811	27,201,693	-
UPD Water/Wastewater	8,601,397	32,000	1,929,266	19,802,827	-
Stormwater Management	13,448,486	10,100	-	32,227,321	1,634,409
Internal Service Funds	2,639,128	-	-	6,659,307	-
	\$ 80,857,863	\$ 1,565,515	\$ 5,807,077	\$ 190,325,641	\$ 8,770,140
Grand Total Cash & Investments by Statements					\$ 287,326,236

Gains and Losses on Investments

Realized gains and losses are computed as the difference between the proceeds of the sales and the original cost of the investments sold. The calculation of realized gains and losses is independent of a calculation of the net change in the fair value of investments. Realized gains and losses on investments that had been held in more than one fiscal year and sold in the current year were included as a change in the fair value of investments reported in the prior year(s) and the current year.

NOTE 4

Governmental Fund Balances

Governmental fund balances are classified as either spendable or non-spendable. Non-spendable fund balance category includes amounts not available to be spent because they are not in spendable form or are legally required to be maintained intact. The city has prepaid expenditures which are not in spendable form. Restricted fund balance is constrained externally, such as those resulting from federal and state legislation, grant awards, bond covenants, and inter-local service agreements. Committed fund balance is constrained by ordinance or

resolution as adopted by City Council and requires the same action to remove the constraint. Assigned fund balances are constrained by the government's intent to be used for a specific purpose but are not restricted or committed. Unassigned fund balance is the residual classification for the General Fund. The city only reports unassigned fund balance in the General Fund. The breakdown of what makes up each of the fund balance categories from the Balance Sheet - Governmental Funds that is designated for a particular purpose is shown below.

	General	Development Review	Capital Improvements	Other Governmental Funds	Total Governmental Funds
Fund balances:					
Non-spendable	\$ 117,032	\$ -	\$ -	\$ 39,399	\$ 156,431
Spendable:					
Restricted for:					
Cable access	-	-	-	64,232	64,232
Capital projects	-	-	24,570,949	15,527,944	40,098,893
Debt service	-	-	-	24,646	24,646
Parks	407,014	-	-	-	407,014
Planning-transportation	-	-	-	1,791,710	1,791,710
Public safety	3,041,019	-	-	1,808,607	4,849,626
Solid waste recycling	-	-	-	1,140,235	1,140,235
Tourism	-	-	-	889,661	889,661
Committed to:					
Arts	104,437	-	-	-	104,437
Capital equipment replacement	3,450,855	-	-	-	3,450,855
Development review	-	8,306,590	-	-	8,306,590
Fire equipment	3,506,063	-	-	-	3,506,063
Investigative fund	8,500	-	-	-	8,500
Parks maintenance	813,871	-	-	-	813,871
Fire fighter pension (GASB 73)	2,386,421	-	-	-	2,386,421
Recreation activities	-	-	-	147,280	147,280
Travel advance fund	20,000	-	-	-	20,000
Assigned to:					
Capital projects	-	-	8,367,766	-	8,367,766
Community events	39,712	-	-	-	39,712
Maintenance	12,332,698	-	-	-	12,332,698
Human services fund	2,070,049	-	-	-	2,070,049
Parks	391,279	-	-	-	391,279
Real property fund	2,735,501	-	-	-	2,735,501
Reserves	7,638,477	-	-	-	7,638,477
Transportation	4,776,394	-	-	-	4,776,394
Business tax	1,561,794	-	-	-	1,561,794
Unassigned	40,551,046	-	-	-	40,551,046
Total fund balances	\$ 85,952,162	\$ 8,306,590	\$ 32,938,715	\$ 21,433,714	\$ 148,631,181

NOTE 5: Property Tax

The King County Treasurer acts as an agent to collect property taxes levied in the County for all taxing authorities. Collections are distributed on a daily basis.

Property Tax Calendar

January 1	Taxes are levied and become an enforceable lien against properties.
February 14	Tax bills are mailed.
April 30	First of two equal installment payments are due.
May 31	Assessed value of property established for next year's levy at 100 percent of market value.
October 31	Second installment is due.

Property taxes are recorded as a receivable when levied. During the year, property tax revenues are recognized when cash is received. At year-end, property tax revenues are recognized for December collections to be distributed by the county treasurer in January and February.

Under Washington State law a city may levy property taxes up to \$3.60 per \$1,000 of assessed valuation. The assessed value was \$25,913,357,771 for the City in 2020.

The City of Redmond's maximum property tax levy rate has been reduced from \$3.60 to \$3.10, or \$.50, as a result of annexing to the King County Library District in May 1990. In addition to the limitation previously noted, the City's levy rate is also subject to the following:

Washington State law in RCW 84.55.010 limits the growth of regular property taxes to one percent per year or IPD, whichever is less, after adjustments for new construction and annexations, unless an increase greater than this limit is approved by the voters. If the assessed valuation increases by more than one percent due to revaluation, the levy rate will be decreased.

The Washington State Constitution limits the total regular property tax levy to a maximum of one percent of assessed valuation or \$10 per \$1,000 of the market value of a property. If the taxes of all districts exceed this amount, each is proportionately reduced until the total is at or below the one percent limit.

Accordingly, the City levied \$1.09 per \$1,000 of assessed value for general governmental services and no additional voter-approved excess tax levy.

NOTE 6: Capital Assets

Capital asset activity for the year ended December 31, 2020 was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Primary Government				
GOVERNMENTAL ACTIVITIES				
Capital assets, not being depreciated:				
Land	\$ 156,460,774	\$ 3,302,506	\$ (2,208,994)	\$ 157,554,286
Construction in Progress	16,119,264	14,327,585	(10,055,059)	20,391,790
Art	573,370	-	-	573,370
Total capital assets, not being depreciated	<u>\$ 173,153,408</u>	<u>\$ 17,630,091</u>	<u>\$ (12,264,053)</u>	<u>\$ 178,519,446</u>
Capital Assets, Being Depreciated:				
Buildings/Building Improvements	\$ 90,183,133	\$ 615,455	\$ (4,668,812)	\$ 86,129,776
Improvements Other than Buildings	51,548,352	350,984	-	51,899,336
Machinery and Equipment	35,915,838	1,597,104	(636,008)	36,876,934
Infrastructure	313,713,218	10,441,130	(538,569)	323,615,779
Total capital assets, being depreciated	<u>\$ 491,360,541</u>	<u>\$ 13,004,673</u>	<u>\$ (5,843,389)</u>	<u>\$ 498,521,825</u>
Less Accumulated Depreciation for:				
Buildings/Building Improvements	\$ (27,330,868)	\$ (1,697,888)	\$ 3,169,448	\$ (25,859,308)
Improvements Other than Buildings	(18,722,714)	(1,849,275)	-	(20,571,989)
Machinery and Equipment	(20,682,870)	(2,417,015)	564,166	(22,535,719)
Infrastructure	(119,189,666)	(6,414,292)	538,569	(125,065,389)
Total accumulated depreciation	<u>\$ (185,926,118)</u>	<u>\$ (12,378,470)</u>	<u>\$ 4,272,183</u>	<u>\$ (194,032,405)</u>
Total capital assets, being depreciated, net	<u>\$ 305,434,423</u>	<u>\$ 626,203</u>	<u>\$ (1,571,206)</u>	<u>\$ 304,489,420</u>
Governmental activities capital assets, net	<u>\$ 478,587,831</u>	<u>\$ 18,256,294</u>	<u>\$ (13,835,259)</u>	<u>\$ 483,008,866</u>

Net Investment in Capital Assets

Governmental Activities

Capital assets not being depreciated	\$	178,519,446
Capital assets being depreciated		498,521,825
Less accumulated depreciation		(194,032,405)
Less GO Bonds		(42,810,000)
Less bond premium		(3,284,668)
Less Public Works Trust Fund loans		(1,038,958)
Plus deferred outflow on refunding bonds		2,652,353
Less capital-related accounts payable and retainage payable		<u>(8,936,006)</u>

Governmental Activities, net investment
in capital assets

\$ 429,591,587

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities

General Government	\$	1,416,924
Security		1,734,227
Physical Environment		21,993
Transportation, Including Depreciation of General Infrastructure Assets		7,668,542
Economic Environment		53,036
Culture and Recreation		<u>1,483,748</u>
Total Depreciation Expense – Governmental Activities	\$	<u>12,378,470</u>

	Beginning Balance	Increases	Decreases	Ending Balance
BUSINESS-TYPE ACTIVITIES				
Capital assets, not Being depreciated:				
Land	\$ 25,527,897	\$ 227,000	\$ -	\$ 25,754,897
Construction In Progress	19,390,918	12,702,641	(4,935,465)	27,158,094
Intangible Assets	838,315	286,568	-	1,124,883
Total capital assets, not being depreciated	<u>\$ 45,757,130</u>	<u>\$ 13,216,209</u>	<u>\$ (4,935,465)</u>	<u>\$ 54,037,874</u>
Capital Assets, Being Depreciated:				
Buildings/Building Improvements	\$ 37,958,924	\$ -	\$ -	\$ 37,958,924
Improvements Other Than Buildings	401,820,792	8,752,723	(334,824)	410,238,691
Machinery and Equipment	1,790,448	-	-	1,790,448
Total capital assets, being depreciated	<u>\$ 441,570,164</u>	<u>\$ 8,752,723</u>	<u>\$ (334,824)</u>	<u>\$ 449,988,063</u>
Less Accumulated Depreciation for:				
Buildings/Building Improvements	\$ (10,669,326)	\$ (759,176)	\$ -	\$ (11,428,502)
Improvements Other than Buildings	(105,952,775)	(7,493,426)	334,824	(113,111,377)
Machinery and Equipment	(924,541)	(131,573)	-	(1,056,114)
Total accumulated depreciation	<u>\$ (117,546,642)</u>	<u>\$ (8,384,175)</u>	<u>\$ 334,824</u>	<u>\$ (125,595,993)</u>
Total capital assets, being depreciated, net	<u>\$ 324,023,522</u>	<u>\$ 368,548</u>	<u>\$ -</u>	<u>\$ 324,392,070</u>
Business-Type activities capital assets, net	<u>\$ 369,780,652</u>	<u>\$ 13,584,757</u>	<u>\$ (4,935,465)</u>	<u>\$ 378,429,944</u>

Net Investment in Capital Assets

Business-Type Activities	
Capital assets not being depreciated	\$ 54,037,874
Capital assets being depreciated	449,988,063
Less accumulated depreciation	(125,595,993)
Less Revenue bonds	(17,785,000)
Less bond premium	(2,195,593)
Less PWTF loan	(3,513,547)
Less capital-related accounts payable and retainage payable	(1,600,943)
Business-Type Activities, net investment in capital assets	<u>\$ 353,334,861</u>

Depreciation expense was charged to Business-Type Activities as follows:

Business-Type Activities	
Water/Wastewater	\$ 4,170,390
UPD Water/Wastewater	1,403,196
Stormwater	<u>2,810,589</u>
Total Depreciation Expense – Business-type Activities	<u>\$ 8,384,175</u>

The Business-Type Activities also had \$1,404 in amortization expense that is included with depreciation expense in the financial statements.

Since 2018 the City's business-type activities have invested \$308,121 in the Groundwater Protection Incentive Program, which is included as an intangible asset with an indefinite useful life. The program provides funds for retrofitting existing private infiltration facilities that are determined through the City's assessment process to pose a significant groundwater hazard in wellhead protection zones 1 and 2, to meet State and City regulations for groundwater protection, to ensure a safe supply of drinking water for the City.

Note 7: Pension Plans

The following table represents the aggregate pension amounts for all plans for the year 2020:

Aggregate Pension Amounts – State Sponsored Plans	
Pension liabilities	\$ (13,882,724)
Pension assets	\$ 17,526,617
Deferred outflows of resources	\$ 8,954,436
Deferred inflows of resources	\$ (7,295,283)
Pension expense/expenditures	\$ 1,338,859

State Sponsored Pension Plans

Substantially all City full-time and qualifying part-time employees participate in one of the following statewide retirement systems administered by the Washington State Department of Retirement Systems, under cost-sharing, multiple-employer public employee defined benefit and defined contribution retirement plans. The state Legislature establishes, and amends, laws pertaining to the creation and administration of all public retirement systems.

The Department of Retirement Systems (DRS), a department within the primary government of the State of Washington, issues a publicly available Annual Comprehensive Financial Report that includes financial statements

and required supplementary information for each plan. The DRS Annual Comprehensive Financial Report may be obtained by writing to:

Department of Retirement Systems
Communications Unit
P.O. Box 48380
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Or the DRS Annual Comprehensive Financial Report may be downloaded from the DRS website at www.drs.wa.gov.

Public Employees' Retirement System (PERS)

PERS members include elected officials; state employees; employees of the Supreme, Appeals and Superior Courts; employees of the legislature; employees of district and municipal courts; employees of local governments; and higher education employees not participating in higher education retirement programs. PERS is comprised of three separate pension plans for membership purposes. PERS plans 1 and 2 are defined benefit plans, and PERS plan 3 is a defined benefit plan with a defined contribution component.

PERS Plan 1 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service. The AFC is the average of the member's 24 highest consecutive service months. Members are eligible for retirement from active status at any age with at least 30 years of service, at age 55 with at least 25 years of service, or at age 60 with at least five years of service. Members retiring from active status prior to the age of 65 may receive actuarially reduced benefits. Retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of-living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. PERS 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

The **PERS Plan 1** member contribution rate is established by State statute at 6 percent. The employer contribution rate is developed by the Office of the State Actuary and includes an administrative expense component that is currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 1 employer contribution rates. The PERS Plan 1 required contribution rates (expressed as a percentage of covered payroll) for 2020 were as follows:

PERS Plan 1		
Actual Contribution Rates:	Employer	Employee*
January – August 2020:		
PERS Plan 1	7.92%	6.00%
PERS Plan 1 UAAL	4.76%	
Administrative Fee	0.18%	
Total	12.86%	6.00%
September – December 2020:		
PERS Plan 1	7.92%	6.00%
PERS Plan 1 UAAL	4.87%	
Administrative Fee	0.18%	
Total	12.97%	6.00%

PERS Plan 2/3 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service for Plan 2 and 1 percent of AFC for Plan 3. The AFC is the average of the member's 60 highest-paid consecutive service months. There is no cap on years of service credit. Members are eligible for retirement with a full benefit at 65 with at least five years of service credit. Retirement before age 65 is considered an early retirement. PERS Plan 2/3 members who have at least 20 years of service credit and are 55 years of age or older, are eligible for early retirement with a benefit that is reduced by a factor that varies according to age for each year before age 65. PERS Plan 2/3 members who have 30 or more years of service credit and are at least 55 years old can retire under one of two provisions:

- With a benefit that is reduced by three percent for each year before age 65; or
- With a benefit that has a smaller (or no) reduction (depending on age) that imposes stricter return-to-work rules.

PERS Plan 2/3 members hired on or after May 1, 2013 have the option to retire early by accepting a reduction of five percent for each year of retirement before age 65. This option is available only to those who are age 55 or older and have at least 30 years of service credit. PERS Plan 2/3 retirement benefits are also actuarially reduced to reflect the choice of a survivor benefit. Other PERS Plan 2/3 benefits include duty and non-duty disability payments, a cost-of-living allowance (based on the CPI), capped at three percent annually and a one-time duty related death benefit, if found eligible by the Department of Labor and Industries. PERS 2 members are vested after completing five years of eligible service. Plan 3 members are vested in the defined benefit portion of their plan after ten years of service; or after five years of service if 12 months of that service are earned after age 44.

PERS Plan 3 defined contribution benefits are totally dependent on employee contributions and investment earnings on those contributions. PERS Plan 3 members choose their contribution rate upon joining membership and have a chance to change rates upon changing employers. As established by statute, Plan 3 required defined contribution rates are set at a minimum of 5 percent and escalate to 15 percent with a choice of six options. Employers do not contribute to the defined contribution benefits. PERS Plan 3 members are immediately vested in the defined contribution portion of their plan.

Contributions

The **PERS Plan 2/3** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2 and the defined benefit portion of Plan 3. The Plan 2/3 employer rates include a component to address the PERS Plan 1 UAAL and an administrative expense that is currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 2 employer and employee contribution rates and Plan 3 contribution rates. The PERS Plan 2/3 required contribution rates (expressed as a percentage of covered payroll) for 2020 were as follows:

PERS Plan 2/3		
Actual Contribution Rates:	Employer 2/3	Employee 2*
January – August 2020:		
PERS Plan 2/3	7.92%	7.90%
PERS Plan 1 UAAL	4.76%	
Administrative Fee	0.18%	
Employee PERS Plan 3		varies
Total	12.86%	7.41%
September – December 2020:		
PERS Plan 2/3	7.92%	7.90%
PERS Plan 1 UAAL	4.87%	
Administrative Fee	0.18%	
Employee PERS Plan 3		varies
Total	12.97%	7.90%

The City's actual PERS plan contributions were \$1,944,165 to PERS Plan 1 and \$3,187,761 to PERS Plan 2/3 for the year ended December 31, 2020.

Public Safety Employees' Retirement System (PSERS)

PSERS Plan 2 was created by the 2004 Legislature and became effective July 1, 2006. To be eligible for membership, an employee must work on a full-time basis and:

- Have completed a certified criminal justice training course with authority to arrest, conduct criminal investigations, enforce the criminal laws of Washington, and carry a firearm as part of the job; or
- Have primary responsibility to ensure the custody and security of incarcerated or probationary individuals; or
- Function as a limited authority Washington peace officer, as defined in [RCW 10.93.020](#); or
- Have primary responsibility to supervise eligible members who meet the above criteria.

PSERS membership includes:

- PERS 2 or 3 employees hired by a covered employer before July 1, 2006, who met at least one of the PSERS eligibility criteria and elected membership during the period of July 1, 2006 to September 30, 2006; and
- Employees hired on or after July 1, 2006 by a covered employer, that meet at least one of the PSERS eligibility criteria.

PSERS covered employers include:

- Certain State of Washington agencies (Department of Corrections, Department of Natural Resources, Gambling Commission, Liquor and Cannabis Board, Parks and Recreation Commission, and Washington State Patrol),
- Washington State Counties,
- Washington State Cities (except for Seattle, Spokane, and Tacoma),
- Correctional entities formed by PSERS employers under the Interlocal Cooperation Act.

PSERS Plan 2 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the average final compensation (AFC) for each year of service. The AFC is based on the member's 60 consecutive highest creditable months of service. Benefits are actuarially reduced for each year that the member's age is less than 60 (with ten or more service credit years in PSERS), or less than 65 (with fewer than ten service credit years). There is no cap on years of service credit. Members are eligible for retirement at the age of 65 with five years of service; or at the age of 60 with at least ten years of PSERS service credit; or at age 53 with 20 years of service. Retirement before age 60 is considered an early retirement. PSERS members who retire prior to the age of 60 receive reduced benefits. If retirement is at age 53 or older with at least 20 years of service, a three percent per year reduction for each year between the age at retirement and age 60 applies. PSERS Plan 2 retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. PSERS Plan 2 members are vested after completing five years of eligible service.

Contributions

The **PSERS Plan 2** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2. The Plan 2 employer rates include components to address the PERS Plan 1 unfunded actuarial accrued liability and administrative expense currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 2 employer and employee contribution rates.

The PSERS Plan 2 required contribution rates (expressed as a percentage of current-year covered payroll) for 2020 were as follows:

PSERS Plan 2		
Actual Contribution Rates:	Employer	Employee
January – August 2020:		
PSERS Plan 2	7.20%	7.20%
PERS Plan 1 UAAL	4.76%	
Administrative Fee	0.18%	
Total	12.14%	7.20%
September - December 2020:		
PSERS Plan 2	7.20%	7.20%
PERS Plan 1 UAAL	4.87%	
Administrative Fee	0.18%	
Total	12.25%	7.20%

There were no plan contributions to PSERS Plan 2 and PERS Plan 1 for the year ended December 31, 2020.

Law Enforcement Officers' and Fire Fighters' Retirement System (LEOFF)

LEOFF membership includes all full-time, fully compensated, local law enforcement commissioned officers, firefighters, and as of July 24, 2005, emergency medical technicians. LEOFF is comprised of two separate defined benefit plans.

LEOFF Plan 1 provides retirement, disability and death benefits. Retirement benefits are determined per year of service calculated as a percent of final average salary (FAS) as follows:

- 20+ years of service – 2.0% of FAS
- 10-19 years of service – 1.5% of FAS
- 5-9 years of service – 1% of FAS

The FAS is the basic monthly salary received at the time of retirement, provided a member has held the same position or rank for 12 months preceding the date of retirement. Otherwise, it is the average of the highest consecutive 24 months' salary within the last ten years of service. Members are eligible for retirement with five years of service at the age of 50. Other benefits include duty and non-duty disability payments, a cost-of living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. LEOFF 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

Starting on July 1, 2000, **LEOFF Plan 1** employers and employees contribute zero percent, as long as the plan remains fully funded. The LEOFF Plan 1 had no required employer or employee contributions for fiscal year 2020. Employers paid only the administrative expense of 0.18 percent of covered payroll.

LEOFF Plan 2 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the final average salary (FAS) per year of service (the FAS is based on the highest consecutive 60 months). Members are eligible for retirement with a full benefit at 53 with at least five years of service credit.

Members who retire prior to the age of 53 receive reduced benefits. If the member has at least 20 years of service and is age 50, the reduction is three percent for each year prior to age 53. Otherwise, the benefits are actuarially reduced for each year prior to age 53. LEOFF 2 retirement benefits are also actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, a cost-of-living allowance (based on the CPI), capped at three percent annually and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. LEOFF 2 members are vested after the completion of five years of eligible service.

Contributions

The **LEOFF Plan 2** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2. The employer rate includes an administrative expense component set at 0.18 percent. Plan 2 employers and employees are required to pay at the level adopted by the LEOFF Plan 2 Retirement Board.

Effective July 1, 2017, when a LEOFF employer charges a fee or recovers costs for services rendered by a LEOFF 2 member to a non-LEOFF employer, the LEOFF employer must cover both the employer and state contributions on the LEOFF 2 basic salary earned for those services. The state contribution rate (expressed as percentage of covered payroll) was 3.44% in 2020.

The LEOFF Plan 2 required contribution rates (expressed as a percentage of covered payroll) for 2020 were as follows:

LEOFF Plan 2		
Actual Contribution Rates:	Employer	Employee
January – December 2020		
State and local governments	5.15%	8.59%
Administrative Fee	0.18%	
Total	5.33%	8.59%
Ports and Universities	8.59%	8.59%
Administrative Fee	0.18%	
Total	8.77%	8.59%

The City's actual contributions to the plan were \$1,658,832 for the year ended December 31, 2020.

The Legislature, by means of a special funding arrangement, appropriates money from the state General Fund to supplement the current service liability and fund the prior service costs of Plan 2 in accordance with the recommendations of the Pension Funding Council and the LEOFF Plan 2 Retirement Board. This special funding situation is not mandated by the state constitution and could be changed by statute. For the state fiscal year ending June 30, 2020, the state contributed \$76,297,643 to LEOFF Plan 2. The amount recognized by the City as its proportionate share of this amount is \$993,266.

Actuarial Assumptions

The total pension liability (TPL) for each of the DRS plans was determined using the most recent actuarial valuation completed in 2020 with a valuation date of June 30, 2019. The actuarial assumptions used in the valuation were based on the results of the Office of the State Actuary's (OSA) *2013-2018 Experience Study* and the *2019 Economic Experience Study*.

Additional assumptions for subsequent events and law changes are current as of the 2019 actuarial valuation report. The TPL was calculated as of the valuation date and rolled forward to the measurement date of June 30, 2020. Plan liabilities were rolled forward from June 30, 2019, to June 30, 2020, reflecting each plan's normal cost (using the entry-age cost method), assumed interest and actual benefit payments.

- **Inflation:** 2.75% total economic inflation; 3.50% salary inflation
- **Salary increases:** In addition to the base 3.50% salary inflation assumption, salaries are also expected to grow by promotions and longevity.
- **Investment rate of return:** 7.4%

Mortality rates were developed using the Society of Actuaries' Pub. H-2020 mortality rates, which vary by member status, as the base table. The OSA applied age offsets for each system, as appropriate, to better tailor the mortality rates to the demographics of each plan. OSA applied the long-term MP-2017 generational improvement scale, also developed by the Society of Actuaries, to project mortality rates for every year after the 2010 base table. Mortality rates are applied on a generational basis; meaning, each member is assumed to receive additional mortality improvements in each future year throughout his or her lifetime.

There were changes in methods and assumptions since the last valuation.

- OSA updated its demographic assumptions based on the results of its latest demographic experience study. See OSA's 2013-2018 Demographic Experience Study at leg.wa.gov/osa.
- OSA updated the Early Retirement Factors and Joint-and-Survivor factors used in its model to match the ones implemented by DRS on October 1, 2020. These factors are used to value benefits for members who elect to retire early and for survivors of members that die prior to retirement.
- The valuation includes liabilities and assets for Plan 3 members purchasing Total Allocation Portfolio annuities when determining contribution rates and funded status.
- OSA simplified its modeling of medical premium reimbursements for survivors of duty-related deaths in LEOFF 2.
- OSA changed its method of updating certain data items that change annually, including the public safety duty-related death lump sum and Washington state average wage. OSA set these values at 2018 and will project them into the future using assumptions until the next Demographic Experience Study in 2025. See leg.wa.gov/osa for more information on this method change.

Discount Rate

The discount rate used to measure the total pension liability for all DRS plans was 7.4 percent. To determine that rate, an asset sufficiency test was completed to test whether each pension plan's net position was sufficient to make all projected future benefit payments for current plan members. Based on OSA's assumptions, the pension plans' net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return of 7.4 percent was used to determine the total liability.

Long-Term Expected Rate of Return

The long-term expected rate of return on the DRS pension plan investments of 7.4 percent was determined using a building-block-method. In selecting this assumption, the Office of the State Actuary (OSA) reviewed the historical experience data, considered the historical conditions that produced past annual investment returns, and

considered Capital Market Assumptions (CMA's) and simulated expected investment returns provided by the Washington State Investment Board (WSIB). The WSIB uses the CMA's and their target asset allocation to simulate future investment returns at various future times.

Estimated Rates of Return by Asset Class

Best estimates of arithmetic real rates of return for each major asset class included in the pension plan's target asset allocation as of June 30, 2020, are summarized in the table below. The inflation component used to create the table is 2.2 percent and represents the WSIB's most recent long-term estimate of broad economic inflation.

Asset Class	Target Allocation	% Long-Term Expected Real Rate of Return Arithmetic
Fixed Income	20%	2.20%
Tangible Assets	7%	5.10%
Real Estate	18%	5.80%
Global Equity	32%	6.30%
Private Equity	23%	9.30%
	100%	

Sensitivity of the Net Pension Liability/(Asset)

The table below presents the City's proportionate share of the net pension liability calculated using the discount rate of 7.4 percent, as well as what the City's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage point lower (6.4 percent) or 1-percentage point higher (8.4 percent) than the current rate.

	1% Decrease (6.4%)	Current Discount Rate (7.4%)	1% Increase (8.4%)
PERS 1	\$ 11,845,885	\$ 9,457,363	\$ 7,374,327
PERS 2/3	27,535,777	4,425,360	(14,606,080)
LEOFF 1	(1,081,400)	(1,328,585)	(1,542,441)
LEOFF 2	(320,673)	(16,198,032)	(29,198,423)

Pension Plan Fiduciary Net Position

Detailed information about the State's pension plans' fiduciary net position is available in the separately issued DRS financial report.

Pension Liabilities (Assets), Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2020, the City reported a total pension liability of \$13,882,724 for its proportionate share of the net pension liabilities, and a total pension asset of \$17,526,617 for its proportionate share of the net pension assets as follows:

	Liability (or Asset)
PERS 1	\$ 9,457,363
PERS 2/3	4,425,360
LEOFF 1	(1,328,585)
LEOFF 2	(16,198,032)

The amount of the asset reported above for LEOFF Plans 1 and 2 reflects a reduction for State pension support provided to the City. The amount recognized by the City as its proportionate share of the net pension asset, the

related State support, and the total portion of the net pension asset that was associated with the City were as follows:

	LEOFF 1 Asset	LEOFF 2 Asset
Employer's proportionate share	1,328,585	16,198,032
State's proportionate share of the net pension asset associated with the employer	8,986,516	10,357,414
TOTAL	10,315,101	26,555,446

At June 30, the City's proportionate share of the collective net pension liabilities was as follows:

	Proportionate Share 6/30/19	Proportionate Share 6/30/20	Change in Proportion
PERS 1	0.272760%	0.267873%	-0.004887%
PERS 2/3	0.348441%	0.346017%	-0.002424%
PSERS 2	0.000000%	0.000000%	-0.000000%
LEOFF 1	0.068841%	0.070351%	0.001510%
LEOFF 2	0.845952%	0.794078%	-0.051874%

Employer contribution transmittals received and processed by the DRS for the fiscal year ended June 30 are used as the basis for determining each employer's proportionate share of the collective pension amounts reported by the DRS in the *Schedules of Employer and Nonemployer Allocations* for all plans except LEOFF 1.

LEOFF Plan 1 allocation percentages are based on the total historical employer contributions to LEOFF 1 from 1971 through 2000 and the retirement benefit payments in fiscal year 2020. Historical data was obtained from a 2011 study by the Office of the State Actuary (OSA). In fiscal year 2020, the state of Washington contributed 87.12 percent of LEOFF 1 employer contributions and all other employers contributed the remaining 12.88 percent of employer contributions. LEOFF 1 is fully funded and no further employer contributions have been required since June 2000. If the plan becomes underfunded, funding of the remaining liability will require new legislation. The allocation method the plan chose reflects the projected long-term contribution effort based on historical data.

In fiscal year 2020, the state of Washington contributed 39 percent of LEOFF 2 employer contributions pursuant to [RCW 41.26.725](#) and all other employers contributed the remaining 61 percent of employer contributions.

The collective net pension liability (asset) was measured as of June 30, 2020, and the actuarial valuation date on which the total pension liability (asset) is based was as of June 30, 2019, with update procedures used to roll forward the total pension liability to the measurement date.

Pension Expense

For the year ended December 31, 2020, the City recognized pension expense as follows:

	Pension Expense
PERS 1	\$ 262,568
PERS 2/3	399,188
PSERS 2	(1,557)
LEOFF 1	(95,035)
LEOFF 2	773,695
TOTAL	\$ 1,338,859

Deferred Outflows of Resources and Deferred Inflows of Resources

At December 31, 2020, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

PERS 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (52,655)
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ -
Contributions subsequent to the measurement date	\$ 1,071,064	\$ -
TOTAL	\$ 1,071,064	\$ (52,655)

PERS 2/3	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,584,215	\$ (554,603)
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (224,744)
Changes of assumptions	\$ 63,030	\$ (3,022,904)
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ (191,975)
Contributions subsequent to the measurement date	\$ 1,744,797	\$ -
TOTAL	\$ 3,392,041	\$ (3,994,227)

PSERS	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ -
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ (12,302)
Contributions subsequent to the measurement date	\$ -	\$ -
TOTAL	\$ -	\$ (12,302)

LEOFF 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (13,897)
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ -
Contributions subsequent to the measurement date	\$ -	\$ -
TOTAL	\$ -	\$ (13,897)

LEOFF 2	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 2,241,265	\$ (287,287)
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (180,540)
Changes of assumptions	\$ 23,466	\$ (2,508,173)
Changes in proportion and differences between contributions and proportionate share of contributions	\$ 1,257,101	\$ (246,202)
Contributions subsequent to the measurement date	\$ 969,499	\$ -
TOTAL	\$ 4,491,331	\$ (3,222,202)

Deferred outflows of resources related to pensions resulting from the City's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2020. Other amounts reported as deferred outflows and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31	PERS 1	PERS 2/3	PSERS 2	LEOFF 1	LEOFF 2
2021	(238,950)	(1,878,588)	(1,557)	(49,608)	(1,024,836)
2022	(7,516)	(481,258)	(1,499)	(2,586)	(61,032)
2023	72,910	36,326	(1,267)	14,102	338,972
2024	120,900	366,263	(1,267)	24,195	641,195
2025	-	(179,643)	(1,267)	-	(9,637)
Thereafter	-	(210,082)	(5,445)	-	414,968
Total Net Deferred (Inflows)/Outflows	(52,656)	(2,346,982)	(12,302)	(13,897)	299,630

Firefighters' Pension Plan

The following table represents the aggregate pension amounts for all plans subject to the requirements of the [GASB Statement 73, Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68](#) for the year 2020:

Aggregate Pension Amounts – Firefighters' Pension Plan	
Pension liabilities	\$ 518,247
Pension assets	\$ 1,868,174
Deferred outflows of resources	\$ -
Deferred inflows of resources	\$ -
Pension expense/expenditures	\$ 35,520

The City is the administrator of the Firefighters' Pension Plan (FPP), a single-employer defined benefit pension plan established in conformance with Revised Code of Washington (RCW) 41.18. The Pension Board consists of five members: the Mayor, who is the chairman of the board, the City Clerk, the City Treasurer, and two regularly employed firefighters elected by secret ballot of the firefighters, each of whom serve two-year terms. Costs of administering the Plan are paid from the Firefighters' Pension Plan. The Plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to Plan members and beneficiaries. Retirement benefit provisions are established in state statute and may be amended only by the State Legislature. Membership is limited to firefighters employed prior to March 1, 1970 when the LEOFF retirement system was established. The City's obligation under the Plan consists of paying the difference between pension

and medical benefits provided by LEOFF and those provided by the FPP for covered firefighters who retire after March 1, 1970. Benefits and refunds of the Plan are recognized when due and payable in accordance with the terms of the Plan.

At December 31, 2020, there are three inactive plan members currently receiving benefits, and no active plan members. The pension plan is closed to new entrants.

Under State law, the FPP is provided an allocation of 25% of the taxes the state receives on fire insurance premiums, interest earnings, member contributions made prior to the inception of LEOFF, and City contributions required to meet projected future pension obligations. The City's fire insurance premium contribution for 2020 was \$179,648 and interest earnings were \$25,057, which was sufficient to pay the 2020 Firefighter's Pension Plan expenses of \$35,520. The financial activity of the Firefighters' Pension Plan is reported within the City's General Fund. No separate stand-alone financial report is issued for the Firefighters' Pension Plan.

The pension standards in GASB Statement 68 are applicable only to pension plans that are administered through trusts or equivalent arrangements in which:

- a. Contributions from employers to the pension plan and earnings on those contributions are irrevocable.
- b. Pension plan assets are dedicated to providing pensions to plan members in accordance with benefit terms.
- c. Pension plan assets are legally protected from the creditors of employers, the plan administrator and plan members.

The Firefighter's Pension Plan does not meet the requirement "c" that assets be legally protected from the creditors of employers, the plan administrator and plan members. Therefore, the assets are not accumulated in a qualifying trust or equivalent arrangement as required for GASB Statement 68 reporting purposes.

For purposes of measuring the total pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the net position of the Firefighters' Pension Plan and additions to/deductions from the plan's net position have been determined on the same basis as they are reported by the plan. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Investment Policy

The Firefighter's Pension Plan follows the City's policy to invest temporary cash surpluses. These investments are reported on the Statement of Net Position – Governmental Activities - as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds and investments with original maturities of three months or less. Interest is allocated to the fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, Bankers' Acceptances, Bonds of Washington State and any local government in Washington State which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with GASB Statement 40 and GASB Statement 72. See Note 4 – Deposits and Investments for detail.

Changes in the Total Pension Liability

Firefighters' Pension Plan	Total Pension Liability (a)
Balances at 1/1/2020	\$640,242
Changes for the year:	
Interest	19,919
Differences between expected and actual experience	(106,394)
Benefit payments, including refunds of contributions	(35,520)
Net changes	(121,995)
Balance at 12/31/2020	518,247

The Schedule of Changes in Total Pension Liability and Related Ratios presented in Required Supplementary Information following the notes to the financial statements presents ten-year trend information about whether the total pension liability is increasing or decreasing over time and the factors affecting the changes.

Discount Rate and Investment Earnings

The discount rate is the single rate that reflects (1) the long-term expected rate of return on pension plan investments that are expected to be used to finance payment of benefits, to the extent that the pension plan's net position is projected to be sufficient to make projected benefit payments and pension plan assets are expected to be invested using a strategy to achieve that return, and (2) a yield or index rate for 20-year, tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher (or equivalent quality on another scale), to the extent that conditions for use of the long-term expected rate of return are not met. Since the Fiduciary Net Position is projected to be positive in all future years, the discount rate is equal to the Investment Earnings assumption of 3.2%.

Sensitivity of the Total Pension Liability to Changes in the Discount Rate

The following presents the total pension liability of the Firefighters' Pension Plan, calculated using the discount rate of 3.2%, as well as what the total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.2%) or 1-percentage-point higher (4.2%) than the current rate:

	1% Decrease (2.2%)	Current Discount Rate (3.2%)	1% Increase (4.2%)
Total Pension Liability \$	565,797	518,247	473,287

Actuarial Assumptions

The total pension liability was determined by an actuarial valuation as of January 1, 2021, using the following actuarial assumptions, applied to all periods included in the measurement:

Salary Increases (inflation only)	3.5%
Investment earnings	3.2%
Growth in membership	0.0%
Postretirement benefit increases	
Related to salaries	3.5%
Related to Consumer Price Index	2.5%
Actuarial Cost Method	Entry Age Normal
Valuation of Assets	Market value basis

Future fire insurance premium tax revenues are assumed to increase at the rate of 2.5% per year and are assumed to stop after 2020.

Mortality rates were based on the RP-2000 Mortality Table (combined healthy) projected to 2020 using 50% of Projection Scale AA, with ages set back one year for males and forward one year for females (set forward two years for disabled members).

Municipal Employees Benefit Trust

By majority vote, City employees approved the City's withdrawal from the Social Security System pursuant to U.S.C.A., Section 418 (g) effective January 1, 1975. Permanent employees working 1,040 or more hours per year are eligible but not required to participate in the plan. Temporary employees working less than 1,040 hours per year are required to participate in the plan. Participating permanent employees may choose to defer income tax in accordance with Internal Revenue Code Section 401K, on all, part or none of their contribution while temporary employees may not defer income tax on any of their contribution. There were 639 permanent and 93 temporary participants with account balances at December 31, 2020.

The Municipal Employees Benefit Trust Plan is a defined contribution plan with participants contributing an amount equal to the current Social Security rate (7.65%). One hundred percent of the contributions made by employees hired before April 1, 1986 go to MEBT. Employees hired on or after April 1, 1986 contribute 6.2% to MEBT and 1.45% to Medicare. Permanent employees may make additional contributions up to the limit set by the Internal Revenue Code. The City contributes 7.65% for permanent employees and 4.75% for temporary employees. Of the City's contribution, 1.45% goes to Medicare for employees hired on or after April 1, 1986. Eighty percent of the remaining City contribution goes to MEBT and 20% to administrative fees. The City's contribution is based on the payroll for all employees who are eligible to participate in the plan, regardless of the number of participants. The City's payroll for participating employees in 2020 was \$66,926,403. Employee contributions were \$4,076,227. City contributions were \$3,267,551. The City's total payroll was \$73,241,284.

Plan assets consisting of stocks, bonds, and guaranteed insurance contracts, are not the property of the City and are not subject to the claims of the City's general creditors. The Plan is administered by the Plan Committee consisting of seven employee members appointed by the City. The Plan Committee administers the MEBT Plan according to the Plan Document adopted by the City and all applicable IRS regulations. Plan provisions may be established or amended by a majority vote of the Plan Committee. Employees who elect not to participate in the Municipal Employees Benefit Trust plan retain the disability and survivor income insurance provided by the Standard Insurance Company.

Actuarial determinations are not required because (1) long term disability insurance and survivor income insurance are provided by a group insurance policy with Standard Insurance Company, and (2) each participant shall at his normal retirement date instruct the Plan Committee to (a) acquire a non-forfeitable, non-transferable annuity contract, (b) pay retirement benefits in monthly or annual installments (no contributions by the City or the participant shall be added to his account after retirement), (c) pay a single sum in cash, or (d) elect to defer any or all retirement benefits to a later date.

NOTE 8:

Defined Benefit Other Postemployment Benefits (OPEB) Plans

GASB Statement 75, Accounting and Financial Reporting by Employers for Post-Employment Benefits Other Than Pensions, requires governments to account for other post-employment benefits (OPEB) on an accrual basis, rather than on a pay-as-you-go basis. The effect is the recognition of an actuarially determined expense on the Statement of Activities when retirees earn their post-employment benefits, rather than when they use their post-employment benefit. The post-employment benefit liability is recognized on the Statement of Net Position over time. The City changed the actuarial cost method from GASB Statement 45 to GASB Statement 75 starting with the reporting periods beginning after January 1, 2018.

The following table represents the aggregate OPEB amounts for all plans subject to the requirements of GASB Statement 75 for the year 2020:

OPEB liabilities	\$ 18,336,583
OPEB assets	\$ -
Deferred outflows of resources	\$ 286,617
Deferred inflows of resources	\$ -
OPEB expenses/expenditures	\$ 2,988,662

Plan Description

The City provides post-retirement healthcare benefits for members of the Law Enforcement Officers and Firefighters (LEOFF) retirement system hired before October 1, 1977 under a single-employer, defined benefit healthcare plan administered by the City, as required by the Revised Code of Washington (RCW Chapter 41.26). Retirees are eligible to receive lifetime retiree medical benefits upon service retirement after age 50 with at least five years of service. This is a closed plan covering retired employees only. New entrants are not permitted.

Most medical coverage for eligible retirees is provided by one of the City's employee medical insurance programs as a single-employer. Under the authorization of the LEOFF Disability Board, direct payment is made for other retiree medical expenses not covered by standard medical plan benefit provisions.

No retiree contributions toward the cost of retiree medical benefits are required.

As of December 31, 2020, the following retired employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	29
Inactive employees entitled to but not yet receiving benefits	-
Active employees	-
Total	29

Funding Policy

Funding for the LEOFF retiree healthcare costs is provided entirely by the City as required by RCW. The City's funding policy is based upon pay-as-you-go financing requirements and the net assets available for plan benefits is zero at all times.

Financial reporting for the LEOFF retiree healthcare plan is included in the City's Annual Comprehensive Financial Report.

Actuarial Methods and Assumptions

In 2020 the City used the alternative measurement method (AMM) permitted under GASB Statement 75. Retirement, disablement, termination, and mortality rates were assumed to follow the LEOFF 1 rates used in the June 30, 2020, actuarial valuation report issued by the Office of the State Actuary (OSA).

The total OPEB liability (TOL) was determined using the following methodology:

Actuarial Valuation Date	6/30/2020
Actuarial Measurement Date	6/30/2020
Actuarial Cost Method	Entry Age
Amortization Method	Recognized Immediately
Asset Valuation Method	N/A (No Assets)

For purposes of the AMM online tool, a simplifying actuarial assumption is made considering that over 99 percent of the LEOFF 1 members are already retired. The remaining members are eligible to retire and will retire immediately following the measurement date.

This approach inherently assumes that all liabilities are fully earned and the service cost equals zero. In other words, the entry age normal total OPEB liability is by definition equal to the present value of future benefits. The OSA determines that there is no need to implicitly make assumptions with respect to projected salary changes.

Each cohort is assumed to be 100 percent male. As of the measurement date, greater than 98 percent of the eligible LEOFF 1 population is male. This simplification is believed to be reasonable and only the mortality assumptions selected (since the medical assumptions are already blended based upon the actual gender distribution within the eligible population) are impacted. The OSA will continue to monitor this assumption for future versions of the tool.

Based upon the overall distribution of the LEOFF 1 eligible population, the four age-based cohorts are selected for purposes of the AMM online tool and this grouping approach is believed to be reasonable.

Medical and long-term care costs were projected from June 30th, 2018 to the measurement date of June 30, 2020 using the healthcare trend rates detailed in the 2018 LEOFF 1 Medical Benefits Actuarial Valuation Report.

Mortality rates were based on the RP-2000 Combined Healthy Table and Combined Disabled Table published by the Society of Actuaries. The OSA applied offsets to the base table and recognized future improvements in mortality by projecting the mortality rates using 100 percent Scale BB. Mortality rates are applied on a generational basis, meaning members are assumed to receive additional mortality improvements in each future year throughout their lifetime.

Healthcare Trend Rates

Medical costs	Trend rate assumptions vary slightly by medical plan. Initial rate is approximately 6%, trends down to about 5% in the 2020's.
Long-term care	4.50%
Medicare Part B Premiums	Approximately 5%, varies by year.

Please see the OSA's 2018 LEOFF 1 Medical Benefits Actuarial Valuation Report for additional detail on the healthcare trend rates.

Discount Rate

Since OPEB benefits are funded on a pay-as-you-go basis, the discount rates used to measure the total OPEB liability was set equal to the Bond Buyer General Obligation 20-Bond Municipal Index, or 3.50 percent for the June 30, 2019, measurement date and 2.21 percent for the June 30, 2020, measurement date.

Changes in Total OPEB Liability

The following table presents the change in the total OPEB liability as of the June 30, 2020, measurement date:

Total OPEB Liability (TOL)	
Total OPEB Liability - Beginning	\$ 15,273,781
Service Cost	\$ -
Interest Cost	\$ 523,514
Changes in experience data and assumptions	\$ 3,177,258
Changes in benefit terms	\$ -
Estimated benefit payments	\$ (637,970)
Other	\$ -
Net Changes in Total OPEB Liability	\$ 3,062,802
Total OPEB Liability - Ending	\$ 18,336,583
Covered Employee Payroll	\$ -
TOL as a Percentage of Covered Payroll	N/A

Sensitivity Analysis of the Total OPEB Liability to Changes in the Discount Rate

The following table presents the total OPEB liability of the City as an employer, calculated using the discount rate of 2.21%, as well as what the total OPEB liability would be if it were calculated using a discount rate that is 1 percent point lower (1.21 percent) or 1 percent point higher (3.21 percent) than the current rate.

	Total
1% Decrease	\$ 21,078,307
Current Discount Rate	\$ 18,336,583
1% Increase	\$ 16,083,040

Sensitivity Analysis of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following table presents the total OPEB liability of the City as an employer, calculated using the healthcare trend rates of 6.00 percent, as well as what the total OPEB liability would be if it were calculated using healthcare trend rate that is 1 percent point lower (5.00 percent) or 1 percent point higher (7.00 percent) than the current rate:

	Total
1% Decrease	\$ 16,181,731
Current Discount Rate	\$ 18,336,583
1% Increase	\$ 20,889,717

OPEB Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to OPEB. For the year ended December 31, 2020, the City recognized OPEB expense of \$2,988,662.

On December 31, 2020, the City reported deferred outflows of resources related to OPEB for the City from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience \$	-	\$ -
Changes of assumptions	-	-
Transactions subsequent to the measurement date	286,617	-
Total \$	286,617	\$ -

Note 9: Construction Commitments

At December 31, 2020 the City had significant contractual obligations on construction projects:

	(In thousands)	
Transportation Projects		\$ 2,299
Transportation Maintenance		431
Utilities Projects		8,923
Total		\$ 11,653

Note 10: Interfund Transfers

Interfund transfers are used to move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, to move receipts for debt service from the fund collecting the receipts to a debt service fund as debt service payments become due, and to use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

Interfund balances at December 31, 2020 were as follows:

Due To/From Other Funds	Receivable	Payable
General Fund	\$ 1,824,395	
Other Governmental Funds		1,781,565
Internal Service Funds		42,830
Total due other funds	\$ 1,824,395	\$ 1,824,395

Interfund transfers at December 31, 2020 were as follows:

		Transfer from				
		General Fund	Capital Improvements Program Fund	Other Governmental Funds	Internal Service Funds	Total
Transfer to	General Fund	\$ -	\$ 5,470,000	\$ 1,306,737	\$ 267,663	\$ 7,044,400
	Capital Improvements Program Fund	7,295,698	-	3,104,339	-	\$ 10,400,037
	Other Governmental Funds	4,135,109	-	-	-	\$ 4,135,109
	Proprietary Funds	-	90,958	-	-	\$ 90,958
	Internal Service Funds	194,849	-	-	-	\$ 194,849
	Total	\$ 11,625,656	\$ 5,560,958	\$ 4,411,076	\$ 267,663	\$ 21,865,353

Note 11: Long-Term Obligations

Direct Borrowings

As of December 31, 2020, the City had no direct placements, no unused lines of credit, and no assets pledged as collateral for debt. The City's direct borrowings included the following:

Direct Borrowings
2012 Public Works Trust Fund Loan – 161 st Ave NE Extension
2015 State of Washington Department of Ecology Loan – Redmond Way Stormwater Treatment Facility

Below are the terms of the City's debt obligations, related to significant events of default with finance-related consequences, termination events with finance-related consequences, and subjective acceleration clauses, if any.

Public Works Trust Fund (PWTF) Loans– Construction Loan Agreement Between City of Redmond and Washington State Public Works Board (“Board”)

Default in Repayment – Loan repayments shall be made on the loan in accordance with the contract terms. A payment not received within thirty (30) days of the due date shall be declared delinquent and the City shall be assessed a monthly penalty beginning on the first day past the due date. The penalty will be assessed on the entire payment amount. The penalty will be 1% per month or 12% per annum.

Performance Incentives – The City shall complete the project no later than 60 months after the date of contract execution. Failure to meet the time of performance shall constitute default of the contract. The City may request in writing to extend the deadline for the project completion. Should the City complete the project within 48 months after the date of contract execution, the City may exercise an incentive option, to either increase the repayment period or decrease the interest rate. Irrespective of the performance incentive chosen, the minimum loan interest rate shall not be less than 0.25%. The calculation of interest rate and term adjustments will apply to the remaining payments.

Repayment – The City has the right to repay the unpaid balance of the loan in full at any time or make accelerated payments without penalty.

Termination for Cause – If the City fails to comply with the terms of the agreement or fails to use the loan proceeds only for those activities identified in the agreement, the Board may terminate the contract in whole or in part at any time. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Termination for Convenience – The Board may terminate the contract if state funds are no longer available to the Board or are not appropriated for the purpose of meeting the Board's obligations under the contract. Termination will be effective when the Board sends written notice of termination to the City. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Washington State Department of Ecology (DOE) Loan – Water Quality Facility Project Loan Agreement Between City of Redmond and Washington State DOE (“Department”)

Late Charges – If any amount of the loan agreement remains unpaid after it becomes due and payable, the Department may assess a late charge. The late charge will be 1% per month on the past due amount, starting on the date the debt becomes past due and until it is paid in full. The City will be in default of its obligations under the loan agreement when any loan payment becomes 60 days past due.

Default Events – The loan agreement may be terminated by the Department for insufficient department funds. The loan agreement may also be terminated if the City fails to commence project work or for past due payments. In addition, the City will be in default of its obligations under the loan agreement if, in the opinion of the Department, the City has unjustifiably failed to perform any obligation required of it by the loan agreement. In response to a Department-initiated termination event or in response to a loan default event, the Department may in its sole discretion demand that the City repay the outstanding balance of the loan amount and all accrued interest. From the time that the Department demands repayment of funds, amounts owed by the City to the

Department will accrue additional interest at the rate of 1% per month, or a fraction thereof. In the event of a default, the Department shall not have the right to declare the principal of an interest on the loan immediately due and payable, but repayments not made immediately will incur late charges.

Collection and Enforcement Actions – In the event of a default event, the State of Washington reserves the right to take any actions it deems necessary to collect the amounts due, or to become due, or to enforce the performance and observance of any obligation by the City, under the loan agreement.

Prepayment – So long as the Department will hold the loan, the City may prepay the entire unpaid principal balance of and accrued interest on the loan or any portion of the remaining unpaid principal balance of the loan amount. Any prepayments on the loan will be applied first to any accrued interest due and then to the outstanding principal balance of the loan amount.

Refinancing or Early Repayment – So long as the Department will hold the loan, the City will give the Department 30 days written notice if the City intends to refinance or make early repayment of the loan.

Termination for Cause – In the event the City unjustifiably fails, in the opinion of the Department, to perform any obligation required of it by the loan agreement, the Department may refuse to pay any further funds thereunder and/or terminate the loan agreement by giving written notice of termination.

Recovery of Payments – In the event the City fails, for any reason, to perform obligations required of it by the loan agreement, the City may be required to repay to the Department all loan funds disbursed to the City for those parts of the project that are rendered worthless in the opinion of the Department by such failure to perform. Interest shall accrue at the rate of 12% per year, from the time the Department demands repayment of funds. If payments have been discontinued by the Department due to insufficient funds, the City shall not be obligated to repay monies which had been paid to the City prior to such termination. Any property acquired under the agreement, at the option of the Department, may become the Department's property and the City's liability to repay monies shall be reduced by an amount reflecting the fair value of such property.

Defeasance of the Loan – So long as the Department will hold the loan, the City will not be entitled to, and will not effect, an economic defeasance of the loan. The City will not advance refund the loan. If the City defeases or advance refunds the loan, it will be required to use the proceeds thereof immediately upon their receipt, together with other available City funds, to repay both of the following: (i) the loan amount with interest and (ii) any other obligation of the City to the Department under the loan agreement, unless in its sole discretion the Department finds that repayment from those additional sources would not be in the public interest. Failure to repay the loan amount plus interest within the time specified in the Department's notice to make such repayment will incur late charges and will be treated as a loan default.

Public Works Trust Fund Loans

The City's governmental activities currently have one State of Washington Public Works Trust Fund Loan with principal outstanding of \$1,038,960. The interest rate is 0.25%. This loan is considered an obligation of the general government and is being repaid from General Fund revenues which are transferred to the Capital Improvements Program Fund where the loan payments are recorded.

The City's business type activities currently have one State of Washington Public Works Trust Fund Loan with principal outstanding of \$3,513,548. In 2012 the City Council of the City of Redmond adopted the Resolution #1371 in 2012 accepting a Washington State Department of Ecology (DOE) loan for funding towards the Redmond Way Water Quality Facility. The loan amount of \$4,412,000 was drawn down on September 2, 2015. The loan bears interest at the rate of 2.6% per annum, calculated on the basis of a 365-day year. The final loan amount will be repaid from the City's utility funds in equal installments semiannually over a term of twenty years.

Public Works Trust Fund Loans outstanding at December 31, 2020 are as follows:

Governmental Activities				Business Type Activities			
Year	Principal	Interest	Total	Year	Principal	Interest	Total
2021	\$ 94,451	\$ 2,597	\$ 97,048	2021	202,158	90,536	292,694
2022	94,451	2,361	96,812	2022	207,477	85,217	292,694
2023	94,451	2,125	96,576	2023	212,936	79,758	292,694
2024	94,451	1,889	96,340	2024	218,539	74,155	292,694
2025	94,451	1,653	96,104	2025	224,289	68,405	292,694
2026-2030	472,254	4,723	476,977	2026-2030	1,213,136	250,332	1,463,468
2031-2035	94,451	236	94,687	2031-2035	1,235,013	82,109	1,317,122
Total	\$ 1,038,960	\$ 15,584	\$ 1,054,544	Total	\$ 3,513,548	\$ 730,512	\$4,244,060

Other Debt Obligations

As of December 31, 2020, the City's other debt obligations included the following long-term limited tax general obligation (LTGO) and utility system revenue bonds:

Other Debt
2011 LTGO Bonds – Downtown Central Park & Other City Parks
2013 LTGO Refunding Bonds – City Hall Building
2014 Stormwater Capital Improvement Revenue Bonds
2015 LTGO Refunding – 2008 Bonds Years 2025-2028 & Transportation Projects
2016 LTGO Refunding – 2008 Bonds Years 2019-2025 & Transportation Projects

While there are no identifiable listed events of default for the City's publicly sold bonds, terms of default would include: (i) failure to pay principal and interest and (ii) failure to uphold the covenants made in the authorizing ordinances, by which remedial steps would be appropriated. LTGO debt is backed by the full faith and credit of the City. Revenue debt is secured by the pledge of a specific revenue stream, such as utility user fees. The City is liable for principal and interest payments only as they become due. The City's publicly sold bonds are not subject to termination events or acceleration clauses.

General Obligation Bonds

The City issues general obligation bonds to provide funds for the acquisition and construction of major capital facilities. General obligation bonds are direct obligations and pledge the full faith and credit of the City. General obligation bonds have been issued for general government activities and are being repaid from debt service funds.

In 2013 the City issued \$33,085,000 in limited tax general obligation refunding bonds with an interest rate of 3.75% to advance refund \$32,760,000 of outstanding 2004 Limited Tax General Obligation Lease Revenue Bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$1,530,533. This amount is being charged to operations through the year 2035 using the straight-line method. The remaining balance of \$1,028,785 is reported as a deferred outflow in the statement of net position.

In November 2015, the City Council of the City of Redmond adopted ordinance 2809, providing for the issuance of two series of Limited Tax General Obligation and Refunding Bonds in the aggregate principal amount of not to exceed \$31,000,000 to provide funds to finance the costs of transportation improvements, to refund certain outstanding limited tax general obligations of the City, and to finance costs of issuance of each series of bonds. In December 2015, the City issued \$9,280,000 in limited tax general obligation refunding bonds with an interest rate of 3.00% to advance refund \$8,940,000 of outstanding 2008 Limited Tax General Obligation Bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$951,425. This amount is being charged to operations through the year 2028 using the straight-line method. The remaining balance of \$582,363 is reported as a deferred outflow in the statement of net position. In January 2016, the City issued \$11,630,000 in limited tax general obligation refunding bonds with an interest rate of 2.0%-5.0% to advance refund \$11,675,000 of outstanding 2008 Limited Tax General Obligation Bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$1,386,462. This amount is being charged to operations through the year 2035 using the straight-line method. The remaining balance of \$1,041,207 is reported as a deferred outflow in the statement of net position. In

January 2016, the City also issued \$6,000,000 in limited tax general obligation bonds with an interest rate of 2.0%-5.0% to provide funds to finance the costs of transportation improvements.

General obligation bonds outstanding at December 31, 2020 are as follows:

	Issue Date	Maturity Date	Interest Rate	Amount Issued	Redemptions to Date	Outstanding 12/31/2020
2011 LTGO Bonds	3/16/2011	12/1/2021	2.0% - 4.5%	\$ 8,035,000	\$ 7,170,000	\$ 865,000
2013 LTGO Refunding Bonds	9/12/2013	12/1/2035	1.75% - 5.0%	33,085,000	12,920,000	20,165,000
2015 LTGO Refunding Bonds	12/22/2015	12/1/2028	3.0%	9,280,000	-	9,280,000
2016 LTGO Refunding Bonds	1/21/2016	12/1/2024	2.0% - 5.0%	11,630,000	4,035,000	7,595,000
2016 LTGO Bonds	1/21/2016	12/1/2035	2.0% - 5.0%	6,000,000	1,095,000	4,905,000
Total General Obligation Bonds				<u>\$ 68,030,000</u>	<u>\$ 25,220,000</u>	<u>\$ 42,810,000</u>

Annual debt service requirements to maturity for general obligation bonds are as follows:

Year Ending	Governmental Activities	
	Principal	Interest
2021	3,935,000	1,724,844
2022	3,175,000	1,593,481
2023	3,265,000	1,499,581
2024	3,410,000	1,351,131
2025	3,610,000	1,184,031
2026-2030	15,165,000	3,893,869
2031-2035	10,250,000	1,454,194
	<u>\$ 42,810,000</u>	<u>\$ 12,701,131</u>

Revenue Bonds

The City issues revenue bonds to finance construction projects for the City's utilities. Revenue bonds are payable from revenues generated by the user fees and are backed by the Stormwater utilities. Revenue bonds generally require a cash reserve be maintained of 120% of the current portion of revenue bonds payable, plus interest.

In 2018 the City exercised an optional redemption in full of the 2008 revenue bonds issued for water and wastewater projects which retired the bonds five years early.

Revenue bonds outstanding at year end are as follows:

	Issue Date	Maturity Date	Interest Rate	Amount Issued	Redemptions to Date	Outstanding 12/31/2020
2008 Water/Wastewater Bonds	12/3/2008	12/1/2023	4.0% - 5.0%	\$ 11,755,000	\$ 11,755,000	\$ -
2014 Stormwater Bonds	7/24/2014	12/1/2034	3.26% - 4.25%	\$ 22,950,000	\$ 5,165,000	\$ 17,785,000
Total Revenue Bonds				<u>\$ 34,705,000</u>	<u>\$ 16,920,000</u>	<u>\$ 17,785,000</u>

Annual debt service requirements to maturity for revenue bonds are as follows:

Year Ending	Business-type Activities	
	Principal	Interest
2021	915,000	856,160
2022	955,000	819,560
2023	1,000,000	771,810
2024	1,050,000	721,810
2025	1,105,000	669,310
2026-2030	6,395,000	2,461,550
2031-2035	6,365,000	719,490
	<u>\$ 17,785,000</u>	<u>\$ 7,019,690</u>

Changes in Long-Term Liabilities

Long-term liability activity for the year ended December 31, 2020 was as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental Activities:					
Bonds Payable:					
G.O. Bonds	\$ 47,420,000	\$ -	\$ (4,610,000)	\$ 42,810,000	\$ 3,935,000
For issuance premiums	3,590,575	-	(305,908)	3,284,667	-
Total Bonds Payable	51,010,575	-	(4,915,908)	46,094,667	3,935,000
Direct borrowings	1,133,408	-	(94,451)	1,038,957	94,451
Compensated absences	5,653,988	6,067,717	(4,686,711)	7,034,994	5,627,996
Net pension liability	11,252,889	7,813	-	11,260,702	-
Other post employment benefits	15,273,781	3,062,802	-	18,336,583	573,233
Firefighters' pension	640,242	-	(121,995)	518,247	-
Asset retirement obligation	-	897,828	-	897,828	29,928
Governmental activity long-term liabilities	<u>\$ 84,964,883</u>	<u>\$ 10,036,160</u>	<u>\$ (9,819,065)</u>	<u>\$ 85,181,978</u>	<u>\$ 10,260,608</u>
Business-Type Activities:					
Bonds Payable:					
Revenue Bonds	\$ 18,665,000	\$ -	\$ (880,000)	\$ 17,785,000	\$ 915,000
For issuance premiums	2,357,232	-	(161,639)	2,195,593	-
Total Bonds Payable	21,022,232	-	(1,041,639)	19,980,593	915,000
Direct borrowings	\$ 3,710,522	\$ -	\$ (196,975)	\$ 3,513,547	\$ 202,158
Compensated absences	653,026	548,705	(371,098)	830,633	664,506
Asset retirement obligation	-	1,930,133	-	1,930,133	67,802
Net pension liability	2,620,248	1,773	-	2,622,021	-
Business-type activity long-term liabilities	<u>\$ 28,006,028</u>	<u>\$ 2,480,611</u>	<u>\$ (1,609,712)</u>	<u>\$ 28,876,927</u>	<u>\$ 1,849,466</u>

Internal service funds predominantly serve the governmental funds. Accordingly, long-term liabilities for them are included as part of the above totals for governmental activities. At year end \$1,004,374 of internal service funds net pension liability and \$478,353 compensated absences are included in the above amounts. Compensated absences for governmental activities are liquidated in the governmental fund from which the employee's salary is paid. Governmental funds typically used to liquidate compensated absences are the General Fund, Recreation Activities Fund, Advanced Life Support Fund, and the Recycling Fund.

Arbitrage

Arbitrage occurs when the City invests funds borrowed at tax-exempt rates of interest in higher yielding taxable securities. These interest earnings in excess of interest expense must be remitted to the federal government. At

the fund level, the City recognizes this liability only when it is due and payable. The City had no arbitrage excess earnings liability in 2020.

Additional information on the City's long-term liabilities is provided in the City's Debt Manual which is available at:

<https://www.redmond.gov/267/Financial-Reports>

NOTE 12: Leases

Operating Leases:

The City leases the office building and other equipment under noncancelable operating leases. For the year ended December 31, 2020 the office building cost was \$498,000, other equipment cost was \$52,975, and \$550,975 total cost for all leases.

The future minimum lease payments for these leases are as follows:

Year Ending December 31	Building Lease*	Other Equipment Leases	Total Leases
2021	\$ 498,000	\$ 52,975	\$ 550,975
2022	534,000	52,975	586,975
2023	534,000	52,975	586,975
2024	534,000	52,975	586,975
Total	\$ 2,100,000	\$ 211,900	\$ 2,311,900

Note: *Lease of Redmond Community Center at Marymoor Village from Lake Washington Institute of Technology. Agreement No. 2019-069 and Lease of Space for Medic 123 Quarters at Evergreen Hospital – Amendment No. 4 Agreement No. 20-085

Note 13: Tax Abatement

The State of Washington enters into various tax abatement agreements that have the effect of reducing the amount of tax revenue that flows through to the local jurisdictions. The reported figures are provided by the Department of Revenue and are estimates based upon calendar year 2019 as a proxy for fiscal year 2020. There are two state tax abatement programs that reduced the 2020 tax revenues of the City of Redmond, as follows:

High-Technology Sales and Use Tax Deferral Program

Chapter 82.63 RCW provides a deferral and ultimate waiver of sales and use tax to encourage the creation of high-wage, high-skilled jobs in state of Washington. The deferral applies to sales and use tax arising from the construction or expansion of a qualified research and development facility or a pilot scale manufacturing facility used in the fields of advanced computing, advanced materials, biotechnology, electronic device technology, or environmental technology. This program expired on January 1st, 2015.

Businesses that hold approved certificates under this program must begin 'meaningful construction' no later than December 31, 2019 (five years from the date the program expired). If the business does not begin meaningful construction by December 31, 2019, the deferral certificates become invalid and businesses will immediately owe any deferred taxes. "Meaningful construction" is active construction. Examples such as building site excavation, laying a building foundation, and other tangible signs of construction qualify as signs of active construction. Planning, permitting, and land clearing do not qualify as active construction.

The estimated reduction in 2020 sales and use tax revenues for the City of Redmond as a result of this abatement program is \$2,693,656.

Biotechnology Product and Medical Device Manufacturers Sales and Use Tax Deferral Program

Chapter 82.75 RCW provides a deferral and ultimate waiver of sales and use tax to encourage the creation of high-wage, high-skilled jobs in Washington. The deferral applies to sales and use tax arising from investments in construction or renovation of structures, or machinery and equipment used for biotechnology product or medical device manufacturing. This program expired on January 1st, 2017.

Applications for the deferral/waiver program must be received and approved by the Department of Revenue prior to starting construction or possessing machinery or equipment in Washington. Eligible projects will receive a sales and use tax deferral certificate issued by the Department of Revenue, which allows vendors and contractors to sell to the approved business without charging sales tax.

Sales and use tax may be deferred on three kinds of expenditures:

1. Qualified buildings
2. Qualified machinery and equipment; and
3. Labor and services rendered in the planning, installation and construction of the project.

An annual tax performance report must be filed with DOR by May 31 of the following year in which the investment project is certified as operationally complete and for the following seven years. The project must remain an eligible investment project for an eight-year period in order for all deferred taxes to be waived. If the investment project is used for purposes other than qualified biotechnology product or medical device manufacturing activities at any time during the calendar year in which the eligible investment project is certified as operationally complete, or at any time during any of the seven succeeding calendar years, a portion of the deferred taxes must be repaid immediately. The portion due is determined by a sliding scale ranging from 100 percent recapture in the year the project is operationally complete to 12.5 percent recapture in year eight.

Since the Department of Revenue cannot disclose tax information for less than three taxpayers for either state or local estimates, the estimated reduction in 2020 sales and use tax revenues for the City of Redmond is therefore not available for this abatement program.

Note 14: Component Units

RCW 36.145 authorizes cities to form Community Facilities Districts (CFD's) when the owners of one hundred percent (100%) of the land to be included in the district petition the city to do so. The Community Facilities Districts are independently governed, special purpose districts, vested with the corporate authority included under Article VII, section 9 of the state Constitution to make local improvements by special assessments.

The City has formed two Community Facilities Districts:

Redmond Community Facilities District 2014-1 is a special purpose district formed on July 15, 2014 by Resolution No. 1411 of the City Council of the City of Redmond, Washington, in response to a petition from Microsoft Corporation to form a community facilities district for the purpose of financing the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station and the construction of canopy coverage for waiting areas at the Overlake Transit Station. Construction of the improvements will be financed through special assessments of \$33,300,000 levied against specific Microsoft Corporation properties. The assessment will be paid in fifteen equal annual installments, with the first installment due in November 2015. The project fund was to be advanced by Microsoft in annual installments between December 2014 and December 2017; however, changes in scope of the project approved by the Board April 7, 2020 required amending the funding agreement. In April of 2020, the CFD Board voted to remove construction of the pedestrian/bicycle bridge from the scope of the CFD improvements. This action was followed up May 5, 2020 by the Board recognizing the change in Project cost by revising funding agreement and relieving Microsoft of the obligation to contribute the remaining \$10,000,000 to the CFD and to provide for the CFD to refund to Microsoft \$15,411,409 previously deposited. The design and construction of the project elements will be administered by Sound Transit. Sound Transit has agreed to pay any cost of the improvements in excess of the assessed amounts.

Redmond Community Facilities District 2016-1 is a special purpose district formed on June 21, 2016 by Resolution No. 1453 of the City Council of the City of Redmond, Washington, in response to a petition from Microsoft Corporation to form a community facilities district for the purpose of financing the northeast 40th Street Stormwater Trunk Line project and multimodal improvements of eastbound and westbound left-turn lanes at the intersection of 154th Avenue NE and NE 51st Street along with bicycle lanes along NE 51st Street from 154th Avenue NE to the SR 520 eastbound on-ramp; and separately, multimodal improvements including bicycle lanes along NE 31st Street from the roundabout just east of SR 520 to 156th Avenue NE along with improvements to the intersection of NE 31st Street and 156th Avenue NE. Construction of the improvements will be financed through special assessments of \$24,618,000 levied against specific Microsoft Corporation properties. The assessment will be paid in fifteen equal annual installments, with the first installment due in November 2017. The project fund has been advanced by Microsoft in annual installments between December 2016 and December 2017. The design and construction of the project will be administered by the City. The improvements will be capital assets of the City of Redmond.

Each Community Facilities District's Board of Supervisors consists of three members of the Redmond City Council and two representatives nominated by the petitioner (Microsoft). The City Finance Director is the Treasurer for the CFD's, and City staff provides accounting and reporting services. Because the City appoints a majority of the Board members, has the ability to impose its will on the organizations through the ability to appoint, hire, reassign or dismiss those persons responsible for the day-to-day operation of the organizations, and the CFD's provide services almost entirely to the City. The CFD's are reported as blended component units in the Capital Investments Program funds in the City of Redmond's Annual Comprehensive Financial Report for the fiscal year ended December 31, 2020.

Questions concerning the CFD's or requests for financial statements may be addressed to Redmond Community Facilities District Treasurer, c/o Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

NOTE 15: Joint Ventures and Operations

Water Storage and Pumping Facility

In February 1990, the City of Redmond joined with the City of Bellevue to construct, operate, and maintain a joint-use water storage and pumping facility located on the common boundary of the two cities. The City of Redmond has an undivided interest in the facility of 44%, and the City of Bellevue has an undivided interest of 56%. The City of Redmond's share of costs to construct the joint-use facility totaled \$2,078,539 and is reported on the business-type activity financial statements as improvements other than buildings. The City recognizes depreciation expense annually. Accumulated depreciation totals \$1,955,905 with a net book value of \$122,634. The city reimbursed the City of Bellevue \$23,227 for its share of operating costs in 2020.

Budget monitoring information can be obtained from the City of Bellevue Budget Department, 450 – 110th Avenue NE, Bellevue, WA 98004.

Cascade Water Alliance

In April 1999, the City of Redmond entered into an interlocal agreement with seven other water providers in the region to create the Cascade Water Alliance. The purpose of the Alliance is to provide water supply to meet current and future needs of the Alliance's members in a cost-effective and environmentally responsible manner.

The Alliance is governed by a Board of Directors consisting of one individual representative appointed by resolution of the member's legislative authority. Each member entity must pay annual dues based on the number of units served by the water system within their jurisdiction. The City of Redmond's dues for 2020 were \$647,226. The City of Redmond also paid the Alliance \$845,696 in 2020 for Regional Capital Facilities Charges (RCFCs) for new hookups to the water system that Redmond collected from new customers.

A member may withdraw from the Alliance with a resolution of its legislative authority expressing such intent. The Board will then determine the withdrawing member's obligations to the Alliance, as well as the withdrawing

member's allocable share of the Alliance's then-existing obligations. The member's withdrawal shall be effective upon payment of obligations. Members do not hold legal ownership rights in any assets owned by the Alliance.

In 2011, the CWA's Board passed a resolution offering to purchase the outstanding RCFCs credits from its members at a discounted rate. These credits were awarded to its members who transferred or retained an independent water supply in excess of its needs. The Alliance's members were allowed to use such credits to apply against future RCFCs. The CWA offered to buy out the RCFC credits at \$2,500 per Cascade Equivalent Residential Unit (CERU) from its members. The City of Redmond chose the one-time redemption option. The payment was finalized and the total of \$ 3,076,875 was sent to the City of Redmond in December 2012. Such receipt was reported as capital contributions in the city's Water/Wastewater fund on the proprietary funds' Statement of Revenues, Expenses, and Changes in Fund Net Position. These monies were used to help pay off the remaining balance of the 2008's revenue bonds that became callable in 2018.

Financial statement information can be obtained from Cascade Water Alliance, c/o Chris Paulucci, Finance and Administration Manager, 520 - 112th Avenue NE, Suite 400, Bellevue, WA 98004.

A Regional Coalition for Housing (ARCH)

In November 1992, the City of Redmond joined the Cities of Kirkland, Bellevue, and King County to establish A Regional Coalition for Housing (ARCH). The agreement was recently amended in 2010. Since its inception, King County, the Cities of Redmond, Bellevue, Kirkland, Bothell, Clyde Hill, Hunts Point, Issaquah, Kenmore, Mercer Island, Newcastle, Sammamish, Woodinville, Yarrow Point, and Beaux Arts Village joined ARCH.

ARCH's purpose is to cooperatively formulate affordable housing goals and policies and to foster efforts to provide affordable housing for low and moderate-income households by combining public funding with private-sector resources. ARCH assists member governments in developing housing policies, strategies, programs, and development regulations; identifies and prioritizes projects which the member cities fund directly through their own grants, Community Development Block Grants and US Department of Housing and Urban Development's (HUD) grants.

ARCH is governed by an Executive Board composed of a Chief Executive Officer from each member. The Executive Board is responsible for review and approval of all budgetary, financial, policy and contractual matters. The Board is assisted by an administrative staff and a Citizen Advisory Board.

Each member city provides operating funding and contributes operating revenues as specified in the annual budget for ARCH. Contributions from the member cities are based on each member's population. Contributions by member agencies are held in the ARCH Housing Trust Fund Account and dispersed by the Administering Agency for approved projects. In 2020 the city contributed \$123,104 for operations or 11.2% of the total contributions for operations by all members. The City has accumulated \$1,352,984.68 in the Trust Fund for funding affordable housing projects.

Members may withdraw from the ARCH agreement by giving one year's written notice to the Executive Board, by December 31st of any year, of its intention to terminate, effective December 31st of the following year. Members remain legally and financially responsible for any obligation incurred while a member of ARCH. Upon dissolution, the agreement provides for distribution of all property and assets among the members based on the percentage of the total annual contributions during the period of the agreement paid by each member. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements.

Budget monitoring information can be obtained from ARCH, c/o Art Sullivan, 16225 NE 87th Street, A-3, Redmond, WA 98052.

Eastside Public Safety Communications Agency (EPSCA)

The Eastside Public Safety Communications Agency (EPSCA), an emergency regional radio access service provider operation, was established on May 26, 1992, by an interlocal agreement among the Cities of Redmond, Bellevue, Kirkland, and Mercer Island. The Agreement was amended in 1993, to include the City of Issaquah as an additional Principal. EPSCA began principal operations of the 800 MHz radio system in December 1995.

EPSCA is governed by an Executive Board, which is comprised of the Chief Executive Officers of the Principals. The Executive Board is responsible for review and approval of all budgetary, financial, and contractual matters.

An Operations Committee, composed of the Chief of Police and Fire Chief of each Principal, reports to the Board and oversees budget preparation, rates, revenues, expenditures, policies and other operational issues. The Committee also includes representation from non-Principal EPSCA user agencies.

EPSCA has developed an Eastside radio communications system which is integrated with a regional radio communications network. Its capital funding derives from a September 15th, 1992 voter-approved King County excess property tax levy of \$57,016,764. EPSCA's portion of the levy was \$10,004,469.

Operating revenues derive from fees charged to the Principals for communications services and from subscriber fees for communications services. The City of Redmond paid \$115,750 to EPSCA in 2020 for the 800 MHz radios that are in use throughout the City. These fees would change when the access fee rate change or when radios are added or removed from the system.

The interlocal agreement among the Eastside cities provides for a weighted vote according to the proportion of each Principal's system radios in relation to the total number of system radios used by all Principals.

As of December 31st, 2020, the weighted vote percentage was shown as follows:

Redmond	23.68%
Bellevue	46.51%
Kirkland	17.91%
Mercer Island	5.92%
Issaquah	5.98%
	100.00%

These percentages are reviewed and adjusted annually at January 1st, based on the number of radios on the system in use by current Principals as of December 31st of the preceding year. Upon dissolution, the interlocal agreement provides for distribution of assets among the Principals based on weighted voting percentages in force at the time of dissolution.

Budget monitoring and compiled financial statements for EPSCA can be obtained from EPSCA, c/o Kale Fong, MS PSEPS, P.O. Box 97010, Redmond, WA 98073-9710.

Hazardous Materials Unit and Response Team (HazMat)

In January 1984, the City of Redmond joined the Cities of Bellevue, Kirkland, Bothell, and King County Fire Protection Districts 16 and 36 to form a Hazardous Materials Unit and Response Team (HazMat). The agreement was recently modified on July 13th, 2004. Current members are the Cities of Redmond, Bellevue, Kirkland, Bothell, Snoqualmie, along with Eastside Fire & Rescue, Woodinville Fire & Life Safety District, and King County Fire Districts 27 & 45.

The purpose of the HazMat agreement is to provide equipment and personnel for improving the quality of emergency services through development of the cooperative HazMat unit as a normal function of fire protection services. Eastside is better prepared to respond to any HazMat incident with low frequency but high risk through this existing collaborative model.

The HazMat team is governed by a Joint Board which is composed of the Fire Chiefs of the member agencies plus one member from the HazMat team. The Joint Board is responsible for formulating policy, establishing annual budgets, and acquiring, holding, and disposing of real and personal property. With the exception of the member from the HazMat team, each representative on the Joint Board has a vote on all matters. Member agencies have no equitable interest in the holdings of the consortium as stated in the agreement. The City of Bellevue has the administrative authority for operations conducted pursuant to the agreement and provides administrative and secretarial support to the Joint Board.

The agreement may be terminated at any time upon the mutual agreement of all the members. A decision to withdraw will not relieve the withdrawing member of liability incurred prior to withdrawal. Members withdrawing from the agreement relinquish all rights to any reserve funds, equipment, or material purchased. Upon dissolution,

the agreement provides for distribution of assets among the members based on the percentage of the total annual charges paid by each member during the period of the agreement.

The HazMat team has no outstanding debt or leases in 2020. Operating revenues are provided by an annual charge assessed each member based on each member's property values and number of emergency incidents. The City of Redmond paid the HazMat team \$19,868 for 2020's contract fee.

Budget monitoring information can be obtained from Eastside Hazardous Materials Joint Board, c/o Babette Bechtold, Bellevue Fire Department, P.O. Box 90012, Bellevue, WA 98004.

Community Connectivity Consortium

The Community Connectivity Consortium is a public corporation organized pursuant to the ordinances and approvals of the Consortium members and RCW 35.21.730 through 35.21.759 and RCW 39.34. The Consortium was created in 2011 and is governed by sixteen public agencies who are voting members: cities of Redmond, Bellevue, Kirkland, Renton, Auburn, Kent, Tukwila, Lake Washington School District, University of Washington, Bellevue College, Bellevue School District, Evergreen Hospital, Renton School District, Valley Communication Center, NORCOM, and King County. The Consortium sets the terms and conditions for sharing fiber optic installation projects, outlines how the parties will work together on fiber projects and establishes the original backbone of the Fiber Consortium network through contributions of budget, fiber assets, conduit, right of way and staff expertise. It has built over 35 miles of fiber optic cable, creating strategic connection points along the way. The partners use the fiber network to connect schools and universities to enhance learning; to connect hospitals, medical facilities and clinics to improve health care; connect government facilities for public safety, transportation and other needs; and to provide an open access network to serve the public with wireless and broadband access.

The City of Redmond petitioned to join the Consortium as a non-voting member on May 14th, 2012, and became a voting member at the following year. Redmond has the option to participate in fiber projects with project agreement that documents scope, roles and responsibilities, ownership, share of the overall project cost, etc.

Since 2012 access to cloud services has become more strategic as more agencies are opting for a hybrid approach with some services in the cloud and others remaining on-premise. The fiber ring provides an integrated approach with the ability to offer high speed private transport of data to the cloud at a minimal cost instead of using transport links provided from network and telecommunication carriers.

As a member, Redmond paid \$5,355 for its annual dues in 2020. The Board can recommend new projects or services with increased dues and all members get to vote on the recommended budget each May. Besides getting the connectivity any member needs, members with similar interests may share the cost of new projects with one another. Redmond has equitable interest in the projects it participates in. If the City decides to leave the Consortium, the assets Redmond acquired under any project agreements remains Redmond's.

For additional information, please contact Chelo Picardal, Board Chair, CIO City of Bellevue, cpicardal@bellevuewa.gov

North King County Regional Public Safety Communication Agency (NORCOM)

In November 2007, the City of Kirkland, with the Cities of Bellevue, Bothell, Clyde Hill, Medina, Mercer Island, and Snoqualmie, along with Eastside Fire and Rescue, King County Fire Protection Districts 27 and 45, King and Kittitas County Fire Protection District 51, Northshore Fire Department, Shoreline Fire Department, and Woodinville Fire and Life Safety District entered into an interlocal agreement to establish and maintain a consolidated emergency service communications center to the public for emergency medical services, fire and police.

In 2008, the City of Redmond joined as a subscriber. Prior to the interlocal agreement, the formation efforts were carried out under a Joint Powers Agreement originally approved in 2005 and amended in 2006 and 2007. On July 1st, 2009, the separate dispatch operations of the Cities of Bellevue and Kirkland were combined and began operating as the North East King County Regional Public Safety Communications Agency (or NORCOM). NORCOM includes 911 telephone answering, computer aided dispatch of fire, police and EMS resources, public safety field technology and a records management system.

Operating revenues are provided by user fees charged to each member based on average call volume. The City of Redmond paid \$608,020 to NORCOM for calls for services and maintenance fees in 2020. Redmond has become a principal agency since January 1st, 2017.

Additional financial information can be obtained from NORCOM, c/o Gwen Pilo, Finance Manager, P.O. Box 50911, Bellevue, WA 98015-0911.

North Sound Metro SWAT and Crisis Negotiating Team

In 2016, Redmond joined the North Sound Metro Special Weapons and Tactics (SWAT) and Crisis Negotiating Team (CNT), which is a regional team made up of the following cities: Bothell, Edmonds, Kirkland, Lake Forest Park, Lynnwood, Mill Creek, Monroe, Mountlake Terrace, Mukilteo and Redmond. Redmond joined this team for the purpose of combining resources to create a specially trained and equipped unit to respond to and resolve criminal activity of a high-risk nature. The Executive Board is comprised of the Police Chiefs of all participating cities. The Board reviews and approves changes and updates to the SWAT Policy and Procedures Manual and gives approval and direction on operational matters.

Operating revenues are provided by contributions from the participating cities based on population. The City of Redmond paid \$6,945 for 2020's dues and \$2,735 for 2020's SWAT advanced training. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements. In 2020 NSM SWAT purchased an armored vehicle for tactical operations use, with the total cost of \$233,580, City of Redmond paid \$40,522, 17.36% of the cost. Upon termination of the SWAT team, any funds or jointly purchased assets will be distributed to the participating cities. Budget monitoring information can be obtained from Assistant Chief Jim Lawless, City of Edmonds, 250 – 5th Avenue North, Edmonds, WA 98020.

Sound Cities Association

In 1970 Sound Cities Association (SCA) was formed to help cities act locally and partner regionally to create vital, livable communities through advocacy, education, leadership, mutual support and networking. The City of Redmond is among 38 cities represented by SCA. The SCA Board of Directors oversees the general activities of the Association and governs the organization by establishing broad policies and objectives for SCA. Operating revenues are provided by membership dues based on population. The City of Redmond's dues were \$43,886 in 2020. Upon dissolution of SCA, any funds or assets shall be distributed to member cities and towns pursuant to the same formula used to determine membership dues. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements.

For additional information contact Deanna Dawson, Executive Director deanna@soundcities.org

NOTE 16: Contingencies and Litigation

As of December 31, 2020, there were a number of damage claims and lawsuits pending against the City. However, in our opinion, neither the potential liability from any single claim or lawsuit, nor the aggregate potential liability resulting from all pending claims and lawsuits, would materially affect the financial condition of the City.

NOTE 17: Risk Management

The city is exposed to various risks of loss such as: theft, damage, destruction of assets, errors & omissions, injuries or property damage to others, employees' health, and natural disasters. The city has three internal service funds to account for and finance its self-insured risks of loss. The city purchases commercial insurance for claims in excess of anticipated self-insured losses. All funds of the city participate in the self-insurance programs and make payments to the self-insurance funds based on estimates of the amounts needed to pay excess insurance and related risk management and service costs, prior and current year claims paid in the current year, and to maintain adequate reserves for catastrophic losses in a given year.

Property and Liability Claims Program:

The self-insured portion of the Insurance Claims and Reserve Fund provides coverage up to a maximum of \$25,000 per occurrence for related claims and expenses. There were no claims in 2020 which exceeded the city's self-insurance limit; there were no claims in 2019 which exceeded the city's self-insurance limit; in 2018 there was one (1) claim which exceeded the city's self-insurance limit. Reserves for open claims are established by an independent claims adjusting firm on a case reserve basis based on the assessment of the settlement potential and costs

specifically associated with a particular claim, given the information available at the time. Cases are reviewed at least monthly and are subject to periodic audits. Lawsuits are reviewed and handled directly by the city Attorney or the excess insurer's appointed legal counsel.

The city's current approach to risk management stems from 2010 when the city conducted a comprehensive review of its property and liability risk programs. As a result, the city issued a request for proposal (RFP) for a broker/consultant and selected Bannon Carlson & Kessel, Inc. Bannon Carlson & Kessel, Inc. then conducted a search for service providers to meet the city's needs. This resulted in the city selecting Travelers Insurance for liability coverage and retaining Affiliated FM for property coverage. As a result, the city's risk program changed from a \$100,000 self-insured retention for general liability claims to a \$25,000 deductible. A deductible limit applies to all claim costs while a self-insured retention only applies to any judgment or settlement. The liability limits were extended to \$30 million for general liability as described in the table below. There were no claims in 2020, which settled in excess of deductible; there was one (1) claim in 2019 which exceeded the deductible amount; in 2018 there was one (1) claim which exceeded the deductible amount.

Property insurance coverage has remained with Travelers since September 1, 2013.

Medical Self Insurance Program:

For 2020, the Medical Self-Insurance Fund provided coverage up to a maximum of \$175,000 per person per calendar year with the Excess Insurance covering an Unlimited Major Medical Maximum. There were six (6) claimants who exceeded the per-person limit in 2020; seven (7) claimants who exceeded the per-person limit in 2019; four (4) claimants exceeded the per-person limit in 2018. All funds of the city from which employee wages are paid make premium payments to the Medical Self-Insurance Fund based on health insurance rates derived from actual fund experience and historical and market trend rates.

For several years, the City's Medical Self-Insurance Fund was carrying excess reserves of approximately \$5 million. On March 19th, 2019 Council approved the establishment of Health Reimbursement Arrangement (HRA) Voluntary Employees' Beneficiary Association (VEBA) accounts for employees based on eligibility requirements and the use of reserves in the Medical Self-Insurance Fund to support the new accounts. HRA VEBA trust is a third-party, voluntary employees' beneficiary association (VEBA) authorized under Internal Revenue Code 501(c)(9). Trust offers tax-exempt funded health reimbursement arrangement. On April 25th, 2019, a total of \$4,935,775 of excess reserves was transferred, on a one-time basis, from Medical Self-Insurance Fund to HRA VEBA employee accounts.

Council authorized the city to self-insure workers' compensation benefits effective January 1, 1998 for employee injuries and illnesses. For 2020, the city self-insures \$500,000 of each accident or illness and purchases excess insurance above that, up to the statutory requirements. There were no claims in 2020 which exceeded insurance amount of 500,000; in 2019 no claims exceeded the city's self-insurance coverage, in 2018 no claims exceeded the city's self-insurance coverage. Claims handling is currently contracted to an independent, qualified third-party administrator (TPA).

As of December 31, 2020, the city had reserves of \$582,136 in the Insurance Fund, \$4,402,681 in the Medical Self-Insurance Fund, and \$40,997 in the Workers' Compensation Fund to provide against risk of future loss. Claims liabilities of \$47,427 have been reported in the Insurance Fund, \$2,034,000 in the Medical Self-Insurance Fund, and \$276,316 in the Workers' Compensation Fund based on estimates provided by the city's third-party administrators. Historical claims liabilities for incurred but not reported (IBNR) in the Insurance Claims and Reserve Fund average 15% to 17% of paid claims for the year. Reported claims liabilities are based on the requirements of GASB Statement 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated.

Changes in the self-insurance funds' claims liabilities in 2019 and 2020 were:

	<u>Insurance Fund</u>	<u>Medical Insurance Fund</u>	<u>Workers' Comp Fund</u>
December 31, 2019			
Unpaid claims, beginning of fiscal year	\$ 27,020	\$ 1,153,000	\$ 327,678
Claims incurred (including IBNRs)	211,279	11,204,517	1,198,896
Claims payments	(222,988)	(11,097,517)	(1,398,185)
Unpaid claims-December 31, 2019	\$ <u>15,311</u>	\$ <u>1,260,000</u>	\$ <u>128,389</u>

December 31, 2020				
Unpaid claims, beginning of fiscal year	\$	15,311	\$	1,260,000
Claims incurred (including IBNRs)		368,646		11,012,009
Claims payments		(336,530)		(10,238,009)
Unpaid claims-December 31, 2020	\$	<u>47,427</u>	\$	<u>2,034,000</u>
				<u>\$ 276,316</u>

Commercial insurance policies were purchased to protect the city from claims which exceed the coverage provided by the self-insurance funds.

	<u>Coverage</u>	<u>Self-Insured Retention</u>
Property policy limit	\$227,625,998	\$100,000
Earth movement	\$5,000,000	\$250,000
Flood	\$5,000,000	\$50,000 or \$100,000*
Employee theft	\$1,000,000	\$10,000
General liability – per occurrence	\$1,000,000	\$25,000
General liability – aggregate	\$2,000,000	
Law enforcement	\$1,000,000	\$5,000
Employment related practices	\$1,000,000	\$25,000
Auto liability	\$1,000,000	\$25,000
Umbrella excess liability		
(excess of general liability, auto, law enforcement liability)	\$30,000,000	\$10,000
Cyber Liability	\$100,000 / \$4,000,000	\$100,000
Public Entity Management Liability	\$1,000,000	\$25,000
Underground storage tank liability	\$1,000,000	\$50,000
Blanket fidelity (employee dishonesty)	\$1,000,000	\$25,000
Excess workers' compensation	statutory	\$500,000
Excess medical insurance	unlimited	\$175,000

*Depending on Location

NOTE 18: Accounting and Reporting Changes

Implementation of new Governmental Accounting Standards Board (GASB) pronouncements

Effective for fiscal year 2020 reporting, the City adopted the following new standards issued by the Governmental Accounting Standards Board (GASB):

GASB Statement No. 83, Certain Asset Retirement Obligations - enhance comparability of financial statements among governments by establishing uniform criteria for governments to recognize and measure certain AROs, including obligations that may not have been previously reported. This Statement establish criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for the AROs. The impact on the implementation was separately stated on Note 22.

GASB Statement 88, Certain Disclosures Related to Debt, Including Direct Borrowings and Direct Placements - improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt. Additional information of the City's direct borrowings can be found in the Note 11, Long Term Obligations.

NOTE 19: Prior Period Adjustments

Development Review Fund

A prior period adjustment of \$1,236,918 is reflected as an increase in the net position of the Development Review Fund in the Combining Statement of Revenues, Expenditures and Changes in Fund Balances – Non major Governmental Funds to recognize 2020 revenue reported in 2019 related to the Microsoft Refresh development agreement.

A Regional Coalition of Housing (ARCH) Trust Fund Outside Agency

In the year ending December 31, 2020 the City has an accumulated ARCH Housing Trust Fund balance of \$1,352,985 of which \$1,128,705 was previously expensed in fiscal years 2010 through 2019. In 2019 it was determined that the City should reflect the balance as cash with an outside agency. In order to make this correction a prior period adjustment of \$1,128,705 is included in 2020, the overall impact is an increase in net position in the General Fund and including the ARCH Housing Trust Fund balance of 1,352,985 as cash with outside agency in the Balance Sheet – Governmental Funds as well as the entity-wide Statement of Net Position.

Old Redmond School House Renovation

The City is no longer leasing the Old Redmond Schoolhouse from Lake Washington School District; therefore, retirement of building renovations made to support City of Redmond operations is necessary. As a result, a building renovation asset retirement of \$2,846,286 less accumulated depreciation of \$2,075,933 netted a loss on disposal of \$770,353. A prior period adjustment of \$770,353 is reflected in the Statement of Activities to adjust the net position.

Water/Wastewater Fund

In 2019, the city misclassified \$332,732 in overhead costs which resulted in an understatement in the Water/Wastewater Fund and an overstatement in the UPD fund by the same amount. In addition, a receivable of \$28,670 was recorded in the wrong year. A correction has been recorded in 2020, reflected as a prior period adjustment to the net position of Water/Wastewater Fund in the Statement of Revenues, Expenses, and Changes in Fund Net Position – Proprietary Funds. These two prior period adjustments were netted resulting in a prior period adjustment of (\$294,062).

UPD Water/Wastewater Fund

As mentioned, above in the Water/Wastewater Fund, \$332,732 of overhead costs were misclassified between UPD Fund and Water/Wastewater Fund. As a result, the UPD fund's expenses were overstated by \$332,732 in 2019. A prior period adjustment was made to the net position of UPD Water/Wastewater Fund in the Statement of Revenues, Expenses, and Changes in Fund Net Position – Proprietary Funds.

Change in Accounting Principle

For the fiscal year ending December 31, 2020, the City implemented GASB Statement 83 "Certain Asset Retirement Obligations" (AROs), which provides accounting and reporting guidance on addressing and recognizing AROs on certain tangible capital assets at the end of their useful lives. This standard requires governments to report the liabilities not previously required to be reported.

This statement established criteria for determining the timing and pattern of recognizing a liability and a corresponding deferred outflow of resources for the ARO. As a result, the City has incurred a change in accounting principle of \$712,879 in the Statement of Activities, and \$592,624 in the Water/Wastewater Fund and the Statement of Net Position. The details of AROs are discussed in Note 22.

NOTE 20 COVID-19 Pandemic

In January 2020, the U.S. Department of Health and Human Services declared a public health emergency for a new strain of coronavirus, COVID-19, a respiratory disease that can result in serious illness or death. In February 2020, Washington State's Governor declared a state of emergency. In the weeks following the Governor's declaration, precautionary measures to slow the spread of the virus have been ordered. These measures include closing schools, colleges, and universities, cancelling public events, closing all non-essential businesses, and mandating that people stay home and stay healthy.

The City quickly responded to the Governor's order by taking the following actions:

- On March 5, 2020 the City canceled all Senior Programming and closed the Redmond Community Center at Marymoor Village and the Old Redmond Firehouse Teen Center.
- On March 12, 2020 City Hall was closed and all other City facilities were closed to the public; including, the Public Safety Building, Maintenance and Operations Center, Fire Stations and the Farrell McWhirter Barn Yard.
- The City quickly implemented remote work arrangements as appropriate and established safe working conditions for personnel providing essential city services that must report to work. Essential workers were placed on rotating schedules, supplied required protective gear and asked to monitor their health in compliance with guidance from the Center of Disease Control (CDC).
- The City of Redmond canceled all spring camps, activities and rentals. Summertime events, including Derby Days, the Rockin' on the River concert series, So Bazaar, Big Truck Day and all other permitted special events.
- City Council meetings, city board and commission meetings are being conducted remotely per the Governor's guidance on the Open Public Meetings Act (OPMA).

Due to the closures mandated by the Governor, the City of Redmond lockdown has been in effect since February 2020. The negative economic impacts due to COVID-19 were sudden and widespread. The first half of 2020 saw significant declines in employment, gross domestic product (GDP) and consumer spending. Seven years of job growth in King County was undone in just a few months with unemployment reaching a high of 14.9%. National real GDP fell by approximately 32.9% at an annual rate in Q2 2020. Local consumer spending reached a low point in April when its year-over-year decline approached 40% as stay-at-home and non-essential business closure orders came into effect the US economy fell into a deep recession due to the impacts of Coronavirus disease (COVID-19). Although conditions have improved since the downturn began, indicators of economic recovery remain uneven and precarious. Consumer spending still exhibits a 10.2% year-over-year decline. Similarly, unemployment has fallen but remains high at 9.2%. Employment in the construction sector has returned to pre-pandemic levels, but job numbers in the restaurant and lodging industries are just half of what they were in 2019. Consumer confidence has shown it is sensitive to surges in COVID-19 cases, suggesting that recovery remains linked to the progression of the pandemic. Furthermore, the recovery in consumer spending appears to coincide with the start of efforts to stimulate the economy but the nature of future large-scale stimulus measures remains to be seen.

City revenues have been drastically impacted this is a direct reflection of the impact to Redmond businesses and a decrease in consumer spending. Revenue shortfalls include utility taxes, business taxes and sales tax. From 2019 to 2020 utility taxes decreased \$0.5 million or 4.7%, business taxes \$0.4 million or 6% and sales tax decreased by \$1.95 million or 6% (this excludes one-time sales tax on construction). The largest decrease was in the accommodation and food services sectors which saw a \$1.77 million or 55% decrease. In addition, cultural and recreation revenue related to charges for services decreased \$2.2 million or 86%; primarily related to recreational activities, field rentals and other programs and services offered through the Parks Department.

In response to the reduction in revenue and completing a careful analysis of service level impacts and ensuring community health and safety remained protected the City reduced expenditures by \$5.6 million. Reductions involving personnel included the elimination of several vacant ongoing full-time equivalent (FTE) positions as well as one-time savings resulting from a hiring freeze. Additional efficiencies in non-personnel line items were implemented as well. The length of time these measures will continue to be in place, the time it will take for the community to recover and the full extent of the financial impacts on the city is unknown at this time.

The City continues to monitor the situation closely and will make necessary adjustments in adherence to the Centers for Disease Control (CDC) guidelines, King County Public Health, the Governor's Office, and in collaboration with other community agencies

NOTE 21 Subsequent Events

COVID-19

In February 2020, Washington State's Governor declared a state of emergency in response to the spread of this deadly new virus. In March 2020, the World Health Organization declared COVID-19 as a global pandemic. In the weeks following the Governor's declaration, precautionary measures to slow the spread of the virus were ordered. These measures included closing schools, colleges and universities, cancelling public events, closing all non-essential businesses, and mandating that people stay home and stay healthy.

Due to the continued closures mandated by the Governor, many businesses in the community continue to experience negative financial impacts. The City lockdown had a significant impact on City revenues in 2020, particularly on recreational fees, utility charges and other taxes and fees; we anticipate this trend will continue in 2021. The sectors from which revenue losses have become apparent include publishing, telecommunications and information services industries and hotels and restaurants. Development-related revenues are expected to remain strong until the end of 2021 and Property Tax continues to be a stable source of revenue for the General Fund. The full extent of the financial impact is unknown at this time and will greatly depend on the length of time the current pandemic response is in place. Staff continues to analyze the potential impacts this situation may have on the City's revenue streams.

On March 11, 2020 the President of the United States signed into law the American Rescue Plan Act (ARPA) which provides \$1.9 trillion in fiscal relief for individuals, families, small businesses and state and local governments facing challenges caused by COVID-19. Included in this legislation is approximately \$15.6 million which will be distributed to the City in two installments; of which half will be disbursed in 2021 and half in 2022 with the provision that funds must be spent by December 31, 2024.

As new developments are completed, including the extension of East Link to downtown and the redevelopment of the Microsoft campus, the City can look forward to increased revenues spurred by growth in property values, jobs in the community and the opportunities for economic development that will place Redmond in a strong position for recovery.

The City continues to monitor the situation closely and will make necessary adjustments to support recovery efforts by ensuring the continuation of critical services. To recover from the impacts of COVID-19 the City will build on the vision for continued growth and enhanced connections to the community to assure the ongoing fiscal health of the community.

NOTE 22: Asset Retirement Obligation

The City currently has four underground fuel tanks that have a legally enforcement liability associated with decommissioning costs at retirement. An underground fuel tank is an underground storage tank with unconnected underground piping, underground ancillary equipment, and containment systems. In accordance with WAC 173-360A and RCW 90.76, retirement of these assets would create a threat of releasing hazardous materials, mainly petroleum, requiring financial assurance to decommission such assets.

The City utilizes the probability weighting depreciation method over a 30-year of useful life.

<u>Underground Fuel Tank</u>	<u>Asset Remaining Useful Life in Years</u>	<u>ARO Liability</u>
15,000 Gal UST (Diesel) in service since 9/25/1990	2	\$ 195,413
15,000 Gal UST (Unleaded gas) in service since 7/1/1997	7	230,840
15,000 Gal UST (Diesel) in service since 7/1/1997	7	230,840
600 Gal UST (Used motor oil) in service since 6/8/1998	8	240,735
		<u>\$ 897,828</u>

GASB Statement 83 establish criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for the asset retirement obligations. The implementation of this statement has incurred a change in accounting principle of \$712,879 in the Statement of Activities.

The City also has five drinking water wells that have a legally enforcement liability associated with decommissioning costs of retirement. In accordance with WAC 173-160-381, WAC 173-162, and RCW Chapter 18.104 for the Washington Well Construction Act, certain decommissioning steps are required to be taken when these drinking water wells are abandoned.

The City utilizes the probability weighting depreciation method over a 50-year of useful life.

<u>Drinking Water Wells</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
Wells 1 & 2	34	\$ 517,949
Wells 5	37	285,695
Wells 3	39	305,150
Wells 4	44	360,296
		<u>\$ 1,469,090</u>

GASB Statement 83 establish criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for the asset retirement obligations. The implementation of GASB Statement 83 has incurred a change in accounting principle of \$350,393 in the Statement of Net Position of Proprietary Funds.

The City has 87 resource protection wells that have a legally enforcement liability associated with decommissioning costs of retirement. In accordance with WAC 173-160-460 for resource protection wells, decommissioning steps are required to be taken when these assets are abandoned.

The City utilizes the probability weighting depreciation method over a 12-year of useful life.

<u>Resource Protection Wells</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
25	3	\$ 122,967
49	6	261,948
13	9	76,129
		<u>\$ 461,044</u>

GASB Statement 83 establish criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for the asset retirement obligations. The implementation of GASB Statement 83 has incurred a change in accounting principle of \$242,231 in the Statement of Net Position of Proprietary Funds.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Revenues, Expenditures
and Changes in Fund Balance
Budget and Actual - General Fund
For the year ended December 31, 2020

	Original Budget 2019-2020	Final Budget 2019-2020	2019 Actual	2020 Actual	Actual 2019-2020 Biennium	Variance with Final Budget Positive (Negative)
REVENUES						
Taxes	\$ 148,603,044	\$ 150,603,044	\$ 82,029,833	\$ 84,839,973	\$ 166,869,806	\$ 16,266,762
Licenses and permits	26,558,980	26,558,980	12,179,424	13,200,994	25,380,418	(1,178,562)
Contributions	286,000	286,000	38,704	4,200,585	4,239,289	3,953,289
Intergovernmental	6,612,851	19,962,355	5,200,362	15,838,895	21,039,257	1,076,902
Charges for services	29,931,404	28,624,688	15,151,349	13,569,025	28,720,374	95,686
Fines and forfeitures	1,389,664	1,389,664	561,372	407,246	968,618	(421,046)
Investment income	1,574,191	1,624,191	1,278,168	778,048	2,056,216	432,025
Net change in fair value of investment	70,000	20,000	444,064	647,438	1,091,502	1,071,502
Miscellaneous	3,451,037	5,076,037	807,851	2,880,574	3,688,425	(1,387,612)
Total revenues	<u>218,477,171</u>	<u>234,144,959</u>	<u>117,691,127</u>	<u>136,362,778</u>	<u>254,053,905</u>	<u>19,908,946</u>
EXPENDITURES						
Current						
General government	42,697,305	43,492,339	21,197,120	22,741,799	43,938,919	(446,580)
Public safety	108,248,604	105,019,013	48,735,392	51,651,101	100,386,493	4,632,520
Transportation	26,593,496	40,702,456	12,356,019	18,535,207	30,891,226	9,811,230
Economic environment	14,259,990	16,461,110	7,290,452	9,894,628	17,185,080	(723,970)
Culture and recreation	33,629,754	24,717,245	11,859,012	9,905,570	21,764,582	2,952,663
Social services	2,081,497	2,529,997	929,286	2,584,217	3,513,503	(983,506)
Physical environment	-	91,628	4,597	18,565	23,162	68,466
Capital outlay	941,600	6,241,600	5,701,405	674,707	6,376,112	(134,512)
Debt service						
Principal	194,806	194,806	94,451	94,451	188,902	5,904
Interest and issuance costs	-	-	3,070	102,834	105,904	(105,904)
Total expenditures	<u>228,647,052</u>	<u>239,450,194</u>	<u>108,170,804</u>	<u>116,203,079</u>	<u>224,373,883</u>	<u>15,076,311</u>
Excess (deficiency) of revenues over (under) expenditures	(10,169,881)	(5,305,235)	9,520,323	20,159,699	29,680,022	34,985,257
OTHER FINANCING SOURCES (USES)						
Disposition of capital assets	-	-	8,283,346	1,973,271	10,256,617	10,256,617
Transfers in	16,623,684	12,523,684	3,296,000	7,044,400	10,340,400	(2,183,284)
Transfers out	(13,462,818)	(14,769,534)	(7,027,623)	(11,625,656)	(18,653,279)	(3,883,745)
Total other financing sources and uses	<u>3,160,866</u>	<u>(2,245,850)</u>	<u>4,551,723</u>	<u>(2,607,985)</u>	<u>1,943,738</u>	<u>4,189,588</u>
Net change in fund balance	(7,009,015)	(7,551,085)	14,072,046	17,551,714	31,623,760	39,174,845
Fund balance-beginning	<u>35,207,049</u>	<u>41,709,236</u>	<u>53,513,612</u>	<u>67,271,743</u>	<u>53,513,612</u>	<u>11,804,376</u>
Prior period adjustment (Note 19)			(313,915)	1,128,705	814,790	814,790
Fund balance-ending	<u>\$ 28,198,034</u>	<u>\$ 34,158,151</u>	<u>\$ 67,271,743</u>	<u>\$ 85,952,162</u>	<u>\$ 85,952,162</u>	<u>\$ 51,794,011</u>

CITY OF REDMOND
SCHEDULE OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCE
BUDGET AND ACTUAL
DEVELOPMENT REVIEW FUND
For the year ended December 31, 2020

	Original Budget 2019-2020	Final Budget 2019-2020	2019 Actual	2020 Actual	Actual 2019-2020 Biennium	Variance with Final Budget Positive (Negative)
REVENUES						
Licenses and permits	\$ 13,954,173	\$ 13,954,173	\$ 7,591,735	\$ 7,707,174	\$ 15,298,909	\$ 1,344,736
Investment income	-	-	100,271	67,325	167,596	167,596
Net change in fair value of investment	-	-	33,679	84,989	118,668	118,668
Total revenues	<u>13,954,173</u>	<u>13,954,173</u>	<u>7,725,685</u>	<u>7,859,488</u>	<u>15,585,173</u>	<u>1,631,000</u>
EXPENDITURES						
General government	900,000	900,000	9,516	340	9,856	890,144
Public Safety	3,352,470	3,352,470	862,859	908,438	1,771,297	1,581,173
Economic environment	7,754,809	8,036,702	3,348,416	4,242,368	7,590,784	445,918
Transportation	1,379,987	1,379,987	203,246	202,574	405,820	974,167
Culture and recreation	-	-	108	-	108	(108)
Capital outlay	-	-	198,732	31,023	229,755	(229,755)
Total expenditures	<u>13,387,266</u>	<u>13,669,159</u>	<u>4,622,877</u>	<u>5,384,743</u>	<u>10,007,620</u>	<u>3,661,539</u>
Excess (deficiency) of revenues over (under) expenditures	566,907	285,014	3,102,808	2,474,745	5,577,553	5,292,539
Net change in fund balance	566,907	285,014	3,102,808	2,474,745	5,577,553	5,292,539
Fund balance-beginning	<u>1,947,060</u>	<u>3,979,131</u>	<u>3,965,955</u>	<u>7,068,763</u>	<u>3,965,955</u>	<u>(13,176)</u>
Prior period adjustments				(1,236,918)	(1,236,918)	(1,236,918)
Fund balance-ending	<u>\$ 2,513,967</u>	<u>\$ 4,264,145</u>	<u>\$ 7,068,763</u>	<u>\$ 8,306,590</u>	<u>\$ 8,306,590</u>	<u>\$ 4,042,445</u>

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability PERS 1 As of June 30, 2020 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Employer's proportion of the net pension liability (asset) %	0.277269%	0.282854%	0.279288%	0.277829%	0.272760%	0.267873%
Employer's proportionate share of the net pension liability (asset) \$	14,503,747	15,190,592	13,252,433	12,407,938	10,488,590	9,457,363
TOTAL \$	14,503,747	15,190,592	13,252,433	12,407,938	10,488,590	9,457,363
Employer's covered payroll \$	31,572,345	33,640,475	34,727,464	36,583,419	38,037,993	40,491,902
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	45.94%	45.16%	38.16%	33.92%	27.57%	23.36%
Plan fiduciary net position as a percentage of the total pension liability %	59.10%	57.03%	61.24%	63.22%	67.12%	68.64%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability PERS 2, 3 As of June 30, 2020 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Employer's proportion of the net pension liability (asset)	%	0.349456%	0.354613%	0.352032%	0.350327%	0.348441%
Employer's proportionate share of the net pension liability (asset)	\$	12,486,262	17,854,484	12,231,429	5,981,522	3,384,547
TOTAL	\$	12,486,262	17,854,484	12,231,429	5,981,522	3,384,547
Employer's covered payroll	\$	31,081,296	33,183,481	34,513,096	36,338,197	37,874,599
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	40.17%	53.81%	35.44%	16.46%	8.94%
Plan fiduciary net position as a percentage of the total pension liability	%	89.20%	85.82%	90.97%	95.77%	97.77%
						97.22%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability PSERS As of June 30, 2020 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Employer's proportion of the net pension liability (asset)	%	0.092909%	0.073365%	0.060021%	0.013917%	0.000000%
Employer's proportionate share of the net pension liability (asset)	\$	16,958	31,179	11,760	172	-
TOTAL	\$	16,958	31,179	11,760	172	-
Employer's covered payroll	\$	268,804	242,743	212,505	54,645	-
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	6.31%	12.84%	5.53%	0.31%	-
Plan fiduciary net position as a percentage of the total pension liability	%	95.08%	90.41%	96.26%	99.79%	101.68%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability LEOFF 1 As of June 30, 2020 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Employer's proportion of the net pension liability (asset)	%	0.061310%	0.066346%	0.066931%	0.067634%	0.068841%
Employer's proportionate share of the net pension liability (asset)	\$	(738,921)	(683,554)	(1,015,491)	(1,227,897)	(1,360,719)
State's proportionate share of the net pension liability (asset) associated with the employer	\$	(4,998,043)	(4,623,539)	(6,868,753)	(8,305,462)	(9,203,868)
TOTAL	\$	(5,736,964)	(5,307,093)	(7,884,244)	(9,533,359)	(10,564,587)
Employer's covered payroll	\$	182,331	-	-	-	-
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	-405.26%	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total pension liability	%	127.36%	123.74%	135.96%	144.42%	148.78%
						146.88%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability LEOFF 2 As of June 30, 2020 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Employer's proportion of the net pension liability (asset)	%	0.905449%	0.844407%	0.888184%	0.857127%	0.845952%
Employer's proportionate share of the net pension liability (asset)	\$	(9,306,205)	(4,911,324)	(12,325,116)	(17,401,547)	(19,598,111)
State's proportionate share of the net pension liability (asset) associated with the employer	\$	(6,153,272)	(3,201,826)	(7,995,073)	(11,267,173)	(12,834,137)
TOTAL	\$	(15,459,477)	(8,113,150)	(20,320,189)	(28,668,720)	(32,432,247)
Employer's covered payroll	\$	26,361,527	25,582,420	27,783,905	28,236,058	29,619,230
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	-35.30%	-19.20%	-44.36%	-61.63%	-66.17%
Plan fiduciary net position as a percentage of the total pension liability	%	111.67%	106.04%	113.36%	118.50%	119.43%
						115.83%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PERS 1

For the year ended December 31, 2020
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Statutorily or contractually required contributions	\$ 1,444,684	1,653,434	1,789,500	1,885,408	1,983,953	1,944,165
Contributions in relation to the statutorily or contractually required contributions	\$ (1,444,684)	(1,653,434)	(1,789,500)	(1,885,408)	(1,983,953)	(1,944,165)
Contribution deficiency (excess)	\$ -	-	-	-	-	-
Covered payroll **	\$ 32,615,637	34,388,717	36,162,379	36,909,229	40,004,857	40,352,746
Contributions as a percentage of covered payroll	% 4.43%	4.81%	4.95%	5.11%	4.96%	4.82%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PERS 2, 3
For the year ended December 31, 2020
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Statutorily or contractually required contributions	\$ 1,814,140	2,112,355	2,461,861	2,751,819	3,077,929	3,187,761
Contributions in relation to the statutorily or contractually required contributions	\$ (1,814,140)	(2,112,355)	(2,461,861)	(2,751,819)	(3,077,929)	(3,187,761)
Contribution deficiency (excess)	\$ -	-	-	-	-	-
Covered payroll	\$ 32,160,083	33,906,036	35,809,117	36,690,221	39,899,665	40,247,586
Contributions as a percentage of covered payroll	% 5.64%	6.23%	6.87%	7.50%	7.71%	7.92%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PSERS

For the year ended December 31, 2020
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Statutorily or contractually required contributions	\$ 15,367	17,958	7,514	-	-	-
Contributions in relation to the statutorily or contractually required contributions	\$ (15,367)	(17,958)	(7,514)	-	-	-
Contribution deficiency (excess)	\$ -	-	-	-	-	-
Covered payroll	\$ 237,629	272,507	112,895	-	-	-
Contributions as a percentage of covered payroll	% 6.47%	6.59%	6.66%	0.00%	0.00%	0.00%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
LEOFF 2
For the year ended December 31, 2020
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020
Statutorily or contractually required contributions	\$ 1,350,946	1,339,697	1,455,369	1,515,013	1,569,795	1,658,832
Contributions in relation to the statutorily or contractually required contributions	\$ (1,350,946)	(1,339,697)	(1,455,369)	(1,515,013)	(1,569,795)	(1,658,832)
Contribution deficiency (excess)	\$ -	-	-	-	-	-
Covered payroll	\$ 26,751,402	26,528,575	28,238,790	28,691,585	30,083,310	32,073,660
Contributions as a percentage of covered payroll	% 5.05%	5.05%	5.15%	5.28%	5.22%	5.17%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

City of Redmond
Schedule of Changes in Total Pension Liability and Related Ratios
Firefighter's Pension Plan
Last 10 Fiscal Years

	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Total pension liability - beginning	\$ 640,242	\$ 676,110	\$ 692,473	\$ 685,451	\$ 567,121	\$ 483,433	\$ 331,168	\$ 557,526	\$ 557,526	\$ 654,000
Service cost	-	-	-	-	-	-	-	-	-	-
Interest	19,919	21,075	21,608	21,443	17,704	15,014	10,399	17,645	17,590	20,627
Changes in benefit terms	-	-	-	-	-	-	-	-	-	-
Differences between expected and actual experience	(106,394)	(21,894)	(3,536)	16,300	128,397	97,140	154,238	(231,779)	(1,918)	(98,267)
Changes of assumptions	-	-	-	-	-	-	-	-	-	-
Benefit payments, including refunds of contributions	(35,520)	(35,049)	(34,435)	(30,721)	(27,771)	(28,466)	(12,372)	(12,224)	(15,672)	(18,834)
Other changes	-	-	-	-	-	-	-	-	-	-
Net change in total pension liability	<u>(121,995)</u>	<u>(35,868)</u>	<u>(16,363)</u>	<u>7,022</u>	<u>118,330</u>	<u>83,688</u>	<u>152,265</u>	<u>(226,358)</u>	<u>-</u>	<u>(96,474)</u>
Total pension liability - ending	<u>\$ 518,247</u>	<u>\$ 640,242</u>	<u>\$ 676,110</u>	<u>\$ 692,473</u>	<u>\$ 685,451</u>	<u>\$ 567,121</u>	<u>\$ 483,433</u>	<u>\$ 331,168</u>	<u>\$ 557,526</u>	<u>\$ 557,526</u>
Covered payroll	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total pension liability as a % of covered employee payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Notes to Schedule:

There are no assets accumulated in a trust that meets the criteria of a qualified plan under GASB Statements 67/68.

The City of Redmond
Schedule of Changes in Total OPEB Liability and Related Ratios
OPEB Plan- LEOFF 1
For the year ended December 31, 2020
Last 10 Fiscal Years*

	2020	2019	2018
Service cost	\$ -	\$ -	\$ -
Interest	\$ 523,514	\$ 578,786	\$ 557,907
Changes in benefit terms	\$ -	\$ -	\$ -
Changes in experience data and assumptions	\$ 3,177,258	\$ 88,620	\$ (567,119)
Estimated benefit payments	\$ (637,970)	\$ (692,109)	\$ (547,753)
Other changes	\$ -	\$ -	\$ -
Net Change in total OPEB liability	\$ 3,062,802	\$ (24,703)	\$ (556,965)
Total OPEB liability - beginning	\$ 15,273,781	\$ 15,298,484	\$ 15,855,449
Total OPEB liability - ending	\$ 18,336,583	\$ 15,273,781	\$ 15,298,484

Covered-employee payroll**

-

-

-

Total OPEB liability as a % of covered payroll

N/A

N/A

N/A

Notes to Schedule:

Changes of assumptions. Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

2020	2.21%
2019	3.50%
2018	3.87%

* Until a full 10-year trend is compiled, only information for those years available is presented.

No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB 75.

** Covered-employee payroll is the payroll of employees that are provided with OPEB through the OPEB plan (GASB 75, par. 246)

Notes to the Required Supplementary Information

Pensions

Change in Assumptions and Methods: Actuarial results that the Office of the State Actuary provided within the Department of Retirement Systems Participating Employer Financial Information report reflect the following changes in assumptions and methods:

- For all plans except LEOFF Plan 1, how terminated and vested member benefits are valued was corrected.
- How the basic minimum COLA in PERS Plan 1 is valued for legal order payees was improved.
- The average expected remaining service lives calculation was revised. It is used to recognize the changes in pension expense to no longer discount future years of service back to the present day.

Other Postemployment Benefits

In 2020 valuation calculations for the Medical and Long-Term Care Benefits were done using the Alternative Measurement Method for GASB Statement 75 as directed by the Office of the State Actuary.

Budget to Actual Schedules

The City's budget is adopted on a GAAP basis. Expenditure appropriations include ending fund balance.

Budget to GAAP Reconciliation

Differences Between 2019-2020 Biennium Budgetary Inflows and Outflows and GAAP Revenues and Expenditures

		General Fund
REVENUES AND OTHER SOURCES:		
Budget and actual statement 2019/2020 Biennium	\$	275,783,146
Less: 2019 Revenues and other sources		129,273,992
Statement of revenues and expenditures	\$	<u>146,509,154</u>
EXPENDITURES AND OTHER USES:		
Budget and actual statement 2019/2020 Biennium	\$	243,344,596
Less: 2019 Expenditures and other uses		115,515,861
Statement of revenues and expenditures	\$	<u>127,828,735</u>

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2020

Federal Agency (Pass-Through Agency)	Federal Program	CFDA Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
CDBG - Entitlement Grants Cluster								
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County)	Community Development Block Grants/Entitlement Grants	14.218	6105171	74,564	-	74,564	37,282	18
Total CDBG - Entitlement Grants Cluster:				74,564	-	74,564	37,282	
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF	Bulletproof Vest Partnership Program	16.607	BA-3A00S- SM02F/BA- 3A00S-SX02	-	10,812	10,812	-	18
Highway Planning and Construction Cluster								
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Department of Transportation)	Highway Planning and Construction	20.205	STPUL-2015 (094) LA-8686	30,031	-	30,031	-	18
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Department of Transportation)	Highway Planning and Construction	20.205	CM-2080 (003) LA-9589	132,492	-	132,492	-	18
Total Highway Planning and Construction Cluster:				162,523	-	162,523	-	
Federal Transit Cluster								
FEDERAL TRANSIT ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via King County Metro Transit)	Federal Transit Formula Grants	20.507	FTA grant no: 1731-2019-4, Funding Source: 5307 CMAQ	49,735	-	49,735	-	18
Total Federal Transit Cluster:				49,735	-	49,735	-	

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2020

Federal Agency (Pass-Through Agency)	Federal Program	CFDA Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
Highway Safety Cluster								
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via WA State Traffic Safety Commission)	State and Community Highway Safety	20.600	Section 402 and 405b69-8016-0- 7-401 Distracted Driving Funding	14,324	-	14,324	-	18
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via WA State Traffic Safety Commission)	National Priority Safety Programs	20.616	2020-HVE-3923	7,750	-	7,750	-	18
Total Highway Safety Cluster:				22,074	-	22,074	-	
DEPARTMENTAL OFFICES, TREASURY, DEPARTMENT OF THE (via Washington State Department of Commerce)	COVID-19 Coronavirus Relief Fund	21.019	20-6541C-299	2,963,700	-	2,963,700	2,548,070	189
DEPARTMENTAL OFFICES, TREASURY, DEPARTMENT OF THE (via King County)	COVID-19 Coronavirus Relief Fund	21.019	NA	100,584	-	100,584	-	18
Total CFDA 21.019:				3,064,284	-	3,064,284	2,548,070	
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via WA-TF1 Pierce County Urban Search & Rescue Team)	National Urban Search and Rescue (US&R) Response System	97.025	EMW-2019-CA- 00069	3,633	-	3,633	-	18
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via WA-TF1 Pierce County Urban Search & Rescue Team)	National Urban Search and Rescue (US&R) Response System	97.025	EMW-2018- CAUSR-0028	78,328	-	78,328	-	18

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2020

Federal Agency (Pass-Through Agency)	Federal Program	CFDA Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
			Total CFDA 97.025:	81,961	-	81,961	-	
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department)	Disaster Grants - Public Assistance (Presidentially Declared Disasters)	97.036	D20-471	404,541	-	404,541	-	18
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department - Emergency Management Division)	Emergency Management Performance Grants	97.042	Federal Funding Identification # EMS-2019-EP- 00003-S01	35,694	-	35,694	-	18
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department - Emergency Management Division)	Emergency Management Performance Grants	97.042	Federal Funding Identification # EMS-2020-EP- 00002-S01	36,123	-	36,123	-	18
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department - Emergency Management Division)	COVID-19 Emergency Management Performance Grants	97.042	E20-268	12,373	-	12,373	-	18
			Total CFDA 97.042:	84,190	-	84,190	-	

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2020

				Expenditures				
				From Pass-Through Awards	From Direct Awards	Total	Passed through to Subrecipients	
Federal Agency (Pass-Through Agency)	Federal Program	CFDA Number	Other Award Number					Note
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via King County Emergency Management)	Preparing for Emerging Threats and Hazards	97.133	EMW-2016-GR-00145-S01	308	-	308	-	18
Total Federal Awards Expended:				3,944,180	10,812	3,954,992	2,585,352	

The accompanying notes are an integral part of this schedule.

CITY OF REDMOND
NOTES TO THE SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Year Ended December 31, 2020

NOTE 1 – BASIS OF ACCOUNTING

This Schedule is prepared on the same basis of accounting as the City's financial statements. The City uses the modified accrual basis of accounting for governmental fund financial statements and agency funds and the accrual basis of accounting for internal service and proprietary funds.

NOTE 2 - INDIRECT COST RATE

The City has elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

NOTE 8 – PROGRAM COSTS

The amounts shown as current year expenditures represent only the federal grant portion of the program costs. Entire program costs, including the (city/county/district's) portion, are more than shown. Such expenditures are recognized following, as applicable, either the cost principles in the OMB Circular A-87, Cost Principles for State, Local, and Indian Tribal Governments, or the cost principles contained in Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

NOTE 9 - COVID-19 Coronavirus Relief Fund

The City has donated Personal Protective Equipment (PPE) to various entities for the COVID-19 response. The total donated is \$29,350.50.

ABOUT THE STATE AUDITOR'S OFFICE

The State Auditor's Office is established in the Washington State Constitution and is part of the executive branch of state government. The State Auditor is elected by the people of Washington and serves four-year terms.

We work with state agencies, local governments and the public to achieve our vision of increasing trust in government by helping governments work better and deliver higher value.

In fulfilling our mission to provide citizens with independent and transparent examinations of how state and local governments use public funds, we hold ourselves to those same standards by continually improving our audit quality and operational efficiency, and by developing highly engaged and committed employees.

As an agency, the State Auditor's Office has the independence necessary to objectively perform audits, attestation engagements and investigations. Our work is designed to comply with professional standards as well as to satisfy the requirements of federal, state and local laws. The Office also has an extensive quality control program and undergoes regular external peer review to ensure our work meets the highest possible standards of accuracy, objectivity and clarity.

Our audits look at financial information and compliance with federal, state and local laws for all local governments, including schools, and all state agencies, including institutions of higher education. In addition, we conduct performance audits and cybersecurity audits of state agencies and local governments, as well as state whistleblower, fraud and citizen hotline investigations.

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